

# JPMorganChase

## **JPMorgan Chase & Co.**

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*For Information Purposes Only – Not an investment recommendation. Please see important disclosures at the end of the report.*

## JPMorgan Chase & Co. (2004 – Current)<sup>1</sup>

**Figure 1: Holding Period Returns (Jamie Dimon's Tenure since 2004)**

|                 | Total Returns |            |                    | Annualized Returns |         |                    |
|-----------------|---------------|------------|--------------------|--------------------|---------|--------------------|
|                 | JPM           | S&P 500    | S&P 500 Financials | JPM                | S&P 500 | S&P 500 Financials |
| 2-Year          | 2.4%          | 14.3%      | 12.4%              | 1.2%               | 6.9%    | 6.1%               |
| 3-Year          | 37.8%         | 31.4%      | 36.2%              | 11.3%              | 9.5%    | 10.8%              |
| 5-Year          | -31.2%        | -20.2%     | -65.8%             | -7.2%              | -4.4%   | -19.3%             |
| Since 1/22/2004 | 1,189.8%      | 720.8%     | 248.8%             | 12.7%              | 10.3%   | 6.0%               |
| Since 4/30/1942 | 2,054,813%    | 1,281,423% | N/A                | 12.7%              | 12.1%   | N/A                |

Notes:

1. Return data from FactSet, in USD.
2. Total returns include dividends reinvested.
3. The start date for the return data above is 1/22/2004, the first trading day following JPMorgan Chase & Co.'s release of its fourth-quarter and full-year 2003 earnings on January 21.<sup>2</sup> Just a week earlier, on January 14, JPMorgan Chase announced a planned merger with Bank One Corporation, with the transaction expected to close in mid-2004. Under the terms of the agreement, the combined company would be led by William B. Harrison, then 60, as Chairman and Chief Executive Officer, and James Dimon, then 47, as President and Chief Operating Officer.<sup>3</sup> In the merger agreement, Dimon was also stated to succeed Harrison as CEO in 2006.
4. Lifetime end date is as of 6/30/2025.
5. According to the company, JPMorgan transitioned from a private partnership to J.P. Morgan & Co. Incorporated and went public in 1940.<sup>4</sup> Since we could not locate the exact date of the IPO, we based our estimates on the earliest available data, which begins in April 1942. Through June 2025, J.P. Morgan & Co. delivered an estimated total return of approximately 20,550x,<sup>5</sup> about 13% CAGR. Over the same period, the S&P 500 returned roughly 12,815x, about 12% CAGR.
6. N/A indicates unavailable data.

**This is a selection of the study of JPMorgan Chase & Co. over decades. Given its focus on the Jamie Dimon years, we have not included a mental model summary of the company.**

<sup>1</sup> This document primarily focuses JPMorgan Chase's business development since 2004, following Jamie Dimon's arrival as a result of the merger between JPMorgan Chase and Bank One and eventual leadership of the company.

<sup>2</sup> JPMorgan Chase Reports 2003 Fourth Quarter and Full Year Results. JPMorgan Chase. 01/21/2004.

<sup>3</sup> JPMorgan Chase & Co. and Bank One Corporation to Merge. 01/14/2004.

<sup>4</sup> History. JPMorgan Chase. <https://www.sec.gov/Archives/edgar/data/19617/000095012304000369/y93280ae425.htm>

<sup>5</sup> History. JPMorgan Chase. <https://www.jpmorganchase.com/about/our-history#2>

<sup>6</sup> Historical return data from Global Financial Data.

**Figure 2: Valuation Metrics**

| Metric                                    | Amount (\$ Million) | Multiple / Ratio Analysis                          |
|-------------------------------------------|---------------------|----------------------------------------------------|
| Market Cap                                | \$ 81,582           | -                                                  |
| Cash                                      | \$ 20,268           | 2.6% of Total Assets                               |
| Deposits with banks                       | \$ 10,175           | 1.3% of Total Assets                               |
| Trading Assets and Securities             | \$ 313,115          | 40.6% of Total Assets                              |
| Net Loans                                 | \$ 214,995          | 27.9% of Total Assets; 4.99% average interest rate |
| Deposits                                  | \$ 326,492          | 42.4% of Total Assets; 1.58% average interest rate |
| Total Equity Value                        | \$ 45,145           | 1.8x Price/Book Value                              |
| Tangible Book Value                       | \$ 30,154           | 2.7x Price/Tangible BV                             |
| Occupancy Expense                         | \$ 1,912            | 6.0% Occupancy Expense/Total Net Revenue           |
| Technology and Communication Expense      | \$ 2,844            | 9.0% Tech & Comm. Expense/Total Net Revenue        |
| Compensation Expense                      | \$ 11,695           | 36.9% Compensation Expense/Total Net Revenue       |
| Net Income                                | \$ 6,668            | 12.2x P/E LTM                                      |
| Loans-to-Deposits Ratio                   | 65.9%               | -                                                  |
| Overhead Expense (Efficiency) Ratio       | 62.0%               | -                                                  |
| ROCE                                      | 16.0%               |                                                    |
| Common Equity Tier 1 (CET1) Capital Ratio | 7.2%                |                                                    |
| Tier 1 Capital Ratio                      | 8.5%                |                                                    |
| Total Capital Ratio                       | 11.8%               |                                                    |
| Tier 1 Leverage Ratio                     | 5.2%                |                                                    |
| 1-Yr. Sales CAGR                          | 25.4%               | From FY2002 to FY2003                              |
| 1-Yr. CAGR of Net Income                  | 313.6%              | -                                                  |
| 3-Yr. Sales CAGR                          | 0.17%               | From FY2000 to FY2003                              |
| 3-Yr. CAGR of Net Income                  | 5.8%                | -                                                  |

**Notes:**

1. Market capitalization data, sourced from FactSet, is as of January 22, 2004, the first trading day following JPMorgan Chase & Co.'s release of its fourth-quarter and full-year 2003 earnings on January 21.<sup>6</sup> Just a week earlier, on January 14, JPMorgan Chase announced a planned merger with Bank One Corporation, with the transaction expected to close in mid-2004. Under the terms of the agreement, the combined company would be led by William B. Harrison, then 60, as Chairman and Chief Executive Officer, and James Dimon, then 47, as President and Chief Operating Officer.<sup>7</sup> Dimon was stated to succeed Harrison as CEO in 2006.
2. In its 2003 annual report, the company stated that the revenue and income growth from the previous year was a result of a stronger economy and a favorable shift in the credit cycle, driving loan-loss provisions down from \$4.3 billion in 2002 to \$1.5 billion in 2003, a 64% reduction.<sup>8</sup>
3. The company stated in its 2003 annual report that the increased revenue in that year was due to an improving economy and a favorable turn in the credit cycle, resulting a decline in provision for credit losses from \$4.3 billion in 2002 to \$1.5 billion in 2003, a -64% decline.
4. Tangible book value is calculated by subtracting preferred stock and intangible assets from the company's total stockholders' equity, as reported on its 2003 balance sheet.
5. JPMorgan's noninterest expenses primarily consist of occupancy costs such as office leases, technology and communications expenses, and compensation expenses.
6. The loans-to-deposits ratio is calculated by dividing net loans (loans minus allowance for loan losses) by deposits, as reported on the company's balance sheet.
7. Provided in the company's 2003 annual report, Overhead Ratio = Operating Expense (excluding merger and restructuring costs and special items) as a Percentage of Operating Revenue.
8. Provided in the company's 2003 annual report, return on average common equity (ROCE) = Net Income/Average Common Equity.
9. The Common Equity Tier 1 (CET1) Capital Ratio is part of the Basel III framework, which did not take effect until January 1, 2014. Prior data, including for 2003, was based on Basel I standards. CET1 capital was calculated as common stockholders' equity minus goodwill, certain intangible assets, and other applicable CET1 adjustments. CET1

<sup>6</sup> JPMorgan Chase Reports 2003 Fourth Quarter and Full Year Results. JPMorgan Chase. 01/21/2004.

<sup>7</sup> JPMorgan Chase & Co. and Bank One Corporation to Merge. 01/14/2004.

<sup>8</sup> JPMorgan Chase & Co. Annual Report 2003.

Capital Ratio = CET1 Capital/Risk-Weighted Assets. We estimated this ratio using the data reported in the company's 2003 annual report.

10. Tier 1 capital primarily consists of Common Equity Tier 1 (CET1) capital and perpetual preferred stock. The Tier 1 Capital Ratio is calculated as Tier 1 Capital divided by Risk-Weighted Assets and was reported in the company's 2003 annual report. As of 2003, under regulations issued by the Federal Reserve Board, the FDIC, and the OCC, financial institutions were required to maintain a minimum Tier 1 Capital Ratio of 4.0% and were considered well-capitalized at 6.0%.<sup>9</sup>
11. Total capital consists of Tier 1 and Tier 2 capital. Tier 2 capital includes qualifying long-term debt, allowances for credit losses, and other eligible Tier 2 components. The Total Capital Ratio is calculated as Total Capital divided by Risk-Weighted Assets and was reported in the company's 2003 annual report. In 2003, under regulations issued by the Federal Reserve Board, the FDIC, and the OCC, financial institutions were required to maintain a minimum Total Capital Ratio of 8.0% and were considered well-capitalized at 10.0%.<sup>10</sup>
12. Tier 1 leverage ratio = Tier 1 Capital/Average Assets. In 2003, under regulations issued pursuant to the Federal Deposit Insurance Corporation Improvement Act, bank subsidiaries were required to maintain a minimum Tier 1 Leverage Ratio of 3.0% and were considered well-capitalized at 5.0%.<sup>11</sup>

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<sup>9</sup> JPMorgan Chase & Co. Annual Report 2003.

<sup>10</sup> JPMorgan Chase & Co. Annual Report 2003.

<sup>11</sup> JPMorgan Chase & Co. Annual Report 2003.

## Company Overview

**JPMorgan Chase & Co. today is the largest bank in the United States by total assets and the fourth largest in the world.**<sup>12</sup> Its origins can be traced back over two centuries to The Manhattan Company, founded in 1799. Originally established to supply drinking water under a charter from New York State, only a few months later did the company use its surplus capital to become New York City's second commercial bank, following in the footsteps of one of its founders' other ventures, the Bank of New York.<sup>13</sup> Over its course of development, the bank evolved through a series of mergers, acquisitions, and financial transformations.

A key chapter in its early development began in 1871 when financier J. Pierpont Morgan partnered with Anthony Drexel to form Drexel, Morgan & Co., a private merchant banking house in New York City. Morgan made his name investing in the railroad industry, the largest and most dynamic sector of the post-Civil War U.S. economy.<sup>14</sup> In 1895, the firm was renamed J.P. Morgan & Co., eventually becoming the head of a global network with four affiliated partnerships in New York, Philadelphia, London, and Paris. The modern-day JPMorgan Chase is primarily the product of a major consolidation wave that began in the late 20th century. Since 1996, the bank has merged with several large financial institutions in the U.S., most notably Chase Manhattan Bank, Bank One, Bear Stearns, Washington Mutual, and First Republic. Jamie Dimon, who arranged the merger between Bank One and JPMorgan, later led the combined company through the strategic acquisitions of Bear Stearns, Washington Mutual, and First Republic. Other notable predecessors of JPMorgan Chase & Co. include Chemical Bank, Manufacturers Hanover, First Chicago, National Bank of Detroit, Texas Commerce Bank, Provident Financial, and Great Western Bank.

As of 2024, JPMorgan Chase has established itself as a major player in the global banking sector with global operations and a leader in investment banking, financial services for consumers and small businesses, commercial banking, financial transaction processing and asset management. Under the J.P. Morgan and Chase brands, the bank serves millions of customers, predominantly in the U.S., and many of the world's most prominent corporate, institutional and government clients.<sup>15</sup> The bank is also regarded as the most systemically important financial institution in the world, according to the Financial Stability Board (FSB) and the Basel Committee on Banking Supervision (BCBS).<sup>16</sup>

Jamie Dimon has become a highly influential figure in today's financial markets and an important leader who has steered JPMorgan to where it is today. Dimon joined JPMorgan in 2004 as the company's president and Chief Operating Officer, became CEO on January 1, 2006, and was named Chairman a year later.<sup>17</sup>

Born on March 13, 1956, in New York City, Dimon was one of three sons of Theodore and Themis Dimon. His father, a stockbroker at Shearson, later became an executive vice president at American Express. Dimon studied psychology and economics at Tufts University<sup>18</sup> and later earned his MBA from Harvard Business School, graduating with distinction.<sup>19</sup>

Dimon's early exposure to finance came through family. During college, he leveraged an analysis of a business deal involving his father and financier Sandy Weill into a summer internship at Hayden Stone, Weill's acquisition vehicle.<sup>20</sup> Weill would later become Dimon's mentor, and, for a time, his close business partner. With Weill's advice, after turning down offers from Goldman Sachs, Morgan Stanley, which was spun off from JPMorgan in 1935 following the passage of Glass-Steagall<sup>21</sup> that required the splitting of commercial and investment banking businesses, and Lehman Brothers, Dimon joined American Express, where Weill was president. When Weill left American Express in 1985 following internal conflicts, Dimon followed him. The two took control of Commercial Credit, a Baltimore-based subprime lender, and launched a series of notable acquisitions,<sup>22</sup> including Primerica in 1988 and Travelers in 1993. In 1998, Travelers merged

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<sup>12</sup> The World's Largest Banks by Assets, 2024. S&P Global. <https://www.spglobal.com/market-intelligence/en/news-insights/research/the-worlds-largest-banks-by-assets-2024>

<sup>13</sup> History. JPMorgan Chase. <https://www.jpmorganchase.com/about/our-history#1>

<sup>14</sup> History. JPMorgan Chase. <https://www.jpmorganchase.com/about/our-history#1>

<sup>15</sup> JPMorgan Chase Annual Report 2024.

<sup>16</sup> Global Systemically Important Banks - Assessment Methodology and the Additional Loss Absorbency Requirement. <https://www.bis.org/bcbs/gsib/index.htm>

<sup>17</sup> Jamie Dimon – JPMorganChase. <https://www.jpmorganchase.com/about/leadership/jamie-dimon>

<sup>18</sup> Chapter 1. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>19</sup> Chapter 2. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>20</sup> Chapter 1. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>21</sup> Chapter 11. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>22</sup> Chapter 4. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

with Citicorp to form Citigroup, creating a financial giant with nearly \$700 billion in assets and over 100 million customers in more than 100 countries,<sup>23</sup> making it the world's largest financial conglomerate at the time.

Dimon rose through the ranks, serving as CFO, then president of Commercial Credit, and eventually as president and COO of Travelers.<sup>24</sup> When Travelers merged with Citicorp in 1998 to form Citigroup, Dimon became its president. But tensions with Weill, allegedly over both succession plans and business strategy, led to a falling out. Dimon was forced out in November 1998 after 15 years working with Weill.<sup>25</sup> Weill later told The New York Times that he regretted how things ended, admitting the tension stemmed from Dimon's ambition to succeed him as CEO.<sup>26</sup> Some sources also point to business conflicts, such as Dimon's push for "open architecture" at Smith Barney,<sup>27</sup> allowing brokers to sell third-party mutual funds rather than only proprietary products, a move that reportedly clashed with Weill's daughter, Jessica Bibliowicz, who led the mutual funds division.

After his departure from Citigroup, Dimon briefly considered roles outside of finance, receiving offers from Amazon, Home Depot, and even an opportunity to serve as national finance chairman for Al Gore's 2000 presidential campaign.<sup>28</sup> There are no public records showing how much he was offered from those positions. After gapping for a year, he returned to banking.

**In March 2000, Dimon was named chairman and CEO of Bank One,<sup>29</sup> then the fourth-largest U.S. bank, with a market value of \$36 billion, \$265 billion in assets, 1,800 retail branches, and 56 million credit card customers.<sup>30</sup> He quickly set about improving the bank's operation, laying off staff, merging disparate IT systems to save cost, lengthening branch operating hours to compete with rivals, as he found that the operating hours of branches were two hours fewer than local competitors, and introducing profit-sharing incentives at branch level for retail employees.<sup>31</sup> Under his arrangement, in 2004, JPMorgan Chase merged with Bank One in a \$58.5 billion stock-for-stock deal,<sup>32</sup> valuing Bank One at roughly 2.5 times its year-end 2003 common equity value.<sup>33</sup> At the time of the announcement, JPMorgan had approximately \$770 billion in assets compared to Bank One's \$326 billion.<sup>34</sup> As part of the merger, Dimon became president and COO of the combined company. He took over as CEO in 2006, as outlined in the two companies' merger announcement.<sup>35</sup> Surprisingly, the first person to call and congratulate Dimon on the deal was Sandy Weill, who had targeted JPMorgan with Dimon nearly a decade ago when they worked together.<sup>36</sup>**

When Dimon joined JPMorgan in 2004, the bank had already ranked near the top in several key categories, reportedly second in retail deposits, credit card balances, and investment banking fees, and first in U.S. private banking assets and cash-management revenues.<sup>37</sup> Once assuming the leadership at JPMorgan Chase, Dimon implemented swift and sometimes severe cost-cutting measures, which we will discuss in detail later. For example, he canceled lavish client events, terminated a \$5 billion IBM contract for IT services, and slashed executive pay, cutting regional managers'

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<sup>23</sup> Travelers and Citicorp to Merge In Megadeal Valued at \$83 Billion. The Wall Street Journal.

<https://www.wsj.com/articles/SB891818705198998500>

<sup>24</sup> Jamie Dimon – JPMorganChase. <https://www.jpmorganchase.com/about/leadership/jamie-dimon>

<sup>25</sup> Chapter 8. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>26</sup> Citi's Creator, Sandy Weill, Alone With His Regrets. The New York Times.

<https://web.archive.org/web/20100108222619/http://www.nytimes.com/2010/01/03/business/economy/03weill.html?pagewanted=3>

<sup>27</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. Part II. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/index2.htm](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/index2.htm)

<sup>28</sup> Chapter 8. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>29</sup> Bank One Elects James Dimon Chairman and CEO. 3/27/2000. <https://www.sec.gov/Archives/edgar/data/1067092/0000950131-00-002075-index.html>

<sup>30</sup> Chapter 9. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>31</sup> Chapter 9. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase; JPMorgan Chase Annual Report 2004.

<sup>32</sup> Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>33</sup> Bank One Annual Report 2003.

<sup>34</sup> JPMorgan Chase Annual Report 2003; Bank One Annual Report 2003.

<sup>35</sup> JPMorgan Chase & Co. and Bank One Corporation to Merge. 01/14/2004; The Career Timeline of Jamie Dimon, CEO of JPMorgan Chase. Business Insider. <https://www.businessinsider.com/jamie-dimon-career>

<sup>36</sup> Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>37</sup> The Toughest Guy on Wall Street. Fortune. 4/3/2006. <https://fortune.com/article/the-toughest-guy-on-wall-street-fortune-2006/>

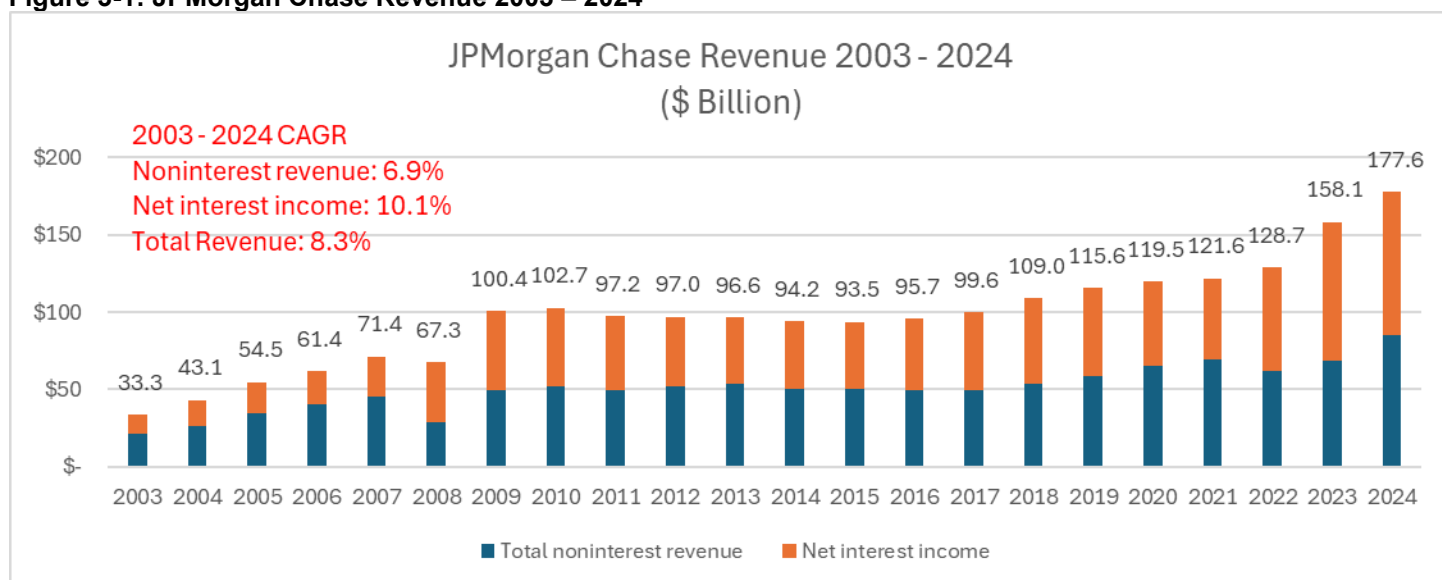
compensation by as much as 50% over two years after finding out that regional bank managers at Chase made five times more than those from Bank One.<sup>38</sup>

Though Dimon initially held the title of president and COO, and wouldn't formally take over as CEO until 2006, he was effectively co-running the bank with then-CEO William Harrison. Harrison was looking for a successor and ready to step aside and welcomed Dimon's leadership. The two worked comfortably together rather than competing for power, united in their desire to make the merger a success, leaving little room for politics.<sup>39</sup>

Several financial institutions did not survive the 2008 financial crisis. Under Dimon's leadership, JPMorgan not only survived but in the decade that followed emerged a larger institution helped by some of the decisions and actions it made during the crisis. At the request of the U.S. government, the bank even acquired troubled institutions such as Bear Stearns and Washington Mutual.<sup>40</sup> These deals not only helped contain the crisis but also significantly expanded JPMorgan's footprint and leadership within American banking.

By 2024, JPMorgan, led by Dimon, had grown into a financial conglomerate, generating over \$177 billion in revenue, up from \$33 billion in 2003, the year before he took office, reflecting a CAGR over 8%. The majority of this growth came from interest income, which rose from 37% of total revenue in 2003 to 51% in 2024, growing at 10% CAGR. The remainder came from a diverse mix of banking-related fees, including asset management, trading, and investment banking.

**Figure 3-1: JPMorgan Chase Revenue 2003 – 2024<sup>41</sup>**



Note:

1. In 2009, JPMorgan reported total net revenue of \$100.4 billion, a 49% increase year over year. The surge was driven by stronger performance across most fixed income and equity products in the aftermath of the financial crisis. The results also reflected the positive impact of the 2008 Washington Mutual acquisition, which contributed to higher net interest income, as well as growth in lending and deposit-related fees and mortgage-related income.<sup>42</sup>

<sup>38</sup> Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase. The Career Timeline of Jamie Dimon, CEO of JPMorgan Chase. Business Insider. <https://www.businessinsider.com/jamie-dimon-career>.

<sup>39</sup> Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

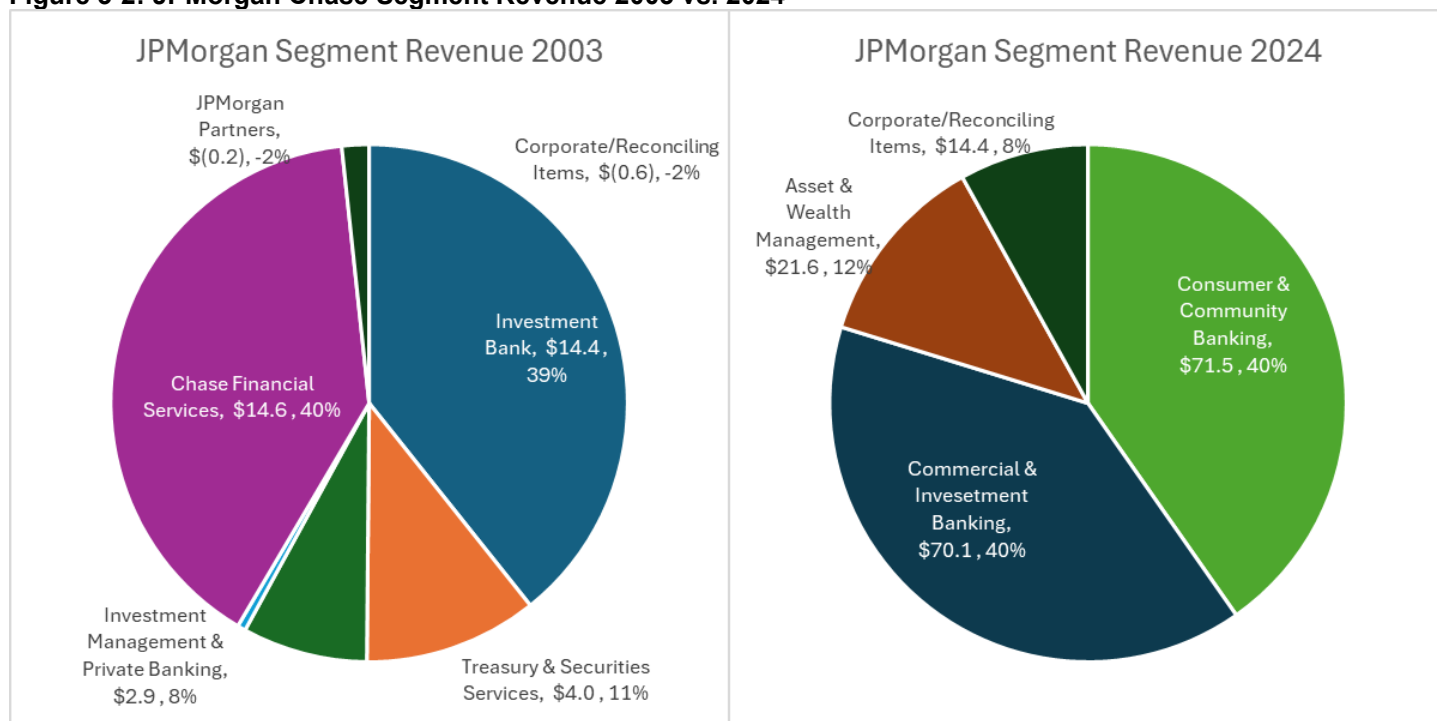
<sup>40</sup> Jamie Dimon Reprises 2008 Role as Rescuer of a Failing Bank. The New York Times.

<https://web.archive.org/web/20230420064457/https://www.nytimes.com/2023/03/30/business/jamie-dimon-silicon-valley-bank-collapse.html>

<sup>41</sup> JPMorgan Chase Annual Report 2003 – 2024.

<sup>42</sup> JPMorgan Chase Annual Report 2009.

**Figure 3-2: JPMorgan Chase Segment Revenue 2003 vs. 2024<sup>43</sup>**



**Notes:**

1. Investment Bank: A full range of investment banking and commercial banking products and services, including advising on corporate strategy and structure, capital raising in equity and debt markets, sophisticated risk management, and market-making in cash securities and derivative instruments in all major capital markets. The Investment Bank also commits the Firm's own capital to proprietary investing and trading activities.<sup>44</sup>
2. Chase Financial Services: the majority of the segment's revenues and earnings are produced by its national consumer credit businesses, Chase Home Finance, Chase Cardmember Services and Chase Auto Finance. It also serves as a full-service bank for consumers and small- and medium-sized businesses through Chase Regional Banking and Chase Middle Market."
3. Treasury & Securities Services (TSS): the segment is composed of three businesses – 1) Institutional Trust Services provides a range of services to debt and equity issuers and broker-dealers, from traditional trustee and paying-agent functions to global securities clearance; 2) Investor Services provides securities custody and related functions, such as securities lending, investment analytics and reporting, to mutual funds, investment managers, pension funds, insurance companies and banks worldwide; and 3) Treasury Services provides treasury and cash management, as well as payment, liquidity management and trade finance services, to a diversified global client base of corporations, financial institutions and governments.
4. Investment Management & Private Banking: the segment provides investment management services to institutional investors, high net worth individuals and retail customers. It also provides personalized advice and solutions to wealthy individuals and families.
5. JPMorgan Partners: this segment represents the global private equity organization of JPMorgan Chase, provides equity and mezzanine capital financing to private companies. It is a diversified investor, investing in buyouts and in growth equity and venture opportunities across a variety of industry sectors, with the objective of creating long-term value for the Firm and third-party investors.
6. Consumer & Community Banking (CCB): this segment offers products and services to consumers and small businesses through bank branches, ATMs, digital (including mobile and online) and telephone banking. CCB is organized into Banking & Wealth Management (including Consumer Banking, Business Banking and J.P. Morgan Wealth Management), Home Lending (including Home Lending Production, Home Lending Servicing and Real Estate Portfolios) and Card Services & Auto.
7. Commercial & Investment Bank (CIB): this segment is comprised of the Banking & Payments and Markets & Securities Services businesses. These businesses offer investment banking, lending, payments, market-making, financing, custody and securities products and services to a global base of corporate and institutional clients.<sup>45</sup>

<sup>43</sup> JPMorgan Chase Annual Report 2003, 2024.

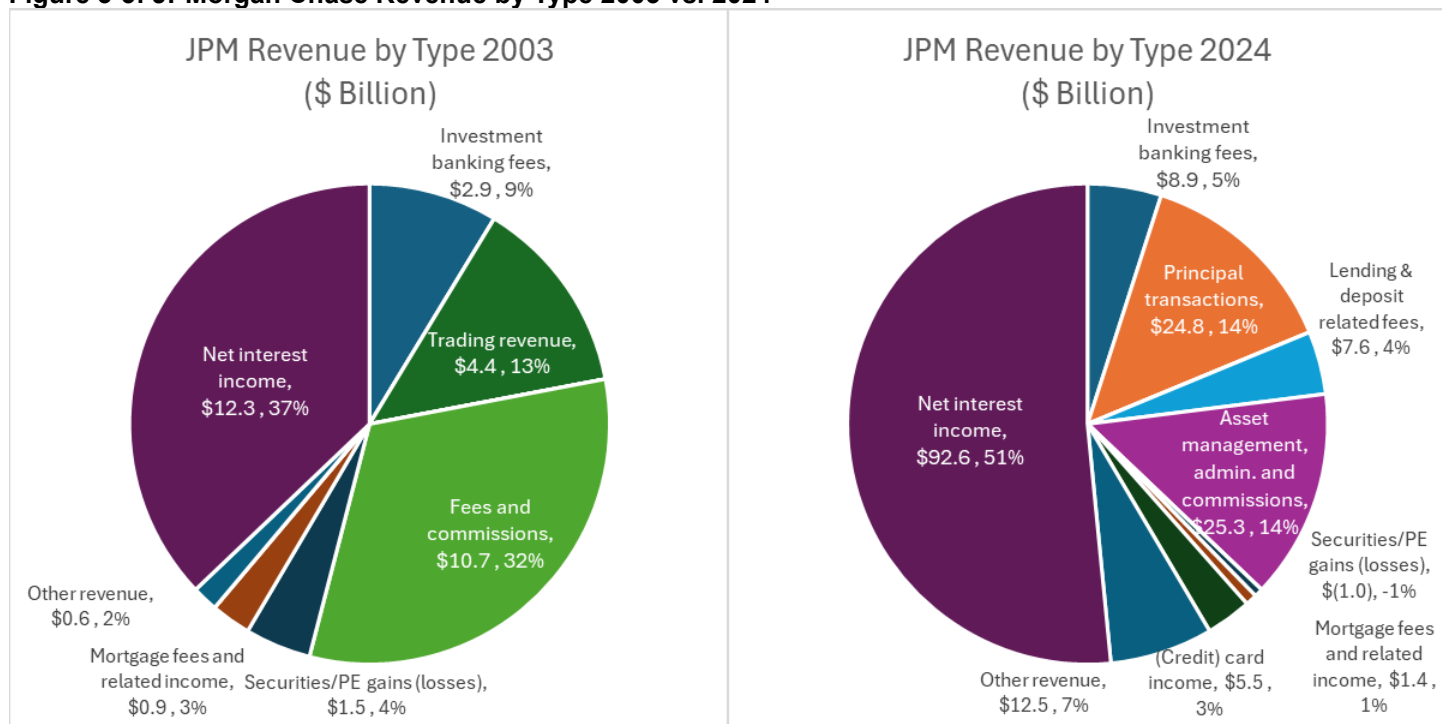
<sup>44</sup> JPMorgan Chase Annual Report 2003.

<sup>45</sup> JPMorgan Chase Annual Report 2024.

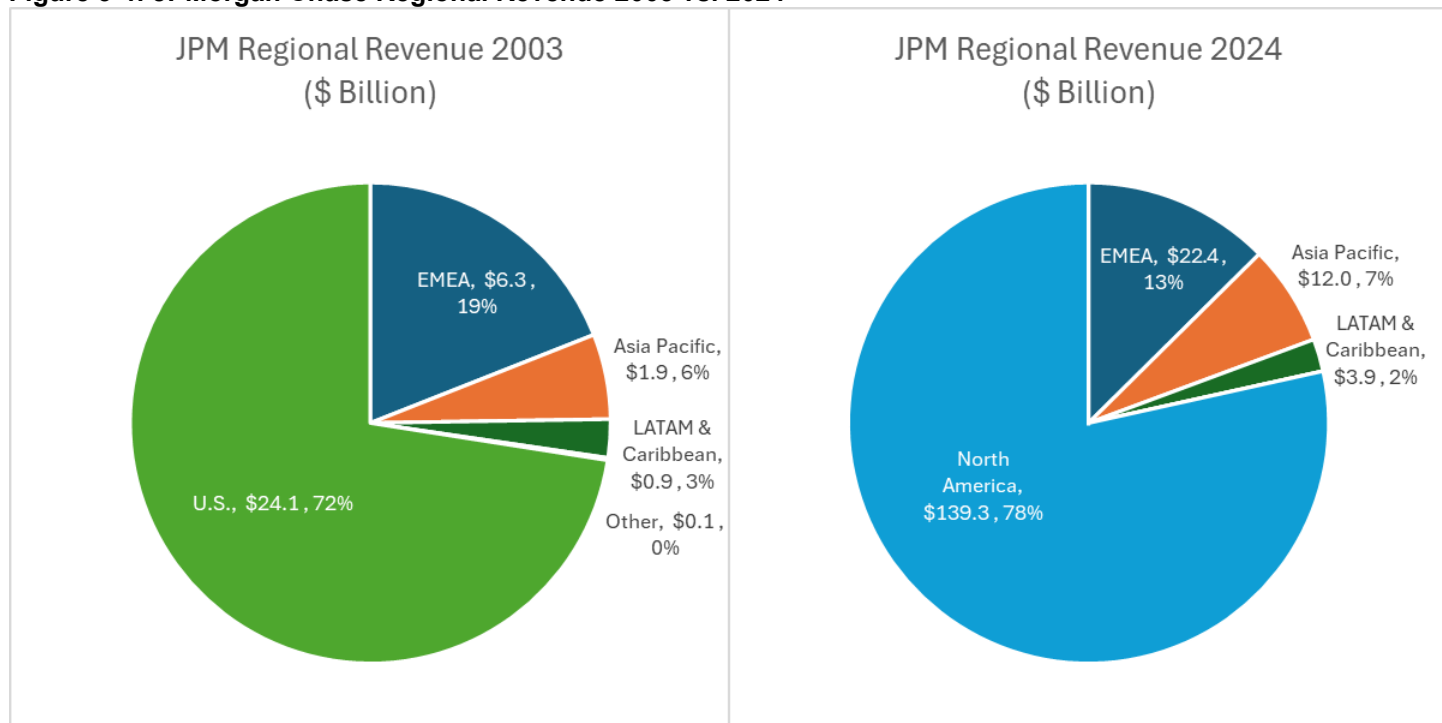


8. Asset & Wealth Management (AWM): asset management offers multi-asset investment management solutions across equities, fixed income, alternatives and money market funds to institutional and retail investors providing for a broad range of clients' investment needs; while the global private bank provides retirement products and services, brokerage, custody, estate planning, lending, deposits and investment management to high net worth clients.

**Figure 3-3: JPMorgan Chase Revenue by Type 2003 vs. 2024<sup>46</sup>**



**Figure 3-4: JPMorgan Chase Regional Revenue 2003 vs. 2024<sup>47</sup>**



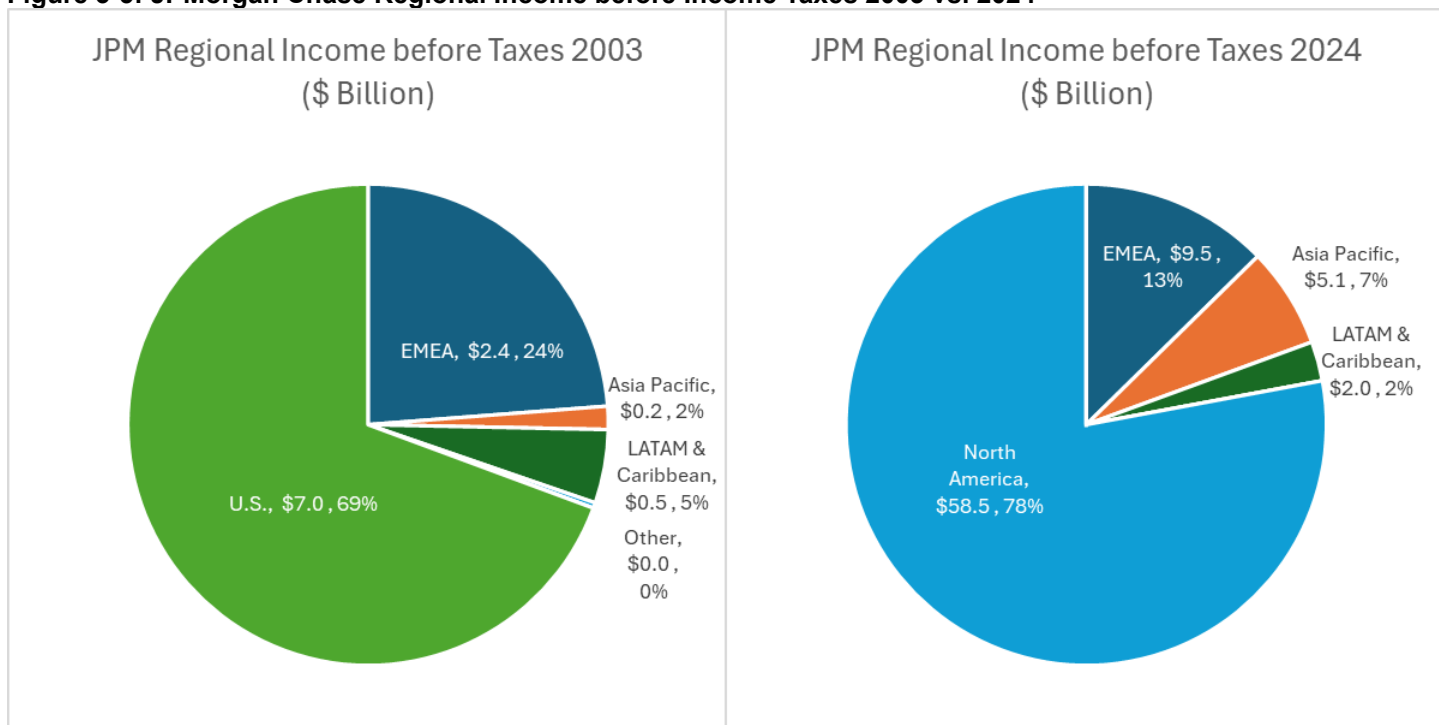
Note:

<sup>46</sup> JPMorgan Chase Annual Report 2003, 2024.

<sup>47</sup> JPMorgan Chase Annual Report 2003, 2024.

1. Revenue from North America in 2024 substantially came from the U.S.<sup>48</sup>

**Figure 3-5: JPMorgan Chase Regional Income before Income Taxes 2003 vs. 2024<sup>49</sup>**



Since Jamie Dimon took the helm at JPMorgan in 2004, the bank's operating efficiency has steadily improved, with the efficiency ratio falling from 62 percent in 2003 to 52 percent in 2024. Dimon has focused on cost-cutting, or cutting waste,<sup>50</sup> as he put it, by shutting down company gyms and excess office space, consolidating IT systems across business lines, bringing technology development in-house, and eliminating executive coaches.<sup>51</sup> Dimon made a clear distinction between cutting costs and cutting waste: "I hate the concept of cutting costs; instead, the concept should always be cutting waste. If costs are investments that drive healthy growth, then I want more of them."<sup>52</sup>

<sup>48</sup> JPMorgan Chase Annual Report 2024.

<sup>49</sup> JPMorgan Chase Annual Report 2003, 2024.

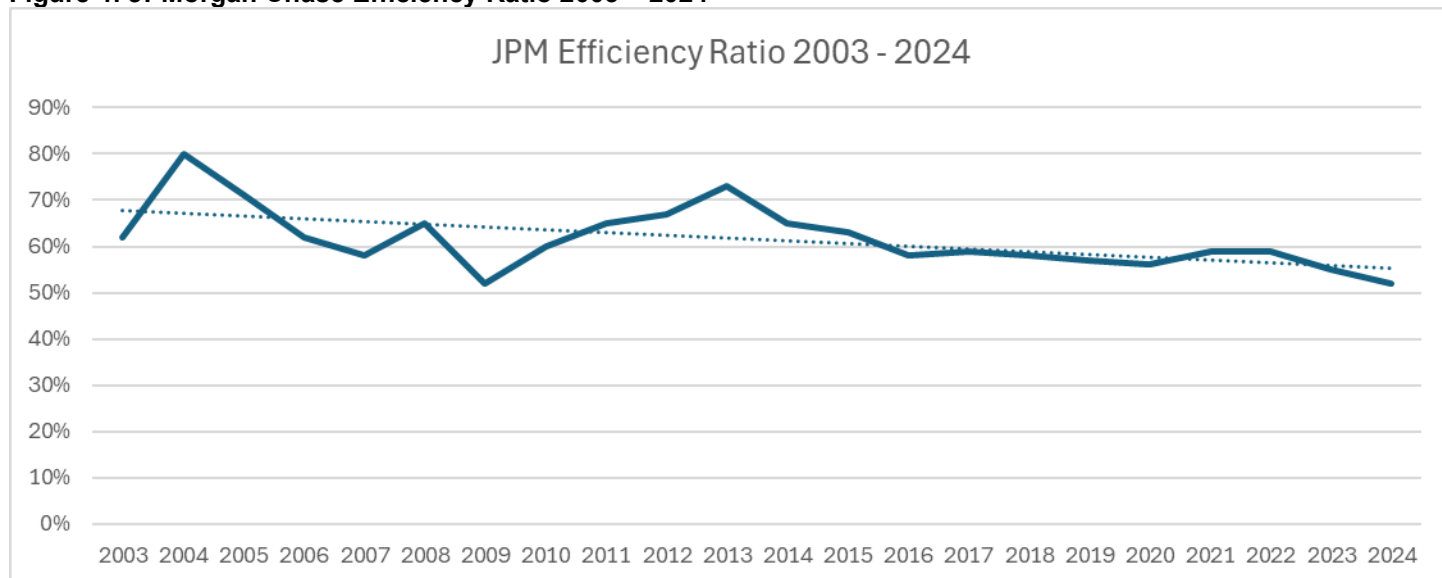
<sup>50</sup> JPMorgan Chase Annual Report 2004, 2024.

<sup>51</sup> The Careful Climber. The Economist.

<sup>52</sup> <https://web.archive.org/web/20201029181448/https://www.economist.com/business/2007/01/25/the-careful-climber>

<sup>52</sup> JPMorgan Chase Annual Report 2024.

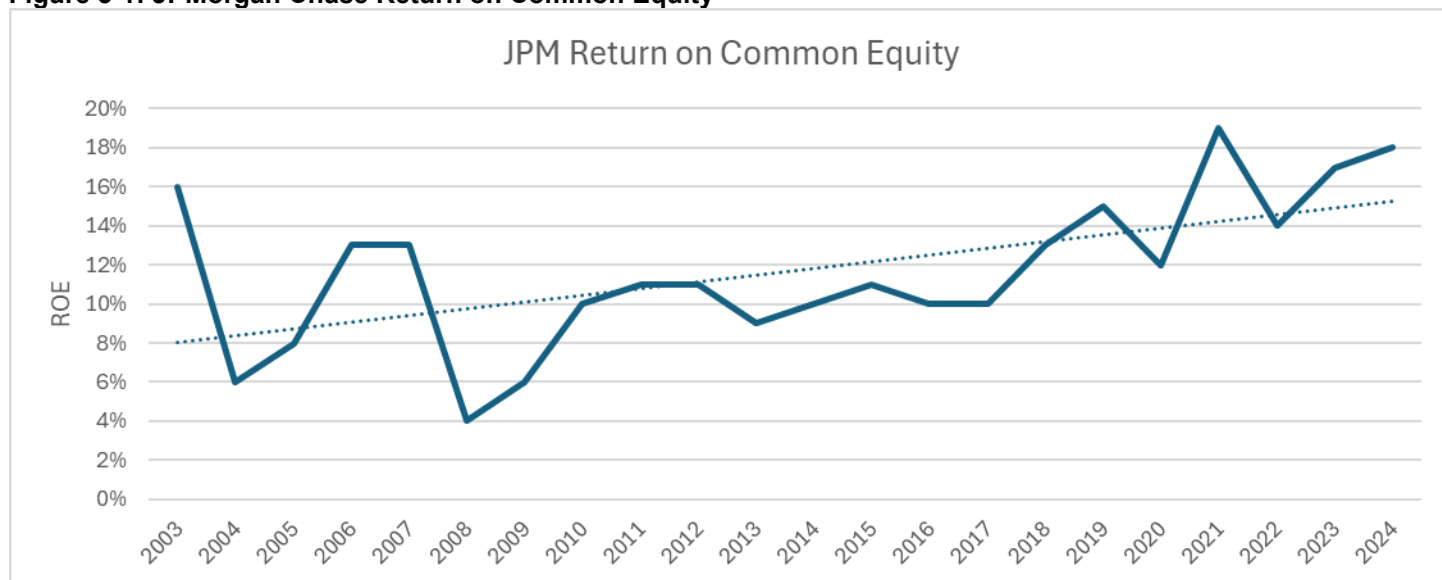
**Figure 4: JPMorgan Chase Efficiency Ratio 2003 – 2024<sup>53</sup>**



**Notes:**

1. The above data is cited directly from the company's annual reports.
2. Efficiency ratio (overhead ratio) is calculated as noninterest expense as a percentage of total net revenue.<sup>54</sup> Declining efficiency ratios indicate a reduction in overhead relative to income,<sup>55</sup> thus higher profitability.

**Figure 5-1: JPMorgan Chase Return on Common Equity<sup>56</sup>**



**Note:**

1. The above data is cited directly from the company's annual reports.

<sup>53</sup> JPMorgan Chase Annual Report 2003 – 2024.

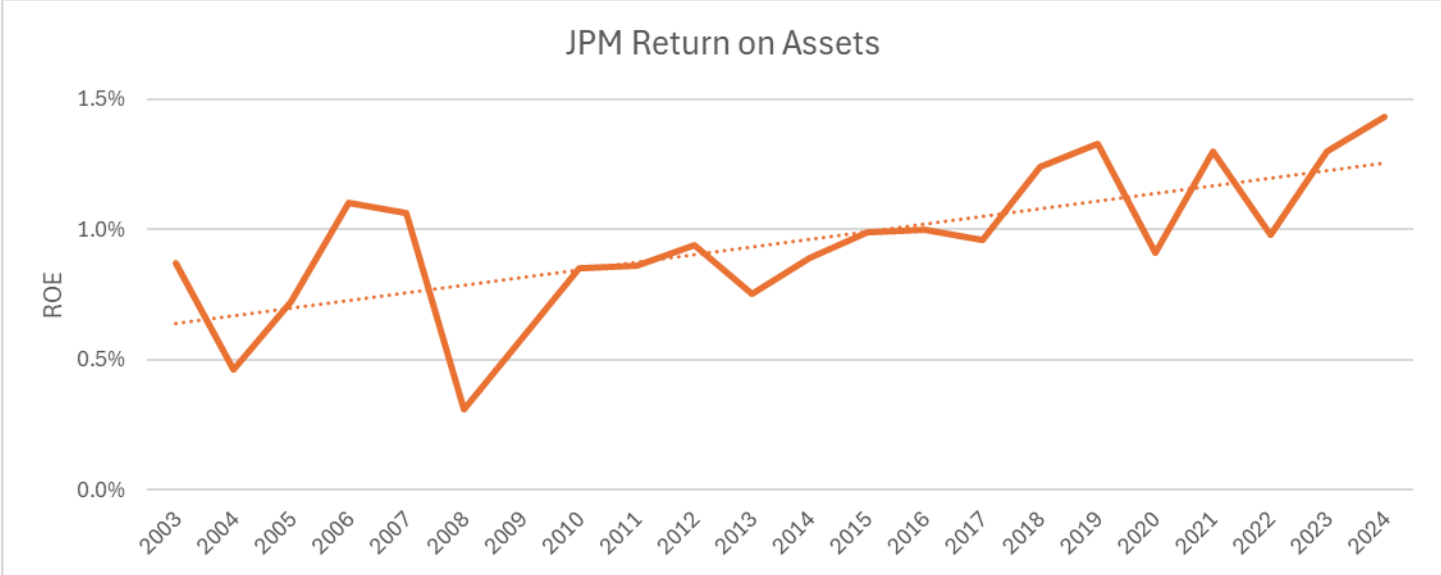
<sup>54</sup> JPMorgan Chase Annual Report 2024.

<sup>55</sup> Drive to Efficiency Leaves Smallest Banks Behind. Federal Reserve Bank of St. Louis.

<https://www.stlouisfed.org/publications/regional-economist/july-1999/drive-to-efficiency-leaves-smallest-banks-behind>

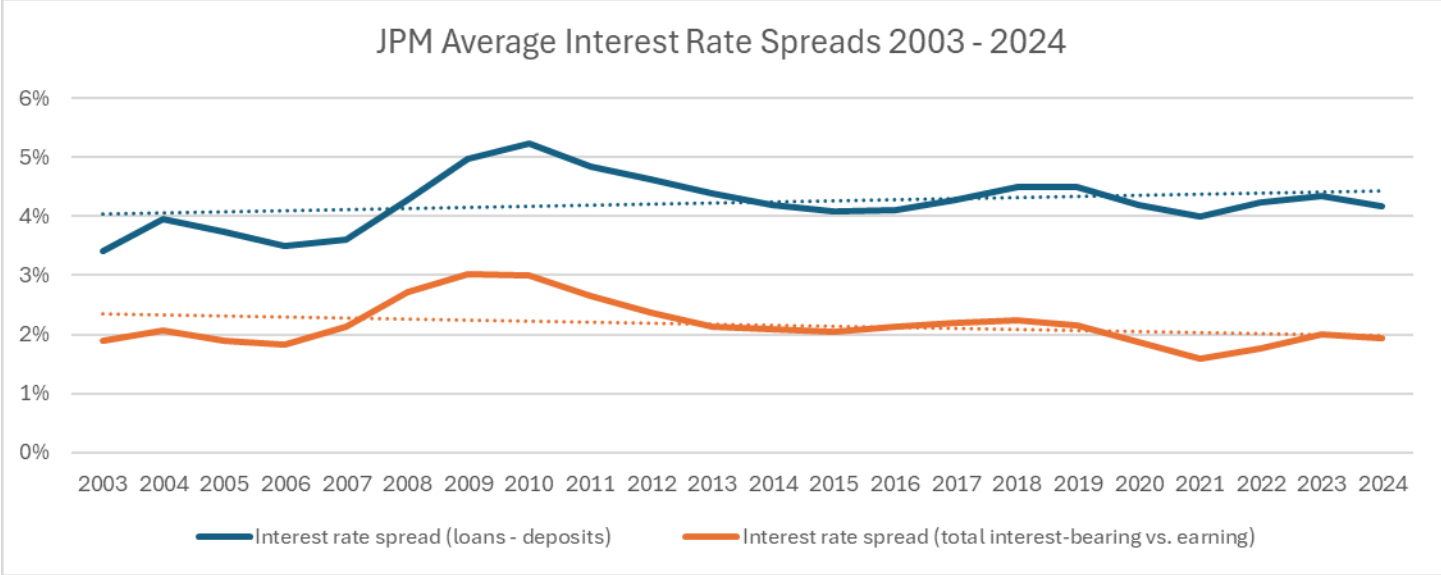
<sup>56</sup> JPMorgan Chase Annual Report 2003 – 2024.

Figure 5-2: JPMorgan Chase Return on Assets<sup>57</sup>



Note:  
1. The above data is cited directly from the company’s annual reports.

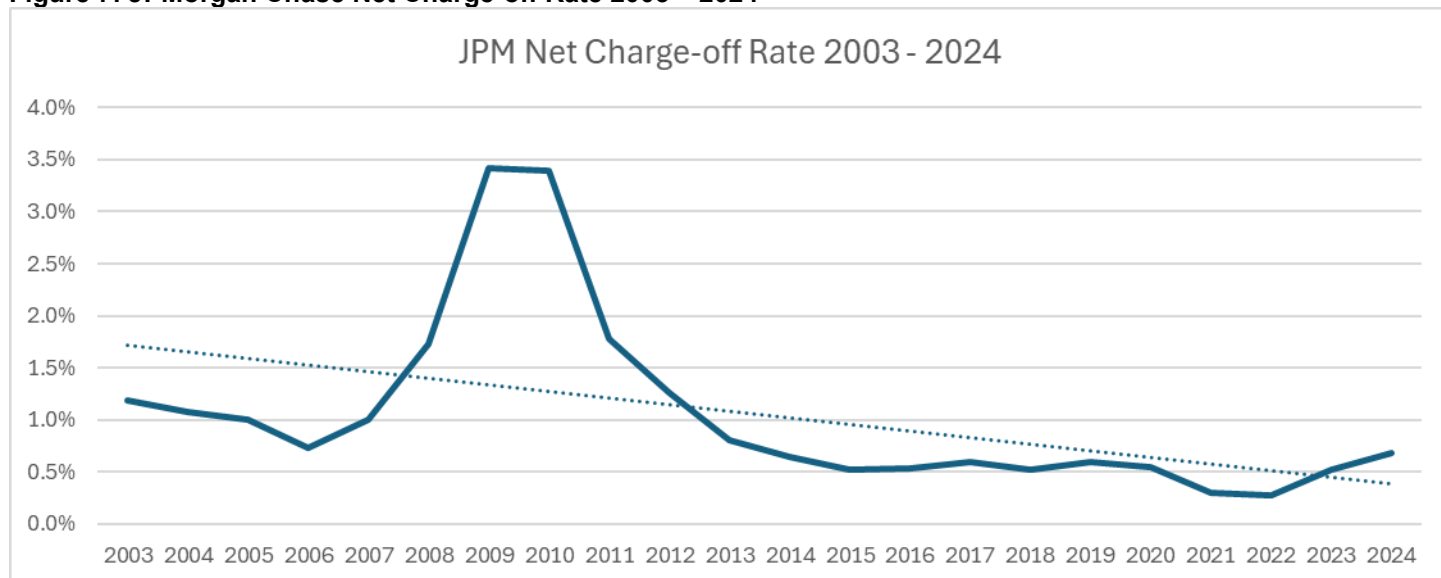
Figure 6: JPMorgan Chase Interest Rate Spreads 2003 – 2024<sup>58</sup>



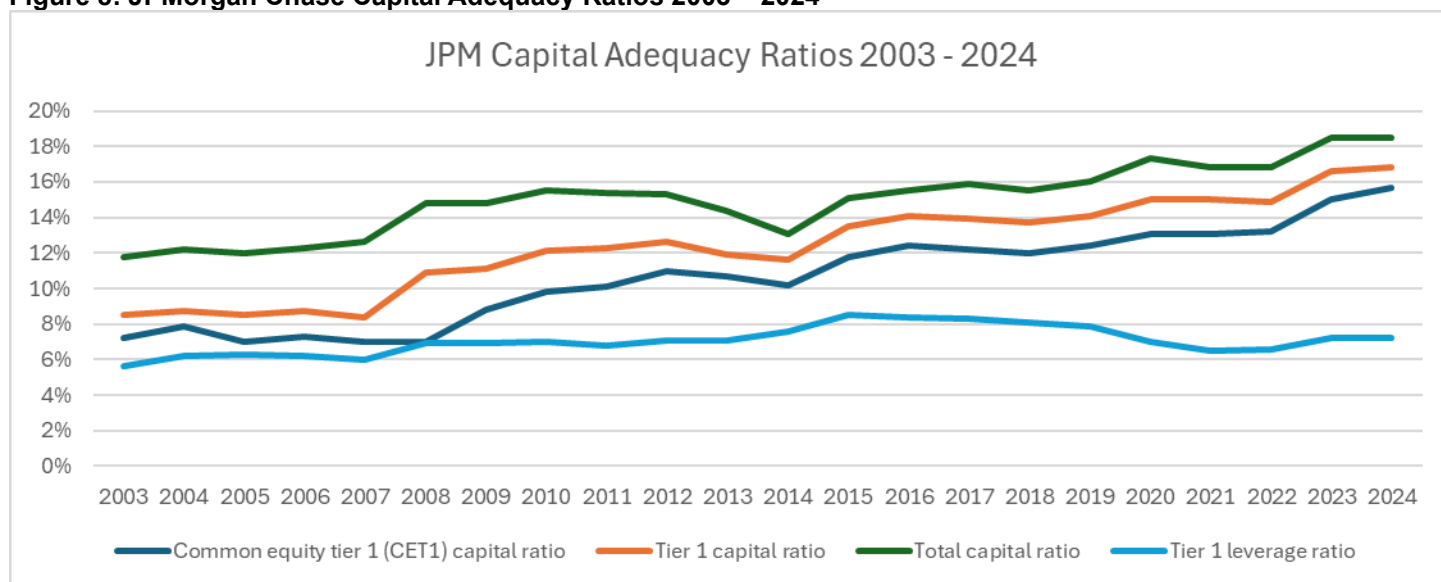
<sup>57</sup> JPMorgan Chase Annual Report 2003 – 2024.

<sup>58</sup> JPMorgan Chase Annual Report 2003 – 2024.

**Figure 7: JPMorgan Chase Net Charge-off Rate 2003 – 2024<sup>59</sup>**



**Figure 8: JPMorgan Chase Capital Adequacy Ratios 2003 – 2024<sup>60</sup>**



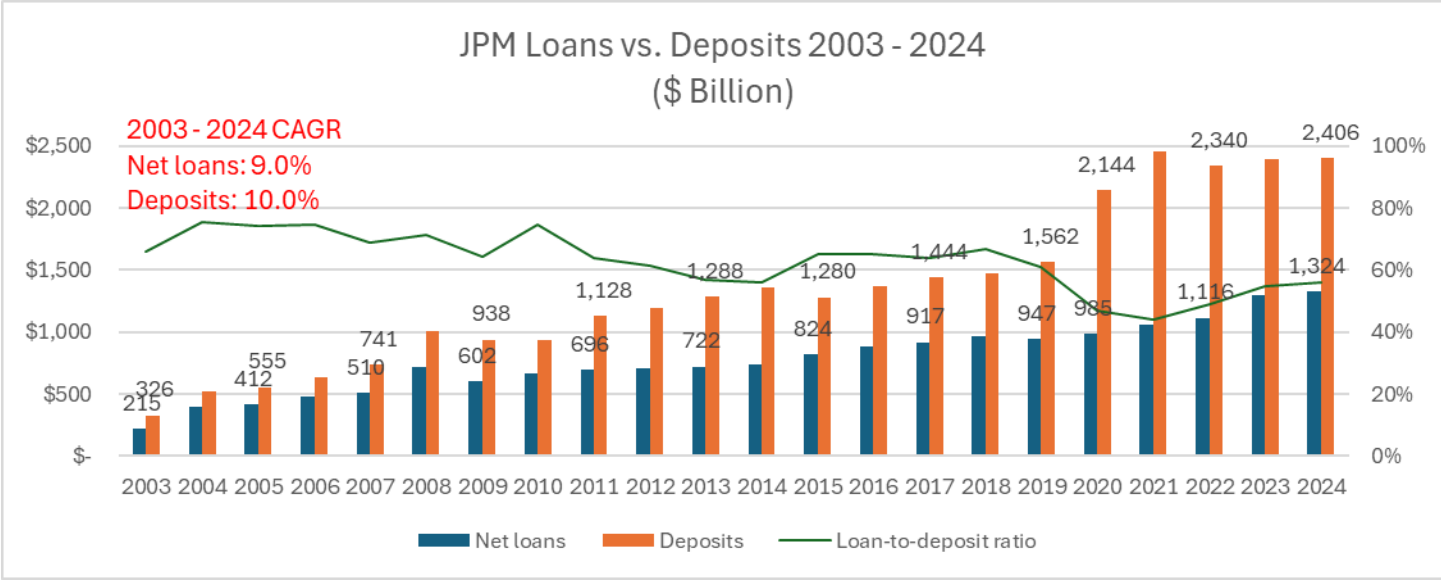
**Notes:**

1. The above data is cited directly from the company's annual reports.
2. Since the CET1 ratio was not a regulatory requirement until 2014, we use the Tier 1 Common Equity ratio, which is based on similar underlying components, for informational purposes from 2006 to 2013. The figures for 2006 to 2010 are taken directly from the company's 2010 annual report. For 2003 and 2004, we approximate the CET1 capital ratio by dividing risk-weighted assets, as reported in the annual reports, by common shareholders' equity excluding goodwill.

<sup>59</sup> JPMorgan Chase Annual Report 2003 – 2024.

<sup>60</sup> JPMorgan Chase Annual Report 2003 – 2024.

Figure 9: JPMorgan Chase Loans vs. Deposits 2003 – 2024<sup>61</sup>



<sup>61</sup> JPMorgan Chase Annual Report 2003 – 2024.

**Figure 10: JPMorgan Income Statements 20003 – 2024<sup>62</sup>**

| \$ Billion                                        | 2003           | 2004           | 2005           | 2006           | 2007            | 2008            | 2009            | 2010            | 2011            | 2012            | 2013            |
|---------------------------------------------------|----------------|----------------|----------------|----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|
| Investment banking fees                           | \$ 2.9         | \$ 3.5         | \$ 4.1         | \$ 5.5         | \$ 6.6          | \$ 5.5          | \$ 7.1          | \$ 6.2          | \$ 5.9          | \$ 5.8          | \$ 6.4          |
| Principal transactions                            | \$ -           | \$ -           | \$ -           | \$ 10.3        | \$ 9.0          | \$ (10.7)       | \$ 9.8          | \$ 10.9         | \$ 10.0         | \$ 5.5          | \$ 10.1         |
| Trading revenue                                   | \$ 4.4         | \$ 3.6         | \$ 5.9         | \$ -           | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            |
| Lending & deposit related fees                    | \$ -           | \$ 2.7         | \$ 3.4         | \$ 3.5         | \$ 3.9          | \$ 5.1          | \$ 7.0          | \$ 6.3          | \$ 6.5          | \$ 6.2          | \$ 5.9          |
| Asset management, admin. and commissions          | \$ -           | \$ 8.0         | \$ 10.4        | \$ 11.7        | \$ 14.4         | \$ 13.9         | \$ 12.5         | \$ 13.5         | \$ 14.1         | \$ 13.9         | \$ 15.1         |
| Fees and commissions                              | \$ 10.7        | \$ -           | \$ -           | \$ -           | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            |
| Securities/PE gains (losses)                      | \$ 1.5         | \$ 1.9         | \$ 0.5         | \$ (0.5)       | \$ 0.2          | \$ 1.6          | \$ 1.1          | \$ 3.0          | \$ 1.6          | \$ 2.1          | \$ 0.7          |
| Mortgage fees and related income                  | \$ 0.9         | \$ 1.0         | \$ 1.1         | \$ 0.6         | \$ 2.1          | \$ 3.5          | \$ 3.7          | \$ 3.9          | \$ 2.7          | \$ 8.7          | \$ 5.2          |
| (Credit) card income                              | \$ -           | \$ 4.8         | \$ 6.8         | \$ 6.9         | \$ 6.9          | \$ 7.4          | \$ 7.1          | \$ 5.9          | \$ 6.2          | \$ 5.7          | \$ 6.0          |
| Other revenue                                     | \$ 0.6         | \$ 0.8         | \$ 2.7         | \$ 2.2         | \$ 1.8          | \$ 2.2          | \$ 0.9          | \$ 2.0          | \$ 2.6          | \$ 4.3          | \$ 3.8          |
| <b>Total noninterest revenue</b>                  | <b>\$ 20.9</b> | <b>\$ 26.3</b> | <b>\$ 34.7</b> | <b>\$ 40.2</b> | <b>\$ 45.0</b>  | <b>\$ 28.5</b>  | <b>\$ 49.3</b>  | <b>\$ 51.7</b>  | <b>\$ 49.5</b>  | <b>\$ 52.1</b>  | <b>\$ 53.3</b>  |
| Interest income                                   | \$ 23.4        | \$ 30.6        | \$ 45.2        | \$ 59.1        | \$ 71.4         | \$ 73.0         | \$ 66.4         | \$ 63.8         | \$ 61.3         | \$ 56.1         | \$ 53.0         |
| Interest expense                                  | \$ 11.1        | \$ 13.8        | \$ 25.4        | \$ 37.9        | \$ 45.0         | \$ 34.2         | \$ 15.2         | \$ 12.8         | \$ 13.6         | \$ 11.2         | \$ 9.7          |
| <b>Net interest income</b>                        | <b>\$ 12.3</b> | <b>\$ 16.8</b> | <b>\$ 19.8</b> | <b>\$ 21.2</b> | <b>\$ 26.4</b>  | <b>\$ 38.8</b>  | <b>\$ 51.2</b>  | <b>\$ 51.0</b>  | <b>\$ 47.7</b>  | <b>\$ 44.9</b>  | <b>\$ 43.3</b>  |
| <b>Total net revenue</b>                          | <b>\$ 33.3</b> | <b>\$ 43.1</b> | <b>\$ 54.5</b> | <b>\$ 61.4</b> | <b>\$ 71.4</b>  | <b>\$ 67.3</b>  | <b>\$ 100.4</b> | <b>\$ 102.7</b> | <b>\$ 97.2</b>  | <b>\$ 97.0</b>  | <b>\$ 96.6</b>  |
| Provision for loan losses                         | \$ 1.5         | \$ 2.5         | \$ 3.5         | \$ 3.3         | \$ 6.9          | \$ 21.0         | \$ 32.0         | \$ 16.6         | \$ 7.6          | \$ 3.4          | \$ 0.2          |
| Compensation expense                              | \$ 11.7        | \$ 14.5        | \$ 18.3        | \$ 21.2        | \$ 22.7         | \$ 22.7         | \$ 26.9         | \$ 28.1         | \$ 29.0         | \$ 30.6         | \$ 30.8         |
| Occupancy expense                                 | \$ 1.9         | \$ 2.1         | \$ 2.3         | \$ 2.3         | \$ 2.6          | \$ 3.0          | \$ 3.7          | \$ 3.7          | \$ 3.9          | \$ 3.9          | \$ 3.7          |
| Technology, communications, and equipment expense | \$ 2.8         | \$ 3.7         | \$ 3.6         | \$ 3.7         | \$ 3.8          | \$ 4.3          | \$ 4.6          | \$ 4.7          | \$ 4.9          | \$ 5.2          | \$ 5.4          |
| Professional and outside services                 | \$ -           | \$ 3.9         | \$ 4.2         | \$ 3.9         | \$ 5.1          | \$ 6.1          | \$ 6.2          | \$ 6.8          | \$ 7.5          | \$ 7.4          | \$ 7.6          |
| Marketing                                         | \$ -           | \$ 1.3         | \$ 1.9         | \$ 2.2         | \$ 2.1          | \$ 1.9          | \$ 1.8          | \$ 2.4          | \$ 3.1          | \$ 2.6          | \$ 2.5          |
| Other expense                                     | \$ 5.2         | \$ 6.6         | \$ 6.3         | \$ 3.3         | \$ 3.8          | \$ 3.7          | \$ 7.6          | \$ 14.6         | \$ 13.6         | \$ 14.0         | \$ 19.8         |
| Amortization of intangibles                       | \$ -           | \$ 0.9         | \$ 1.5         | \$ 1.4         | \$ 1.4          | \$ 1.3          | \$ 1.1          | \$ 0.9          | \$ 0.8          | \$ 1.0          | \$ 0.6          |
| Merger and restructuring costs                    | \$ -           | \$ 1.4         | \$ 0.7         | \$ 0.3         | \$ 0.2          | \$ 0.4          | \$ 0.5          | \$ -            | \$ -            | \$ -            | \$ -            |
| <b>Total noninterest expense</b>                  | <b>\$ 21.7</b> | <b>\$ 34.4</b> | <b>\$ 38.8</b> | <b>\$ 38.3</b> | <b>\$ 41.7</b>  | <b>\$ 43.5</b>  | <b>\$ 52.4</b>  | <b>\$ 61.2</b>  | <b>\$ 62.9</b>  | <b>\$ 64.7</b>  | <b>\$ 70.5</b>  |
| <b>Pre-tax income</b>                             | <b>\$ 10.0</b> | <b>\$ 6.2</b>  | <b>\$ 12.2</b> | <b>\$ 19.9</b> | <b>\$ 22.8</b>  | <b>\$ 2.8</b>   | <b>\$ 16.1</b>  | <b>\$ 24.9</b>  | <b>\$ 26.7</b>  | <b>\$ 28.9</b>  | <b>\$ 25.9</b>  |
| Tax expense (benefit)                             | \$ 3.3         | \$ 1.7         | \$ 3.7         | \$ 6.2         | \$ 7.4          | \$ (0.9)        | \$ 4.4          | \$ 7.5          | \$ 7.8          | \$ 7.6          | \$ 8.0          |
| <b>Net income</b>                                 | <b>\$ 6.7</b>  | <b>\$ 4.5</b>  | <b>\$ 8.5</b>  | <b>\$ 14.4</b> | <b>\$ 15.4</b>  | <b>\$ 5.6</b>   | <b>\$ 11.7</b>  | <b>\$ 17.4</b>  | <b>\$ 19.0</b>  | <b>\$ 21.3</b>  | <b>\$ 17.9</b>  |
| <b>Net income available to common stock</b>       | <b>\$ 6.7</b>  | <b>\$ 4.4</b>  | <b>\$ 8.5</b>  | <b>\$ 14.4</b> | <b>\$ 15.4</b>  | <b>\$ 4.9</b>   | <b>\$ 8.8</b>   | <b>\$ 15.8</b>  | <b>\$ 17.6</b>  | <b>\$ 19.9</b>  | <b>\$ 16.6</b>  |
| \$ Billion                                        | 2014           | 2015           | 2016           | 2017           | 2018            | 2019            | 2020            | 2021            | 2022            | 2023            | 2024            |
| Investment banking fees                           | \$ 6.5         | \$ 6.8         | \$ 6.4         | \$ 7.2         | \$ 7.6          | \$ 7.5          | \$ 9.5          | \$ 13.2         | \$ 6.7          | \$ 6.5          | \$ 8.9          |
| Principal transactions                            | \$ 10.5        | \$ 10.4        | \$ 11.6        | \$ 11.3        | \$ 12.1         | \$ 14.0         | \$ 18.0         | \$ 16.3         | \$ 19.9         | \$ 24.5         | \$ 24.8         |
| Trading revenue                                   | \$ -           | \$ -           | \$ -           | \$ -           | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            |
| Lending & deposit related fees                    | \$ 5.8         | \$ 5.7         | \$ 5.8         | \$ 5.9         | \$ 6.1          | \$ 6.4          | \$ 6.5          | \$ 7.0          | \$ 7.1          | \$ 7.4          | \$ 7.6          |
| Asset management, admin. and commissions          | \$ 15.9        | \$ 15.5        | \$ 14.6        | \$ 15.4        | \$ 17.1         | \$ 17.2         | \$ 18.2         | \$ 21.0         | \$ 20.7         | \$ 22.1         | \$ 25.3         |
| Fees and commissions                              | \$ -           | \$ -           | \$ -           | \$ -           | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            |
| Securities/PE gains (losses)                      | \$ 0.1         | \$ 0.2         | \$ 0.1         | \$ (0.1)       | \$ (0.4)        | \$ 0.3          | \$ 0.8          | \$ (0.3)        | \$ (2.4)        | \$ (3.2)        | \$ (1.0)        |
| Mortgage fees and related income                  | \$ 3.5         | \$ 2.5         | \$ 2.5         | \$ 1.6         | \$ 1.3          | \$ 2.0          | \$ 3.1          | \$ 2.2          | \$ 1.3          | \$ 1.2          | \$ 1.4          |
| (Credit) card income                              | \$ 6.0         | \$ 5.9         | \$ 4.8         | \$ 4.4         | \$ 5.0          | \$ 5.3          | \$ 4.4          | \$ 5.1          | \$ 4.4          | \$ 4.8          | \$ 5.5          |
| Other revenue                                     | \$ 2.1         | \$ 3.0         | \$ 3.8         | \$ 3.6         | \$ 5.3          | \$ 5.7          | \$ 4.5          | \$ 4.8          | \$ 4.3          | \$ 5.6          | \$ 12.5         |
| <b>Total noninterest revenue</b>                  | <b>\$ 50.5</b> | <b>\$ 50.0</b> | <b>\$ 49.6</b> | <b>\$ 49.5</b> | <b>\$ 54.0</b>  | <b>\$ 58.4</b>  | <b>\$ 65.0</b>  | <b>\$ 69.3</b>  | <b>\$ 62.0</b>  | <b>\$ 68.8</b>  | <b>\$ 85.0</b>  |
| Interest income                                   | \$ 51.5        | \$ 51.0        | \$ 55.9        | \$ 64.4        | \$ 77.4         | \$ 84.0         | \$ 64.5         | \$ 57.9         | \$ 92.8         | \$ 170.6        | \$ 193.9        |
| Interest expense                                  | \$ 7.9         | \$ 7.5         | \$ 9.8         | \$ 14.3        | \$ 22.4         | \$ 26.8         | \$ 10.0         | \$ 5.6          | \$ 26.1         | \$ 81.3         | \$ 101.4        |
| <b>Net interest income</b>                        | <b>\$ 43.6</b> | <b>\$ 43.5</b> | <b>\$ 46.1</b> | <b>\$ 50.1</b> | <b>\$ 55.1</b>  | <b>\$ 57.2</b>  | <b>\$ 54.6</b>  | <b>\$ 52.3</b>  | <b>\$ 66.7</b>  | <b>\$ 89.3</b>  | <b>\$ 92.6</b>  |
| <b>Total net revenue</b>                          | <b>\$ 94.2</b> | <b>\$ 93.5</b> | <b>\$ 95.7</b> | <b>\$ 99.6</b> | <b>\$ 109.0</b> | <b>\$ 115.6</b> | <b>\$ 119.5</b> | <b>\$ 121.6</b> | <b>\$ 128.7</b> | <b>\$ 158.1</b> | <b>\$ 177.6</b> |
| Provision for loan losses                         | \$ 3.1         | \$ 3.8         | \$ 5.4         | \$ 5.3         | \$ 4.9          | \$ 5.6          | \$ 17.5         | \$ (9.3)        | \$ 6.4          | \$ 9.3          | \$ 10.7         |
| Compensation expense                              | \$ 30.2        | \$ 29.8        | \$ 30.0        | \$ 31.0        | \$ 33.1         | \$ 34.2         | \$ 35.0         | \$ 38.6         | \$ 41.6         | \$ 46.5         | \$ 51.4         |
| Occupancy expense                                 | \$ 3.9         | \$ 3.8         | \$ 3.6         | \$ 3.7         | \$ 1.0          | \$ 4.3          | \$ 4.4          | \$ 4.5          | \$ 4.7          | \$ 4.6          | \$ 5.0          |
| Technology, communications, and equipment expense | \$ 5.8         | \$ 6.2         | \$ 6.8         | \$ 7.7         | \$ 8.8          | \$ 9.8          | \$ 10.3         | \$ 9.9          | \$ 9.4          | \$ 9.2          | \$ 9.8          |
| Professional and outside services                 | \$ 7.7         | \$ 7.0         | \$ 6.7         | \$ 6.8         | \$ 8.5          | \$ 8.5          | \$ 8.5          | \$ 9.8          | \$ 10.2         | \$ 10.2         | \$ 11.1         |
| Marketing                                         | \$ 2.6         | \$ 2.7         | \$ 2.9         | \$ 2.9         | \$ 3.3          | \$ 3.6          | \$ 2.5          | \$ 3.0          | \$ 3.9          | \$ 4.6          | \$ 5.0          |
| Other expense                                     | \$ 11.1        | \$ 9.6         | \$ 5.8         | \$ 6.3         | \$ 5.7          | \$ 5.1          | \$ 5.9          | \$ 5.5          | \$ 6.4          | \$ 12.0         | \$ 9.6          |
| Amortization of intangibles                       | \$ -           | \$ -           | \$ -           | \$ -           | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            |
| Merger and restructuring costs                    | \$ -           | \$ -           | \$ -           | \$ -           | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            | \$ -            |
| <b>Total noninterest expense</b>                  | <b>\$ 61.3</b> | <b>\$ 59.0</b> | <b>\$ 55.8</b> | <b>\$ 58.4</b> | <b>\$ 60.4</b>  | <b>\$ 65.5</b>  | <b>\$ 66.7</b>  | <b>\$ 71.3</b>  | <b>\$ 76.1</b>  | <b>\$ 87.2</b>  | <b>\$ 91.8</b>  |
| <b>Pre-tax income</b>                             | <b>\$ 29.8</b> | <b>\$ 30.7</b> | <b>\$ 34.5</b> | <b>\$ 35.9</b> | <b>\$ 43.8</b>  | <b>\$ 44.5</b>  | <b>\$ 35.4</b>  | <b>\$ 59.6</b>  | <b>\$ 46.2</b>  | <b>\$ 61.6</b>  | <b>\$ 75.1</b>  |
| Tax expense (benefit)                             | \$ 8.0         | \$ 6.3         | \$ 9.8         | \$ 11.5        | \$ 8.3          | \$ 8.1          | \$ 6.3          | \$ 11.2         | \$ 8.5          | \$ 12.1         | \$ 16.6         |
| <b>Net income</b>                                 | <b>\$ 21.7</b> | <b>\$ 24.4</b> | <b>\$ 24.7</b> | <b>\$ 24.4</b> | <b>\$ 35.5</b>  | <b>\$ 36.4</b>  | <b>\$ 29.1</b>  | <b>\$ 48.3</b>  | <b>\$ 37.7</b>  | <b>\$ 49.6</b>  | <b>\$ 58.5</b>  |
| <b>Net income available to common stock</b>       | <b>\$ 20.1</b> | <b>\$ 22.4</b> | <b>\$ 22.6</b> | <b>\$ 22.6</b> | <b>\$ 30.7</b>  | <b>\$ 34.6</b>  | <b>\$ 27.4</b>  | <b>\$ 46.5</b>  | <b>\$ 35.9</b>  | <b>\$ 47.8</b>  | <b>\$ 56.9</b>  |

**Figure 11: JPMorgan Balance Sheet 2003 – 2024<sup>63</sup>**

| \$ Billion                                                              | 2003             | 2004             | 2005             | 2006             | 2007             | 2008             | 2009             | 2010             | 2011             | 2012             | 2013             |
|-------------------------------------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| Cash and due from banks                                                 | \$ 20.3          | \$ 35.2          | \$ 36.7          | \$ 40.4          | \$ 40.1          | \$ 26.9          | \$ 26.2          | \$ 27.6          | \$ 59.6          | \$ 53.7          | \$ 39.8          |
| Deposits with banks                                                     | \$ 10.2          | \$ 21.7          | \$ 21.7          | \$ 13.5          | \$ 11.5          | \$ 138.1         | \$ 63.2          | \$ 21.7          | \$ 85.3          | \$ 121.8         | \$ 316.1         |
| Federal funds sold and securities purchased under resale agreements     | \$ 76.9          | \$ 101.4         | \$ 134.0         | \$ 140.5         | \$ 170.9         | \$ 203.1         | \$ 195.4         | \$ 222.6         | \$ 235.3         | \$ 296.3         | \$ 248.1         |
| Securities borrowed                                                     | \$ 41.8          | \$ 47.4          | \$ 74.6          | \$ 73.7          | \$ 84.2          | \$ 124.0         | \$ 119.6         | \$ 123.6         | \$ 142.5         | \$ 119.0         | \$ 111.5         |
| Trading assets                                                          | \$ 252.9         | \$ 288.8         | \$ 298.4         | \$ 365.7         | \$ 491.4         | \$ 510.0         | \$ 411.1         | \$ 489.9         | \$ 444.0         | \$ 450.0         | \$ 374.7         |
| Securities (available-for-sale + held-to-maturities)                    | \$ 60.2          | \$ 94.5          | \$ 47.6          | \$ 92.0          | \$ 85.5          | \$ 205.9         | \$ 360.4         | \$ 316.3         | \$ 364.8         | \$ 371.2         | \$ 354.0         |
| Interests in purchased receivables                                      | \$ -             | \$ 31.7          | \$ 29.7          | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             |
| Net loans                                                               | \$ 215.0         | \$ 394.8         | \$ 412.1         | \$ 475.8         | \$ 510.1         | \$ 721.7         | \$ 601.9         | \$ 660.7         | \$ 696.1         | \$ 711.9         | \$ 722.2         |
| Loans                                                                   | \$ 215.0         | \$ 402.1         | \$ 419.1         | \$ 483.1         | \$ 519.4         | \$ 744.9         | \$ 633.5         | \$ 692.9         | \$ 723.7         | \$ 733.8         | \$ 738.4         |
| Allowance for loan losses                                               | \$ -             | \$ (7.3)         | \$ (7.1)         | \$ (7.3)         | \$ (9.2)         | \$ (23.2)        | \$ (31.6)        | \$ (32.3)        | \$ (27.6)        | \$ (21.9)        | \$ (16.3)        |
| Accrued interest and accounts receivable                                | \$ 12.4          | \$ 21.4          | \$ 22.4          | \$ 22.9          | \$ 24.8          | \$ 61.0          | \$ 67.4          | \$ 70.1          | \$ 61.5          | \$ 60.9          | \$ 65.2          |
| Premises and equipment                                                  | \$ 6.5           | \$ 9.1           | \$ 9.1           | \$ 8.7           | \$ 9.3           | \$ 10.0          | \$ 11.1          | \$ 13.4          | \$ 14.0          | \$ 14.5          | \$ 14.9          |
| Goodwill (inc. other intangible assets post-2016)                       | \$ 8.5           | \$ 43.2          | \$ 43.6          | \$ 45.2          | \$ 45.3          | \$ 48.0          | \$ 48.4          | \$ 48.9          | \$ 48.2          | \$ 48.2          | \$ 48.1          |
| Intangible - mortgage servicing rights                                  | \$ 4.8           | \$ 5.1           | \$ 6.5           | \$ 7.5           | \$ 8.6           | \$ 9.4           | \$ 15.5          | \$ 13.6          | \$ 7.2           | \$ 7.6           | \$ 9.6           |
| Other intangible                                                        | \$ 1.7           | \$ 9.6           | \$ 8.1           | \$ 7.3           | \$ 6.1           | \$ 5.6           | \$ 4.6           | \$ 4.0           | \$ 3.2           | \$ 2.2           | \$ 1.6           |
| Other assets                                                            | \$ 59.8          | \$ 53.3          | \$ 54.6          | \$ 58.1          | \$ 74.3          | \$ 111.2         | \$ 107.1         | \$ 105.3         | \$ 104.1         | \$ 101.8         | \$ 110.1         |
| <b>Total assets</b>                                                     | <b>\$ 770.9</b>  | <b>\$1,157.2</b> | <b>\$1,198.9</b> | <b>\$1,351.5</b> | <b>\$1,562.1</b> | <b>\$2,175.1</b> | <b>\$2,032.0</b> | <b>\$2,117.6</b> | <b>\$2,265.8</b> | <b>\$2,359.1</b> | <b>\$2,415.7</b> |
| Deposits                                                                | \$ 326.5         | \$ 521.5         | \$ 555.0         | \$ 638.8         | \$ 740.7         | \$1,009.3        | \$ 938.4         | \$ 930.4         | \$1,127.8        | \$1,193.6        | \$1,287.8        |
| Federal funds purchased and securities sold under repurchase agreements | \$ 113.5         | \$ 127.8         | \$ 125.9         | \$ 162.2         | \$ 154.4         | \$ 192.5         | \$ 261.4         | \$ 276.6         | \$ 213.5         | \$ 240.1         | \$ 181.2         |
| Short-term borrowings (commercial paper + other borrowed funds)         | \$ 23.2          | \$ 21.6          | \$ 24.3          | \$ 36.9          | \$ 78.4          | \$ 170.2         | \$ 97.5          | \$ 92.7          | \$ 73.5          | \$ 82.0          | \$ 85.8          |
| Trading liabilities                                                     | \$ 149.4         | \$ 151.2         | \$ 145.9         | \$ 148.0         | \$ 157.9         | \$ 166.9         | \$ 125.1         | \$ 146.2         | \$ 141.7         | \$ 131.9         | \$ 137.7         |
| Accounts payable, accrued expenses and other liabilities                | \$ 45.1          | \$ 75.7          | \$ 78.5          | \$ 88.1          | \$ 94.5          | \$ 188.0         | \$ 162.7         | \$ 170.3         | \$ 202.9         | \$ 195.2         | \$ 194.5         |
| Beneficial interests issued by consolidated variable interest entities  | \$ 12.3          | \$ 48.0          | \$ 42.2          | \$ 16.2          | \$ 14.0          | \$ 10.6          | \$ 15.2          | \$ 77.6          | \$ 66.0          | \$ 63.2          | \$ 49.6          |
| Long-term debt                                                          | \$ 48.0          | \$ 95.4          | \$ 108.4         | \$ 133.4         | \$ 183.9         | \$ 252.1         | \$ 266.3         | \$ 247.7         | \$ 256.8         | \$ 249.0         | \$ 267.9         |
| Other borrowings                                                        | \$ 6.8           | \$ 10.3          | \$ 11.5          | \$ 12.2          | \$ 15.1          | \$ 18.6          | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             |
| <b>Total liabilities</b>                                                | <b>\$ 724.8</b>  | <b>\$1,051.6</b> | <b>\$1,091.7</b> | <b>\$1,235.7</b> | <b>\$1,438.9</b> | <b>\$2,008.2</b> | <b>\$1,866.6</b> | <b>\$1,941.5</b> | <b>\$2,082.2</b> | <b>\$2,155.1</b> | <b>\$2,204.5</b> |
| <b>Total stockholders' equity</b>                                       | <b>\$ 46.2</b>   | <b>\$ 105.7</b>  | <b>\$ 107.2</b>  | <b>\$ 115.8</b>  | <b>\$ 123.2</b>  | <b>\$ 166.9</b>  | <b>\$ 165.4</b>  | <b>\$ 176.1</b>  | <b>\$ 183.6</b>  | <b>\$ 204.1</b>  | <b>\$ 211.2</b>  |
| <b>Total liabilities and stockholders' equity</b>                       | <b>\$ 770.9</b>  | <b>\$1,157.2</b> | <b>\$1,198.9</b> | <b>\$1,351.5</b> | <b>\$1,562.1</b> | <b>\$2,175.1</b> | <b>\$2,032.0</b> | <b>\$2,117.6</b> | <b>\$2,265.8</b> | <b>\$2,359.1</b> | <b>\$2,415.7</b> |
| \$ Billion                                                              | 2014             | 2015             | 2016             | 2017             | 2018             | 2019             | 2020             | 2021             | 2022             | 2023             | 2024             |
| Cash and due from banks                                                 | \$ 27.8          | \$ 20.5          | \$ 23.9          | \$ 25.8          | \$ 22.3          | \$ 21.7          | \$ 24.9          | \$ 26.4          | \$ 27.7          | \$ 29.1          | \$ 23.4          |
| Deposits with banks                                                     | \$ 484.5         | \$ 340.0         | \$ 365.8         | \$ 404.3         | \$ 256.5         | \$ 241.9         | \$ 502.7         | \$ 714.4         | \$ 539.5         | \$ 595.1         | \$ 445.9         |
| Federal funds sold and securities purchased under resale agreements     | \$ 215.8         | \$ 212.6         | \$ 230.0         | \$ 198.4         | \$ 321.6         | \$ 249.2         | \$ 296.3         | \$ 261.7         | \$ 315.6         | \$ 276.2         | \$ 295.0         |
| Securities borrowed                                                     | \$ 110.4         | \$ 98.7          | \$ 96.4          | \$ 105.1         | \$ 112.0         | \$ 139.8         | \$ 160.6         | \$ 206.1         | \$ 185.4         | \$ 200.4         | \$ 219.5         |
| Trading assets                                                          | \$ 399.0         | \$ 343.8         | \$ 372.1         | \$ 381.8         | \$ 413.7         | \$ 411.1         | \$ 503.1         | \$ 433.6         | \$ 453.8         | \$ 540.6         | \$ 637.8         |
| Securities (available-for-sale + held-to-maturities)                    | \$ 348.0         | \$ 290.8         | \$ 289.1         | \$ 250.0         | \$ 261.8         | \$ 398.2         | \$ 590.0         | \$ 672.2         | \$ 631.2         | \$ 571.6         | \$ 681.3         |
| Interests in purchased receivables                                      | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             |
| Net loans                                                               | \$ 743.2         | \$ 823.7         | \$ 881.0         | \$ 917.1         | \$ 971.1         | \$ 946.6         | \$ 984.5         | \$1,061.3        | \$1,115.9        | \$1,301.3        | \$1,323.6        |
| Loans                                                                   | \$ 757.3         | \$ 837.3         | \$ 894.8         | \$ 930.7         | \$ 984.6         | \$ 959.8         | \$1,012.9        | \$1,077.7        | \$1,135.6        | \$1,323.7        | \$1,348.0        |
| Allowance for loan losses                                               | \$ (14.2)        | \$ (13.6)        | \$ (13.8)        | \$ (13.6)        | \$ (13.4)        | \$ (13.1)        | \$ (28.3)        | \$ (16.4)        | \$ (19.7)        | \$ (22.4)        | \$ (24.3)        |
| Accrued interest and accounts receivable                                | \$ 70.1          | \$ 46.6          | \$ 52.3          | \$ 67.7          | \$ 73.2          | \$ 72.9          | \$ 90.5          | \$ 102.6         | \$ 125.2         | \$ 107.4         | \$ 101.2         |
| Premises and equipment                                                  | \$ 15.1          | \$ 14.4          | \$ 14.1          | \$ 14.2          | \$ 14.9          | \$ 25.8          | \$ 27.1          | \$ 27.1          | \$ 27.7          | \$ 30.2          | \$ 32.2          |
| Goodwill (inc. other intangible assets post-2016)                       | \$ 47.6          | \$ 47.3          | \$ 47.3          | \$ 54.4          | \$ 54.3          | \$ 53.3          | \$ 53.4          | \$ 56.7          | \$ 60.9          | \$ 64.4          | \$ 64.6          |
| Intangible - mortgage servicing rights                                  | \$ 7.4           | \$ 6.6           | \$ 6.1           | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             |
| Other intangible                                                        | \$ 1.2           | \$ 1.0           | \$ 0.9           | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             |
| Other assets                                                            | \$ 103.0         | \$ 105.6         | \$ 112.1         | \$ 114.8         | \$ 121.0         | \$ 126.8         | \$ 152.9         | \$ 181.5         | \$ 182.9         | \$ 159.3         | \$ 178.2         |
| <b>Total assets</b>                                                     | <b>\$2,573.1</b> | <b>\$2,351.7</b> | <b>\$2,491.0</b> | <b>\$2,533.6</b> | <b>\$2,622.5</b> | <b>\$2,687.4</b> | <b>\$3,386.1</b> | <b>\$3,743.6</b> | <b>\$3,665.7</b> | <b>\$3,875.4</b> | <b>\$4,002.8</b> |
| Deposits                                                                | \$1,363.4        | \$1,279.7        | \$1,375.2        | \$1,444.0        | \$1,470.7        | \$1,562.4        | \$2,144.3        | \$2,462.3        | \$2,340.2        | \$2,400.7        | \$2,406.0        |
| Federal funds purchased and securities sold under repurchase agreements | \$ 192.1         | \$ 152.7         | \$ 165.7         | \$ 158.9         | \$ 182.3         | \$ 183.7         | \$ 215.2         | \$ 194.3         | \$ 202.6         | \$ 216.5         | \$ 296.8         |
| Short-term borrowings (commercial paper + other borrowed funds)         | \$ 96.6          | \$ 36.7          | \$ 34.4          | \$ 51.8          | \$ 69.3          | \$ 40.9          | \$ 45.2          | \$ 53.6          | \$ 44.0          | \$ 44.7          | \$ 52.9          |
| Trading liabilities                                                     | \$ 152.8         | \$ 126.9         | \$ 136.7         | \$ 123.7         | \$ 144.8         | \$ 119.3         | \$ 170.2         | \$ 164.7         | \$ 178.0         | \$ 180.4         | \$ 192.9         |
| Accounts payable, accrued expenses and other liabilities                | \$ 207.0         | \$ 177.6         | \$ 190.5         | \$ 189.4         | \$ 196.7         | \$ 210.4         | \$ 232.6         | \$ 262.8         | \$ 300.1         | \$ 290.3         | \$ 280.7         |
| Beneficial interests issued by consolidated variable interest entities  | \$ 52.4          | \$ 41.9          | \$ 39.0          | \$ 26.1          | \$ 20.2          | \$ 17.8          | \$ 17.6          | \$ 10.8          | \$ 12.6          | \$ 23.0          | \$ 27.3          |
| Long-term debt                                                          | \$ 276.8         | \$ 288.7         | \$ 295.2         | \$ 284.1         | \$ 282.0         | \$ 291.5         | \$ 281.7         | \$ 301.0         | \$ 295.9         | \$ 391.8         | \$ 401.4         |
| Other borrowings                                                        | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             | \$ -             |
| <b>Total liabilities</b>                                                | <b>\$2,341.1</b> | <b>\$2,104.1</b> | <b>\$2,236.8</b> | <b>\$2,277.9</b> | <b>\$2,366.0</b> | <b>\$2,426.0</b> | <b>\$3,106.7</b> | <b>\$3,449.4</b> | <b>\$3,373.4</b> | <b>\$3,547.5</b> | <b>\$3,658.1</b> |
| <b>Total stockholders' equity</b>                                       | <b>\$ 232.1</b>  | <b>\$ 247.6</b>  | <b>\$ 254.2</b>  | <b>\$ 255.7</b>  | <b>\$ 256.5</b>  | <b>\$ 261.3</b>  | <b>\$ 279.4</b>  | <b>\$ 294.1</b>  | <b>\$ 292.3</b>  | <b>\$ 327.9</b>  | <b>\$ 344.8</b>  |
| <b>Total liabilities and stockholders' equity</b>                       | <b>\$2,573.1</b> | <b>\$2,351.7</b> | <b>\$2,491.0</b> | <b>\$2,533.6</b> | <b>\$2,622.5</b> | <b>\$2,687.4</b> | <b>\$3,386.1</b> | <b>\$3,743.6</b> | <b>\$3,665.7</b> | <b>\$3,875.4</b> | <b>\$4,002.8</b> |

<sup>62</sup> JPMorgan Chase Annual Report 2003 – 2024.

<sup>63</sup> JPMorgan Chase Annual Report 2003 – 2024.



## Industry Overview

Financial institutions play a crucial role in the economy by offering a broad array of financial products and services. These institutions include commercial banks, investment banks, credit card companies, brokers, dealers, clearinghouses, investment managers, insurance companies, etc., bridging lenders with borrowers, helping manage assets, and facilitating transactions involving different financial instruments. In reality, many financial institutions play multiple roles mentioned above. For example, large banking groups often provide traditional banking services such as deposit and lending, as well as securities trading, asset management, investment banking, etc.

Among these institutions, banks are particularly important, often consolidating many of the functions mentioned above and serving as a hub that connects them. Unlike most industries that buy and sell physical goods, banks primarily deal in financial capital, simply “borrowing” money from depositors and lending it to borrowers. They profit from the spread between the interest paid to depositors and the interest earned on loans. One unique feature of bank deposits is their convenience: deposit accounts allow customers to make payments and access funds on demand, without hoarding money physically. In exchange for this liquidity and ease of use, depositors accept lower returns compared to other forms of debt that do not offer payment functionality and the ease of use. This convenience gives bank deposits an advantage, typically making them cheaper and more stable sources of funding.<sup>64</sup>

An important characteristic that sets banks apart from other industries is their systemic importance, the idea that their stability is vital to the broader economy. As mentioned above, banks serve as financial intermediaries, channeling capital from savers to borrowers. This role creates a web of connections among households, corporations, governments, and other financial institutions. Because of these interconnections, the failure of a single bank can trigger ripple effects across the financial system, sometimes beyond the local regions they serve. The larger and more interconnected a bank is, the greater the potential for its failure to destabilize the broader economy. In extreme cases, the collapse of a major bank could lead to a chain reaction, threatening the stability of the entire financial system. Even rumors about a bank’s solvency can lead to panic, prompting massive depositors to withdraw their funds within a short period of time, leading to a bank run. Such sudden, large-scale withdrawals can force a bank into insolvency, leading to broader financial contagion. To prevent this, most countries have implemented deposit insurance schemes that guarantee customer deposits up to a certain limit. In the United States, for example, the Federal Deposit Insurance Corporation (FDIC) provides this protection. These protections help maintain public confidence in the banking system and reduce the risk of runs.

In general, U.S. bank customers tend to be loyal. While large-scale studies are limited, a 2024 survey found that only 8% of retail customers in that year had switched their primary bank, up slightly from 5% in 2018.<sup>65</sup> JPMorgan reported retention rates above 95% for its consumer and business banking customers and 98% for its credit card accounts.<sup>66</sup>

Given the systemic role banks play and their ties to local geography, it is unsurprising that there is a strong positive correlation between the total asset value of commercial banks in the United States and the country’s gross domestic product (GDP). Between 2003 and 2024, U.S. GDP grew from approximately \$11 trillion to over \$29 trillion, reflecting a 4.6% CAGR. During the same period, the total assets held by U.S. commercial banks increased from \$7 trillion to \$23 trillion, a CAGR of 5.7%. This parallel growth and the relative size of the bank industry to the U.S. economy imply the integral role that banks play in supporting economic expansion. The scale and influence of the banking industry also help explain why governments and international regulators closely monitor the sector and impose strict regulations, which we will discuss later, to safeguard financial stability.

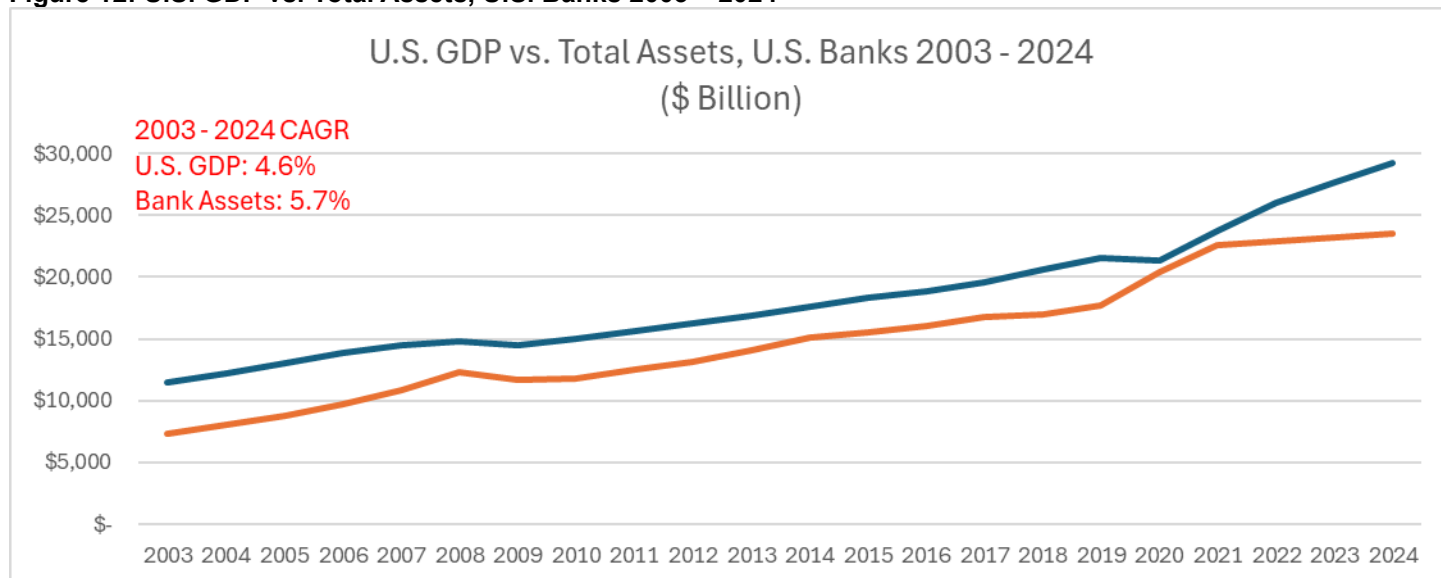
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<sup>64</sup> Basel Finalization: The History and Implications for Capital Regulation Part I. Bank Policy Institute. <https://bpi.com/basel-primer-series-introduction/>

<sup>65</sup> 2024 U.S. Retail Banking Satisfaction Study. <https://www.jdpower.com/business/press-releases/2024-us-retail-banking-satisfaction-study>

<sup>66</sup> JPMorgan 2024 Investor Day Consumer & Community Banking. <https://www.jpmorganchase.com/content/dam/jpmc/jpmorgan-chase-and-co/investor-relations/documents/events/2024/jpmc-2024-investor-day/consumer-community-banking.pdf>

**Figure 12: U.S. GDP vs. Total Assets, U.S. Banks 2003 – 2024<sup>67</sup>**



**Note:**

1. The data cited above “is limited to domestic offices of commercial banks, offices located on U.S. military installations around the world, and foreign-related institutions in the U.S. International Banking Facilities (IBFs), as well as banks located in U.S. territories and possessions such as Puerto Rico and Guam, are considered foreign offices.”<sup>68</sup>

The U.S. banking industry has long been highly segmented, with thousands of institutions ranging from small community banks to large national players. However, the sector has been undergoing gradual consolidation. Between 2003 and 2024, the number of commercial banks fell from approximately 7,750 to 3,920, a -3.2% decline annually. While the number of charters dropped, the total number of branches rose slightly during that period, from nearly 67,000 to over 68,000, peaking around 2012 at 82,000, demonstrating a declining trend in recent years.<sup>69</sup>

According to a 2018 Federal Reserve analysis, the number of bank branches in the U.S. steadily increased from 1990 until 2008, plateaued between 2008 and 2012, and began declining onward.<sup>70</sup> Several factors have driven this shift. A key regulatory change was the Riegle-Neal Interstate Banking and Branching Efficiency Act of 1994, which allowed banks to operate across state lines and consolidate their charters.<sup>71</sup> This legislation led to a significant reduction in the number of independent bank headquarters and encouraged broader branch consolidation. The 2008 financial crisis accelerated the trend. In the aftermath, many institutions merged or acquired failing banks, leading to the closure of overlapping or less profitable branches. This consolidation was further supported by a low interest rate environment for over a decade and increasing regulatory costs, which made maintaining a large physical network less financially viable.

In recent years, technological advances have reshaped how consumers interact with banks. The growing use of online banking, mobile apps, and ATMs has made physical branches less critical for routine transactions.<sup>72</sup> As a result, banks have been able to scale back their branch networks without sacrificing customer access or market share.

<sup>67</sup> Board of Governors of the Federal Reserve System (US), Total Assets, All Commercial Banks [TLAACBM027SBOG], retrieved from FRED, Federal Reserve Bank of St. Louis. <https://fred.stlouisfed.org/series/TLAACBM027SBOG>; U.S. Bureau of Economic Analysis, Gross Domestic Product [GDP], retrieved from FRED, Federal Reserve Bank of St. Louis. <https://fred.stlouisfed.org/series/GDP>

<sup>68</sup> Assets and Liabilities of Commercial Banks in the United States. Federal Reserve Board. <https://www.federalreserve.gov/releases/h8/about.htm>

<sup>69</sup> Historical Bank Data. FDIC. [https://banks.data.fdic.gov/explore/historical?displayFields=STNAME%2CTOTAL%2CBRANCHES%2CNew\\_Char&selectedEndDate=2024&selectedReport=CBS&selectedStartDate=1934&selectedStates=99&sortField=YEAR&sortOrder=desc](https://banks.data.fdic.gov/explore/historical?displayFields=STNAME%2CTOTAL%2CBRANCHES%2CNew_Char&selectedEndDate=2024&selectedReport=CBS&selectedStartDate=1934&selectedStates=99&sortField=YEAR&sortOrder=desc)

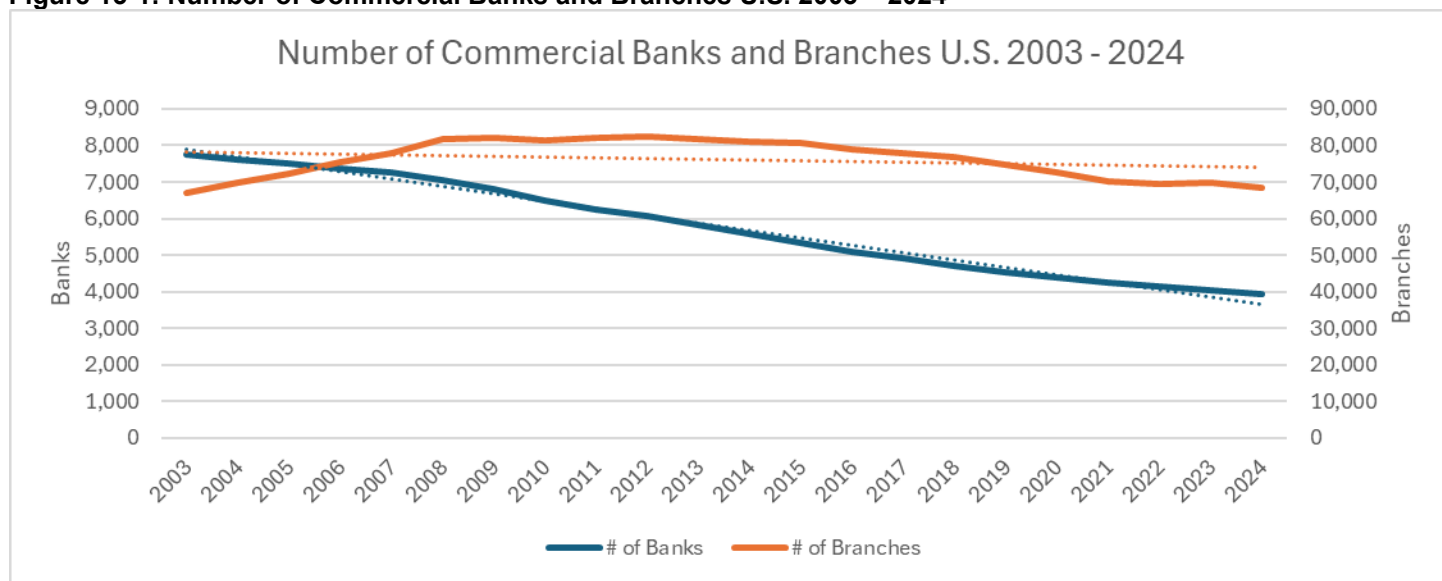
<sup>70</sup> The Branch Puzzle: Why Are there Still Bank Branches. Federal Reserve Board. <https://www.federalreserve.gov/econres/notes/feds-notes/why-are-there-still-bank-branches-20180820.html>

<sup>71</sup> Why Are Banks Shuttering Branches. Federal Reserve Bank of St. Louis. <https://www.stlouisfed.org/on-the-economy/2018/february/why-banks-shuttering-branches>

<sup>72</sup> Why Are Banks Shuttering Branches. Federal Reserve Bank of St. Louis. <https://www.stlouisfed.org/on-the-economy/2018/february/why-banks-shuttering-branches>

Market leadership among branch networks has also shifted over time. In 2003, Bank of America held the largest share, operating roughly 4,645 branches, accounting for 8.1% of all domestic commercial bank branches, followed by Bank One with 5.8%, prior to its 2004 merger with JPMorgan, Wells Fargo with 3.4%, Wachovia with 3.1%, which later would be acquired by Wells Fargo in 2008, and JPMorgan with 1.2%.<sup>73</sup> By the first quarter of 2025, JPMorgan has become the leader, with approximately 4,975 domestic branches, representing a 7.7% market share. It was followed by Wells Fargo 6.5%, Bank of America 5.7%, U.S. Bank 3.3%, and Citigroup 1.0%.

**Figure 13-1: Number of Commercial Banks and Branches U.S. 2003 – 2024<sup>74</sup>**



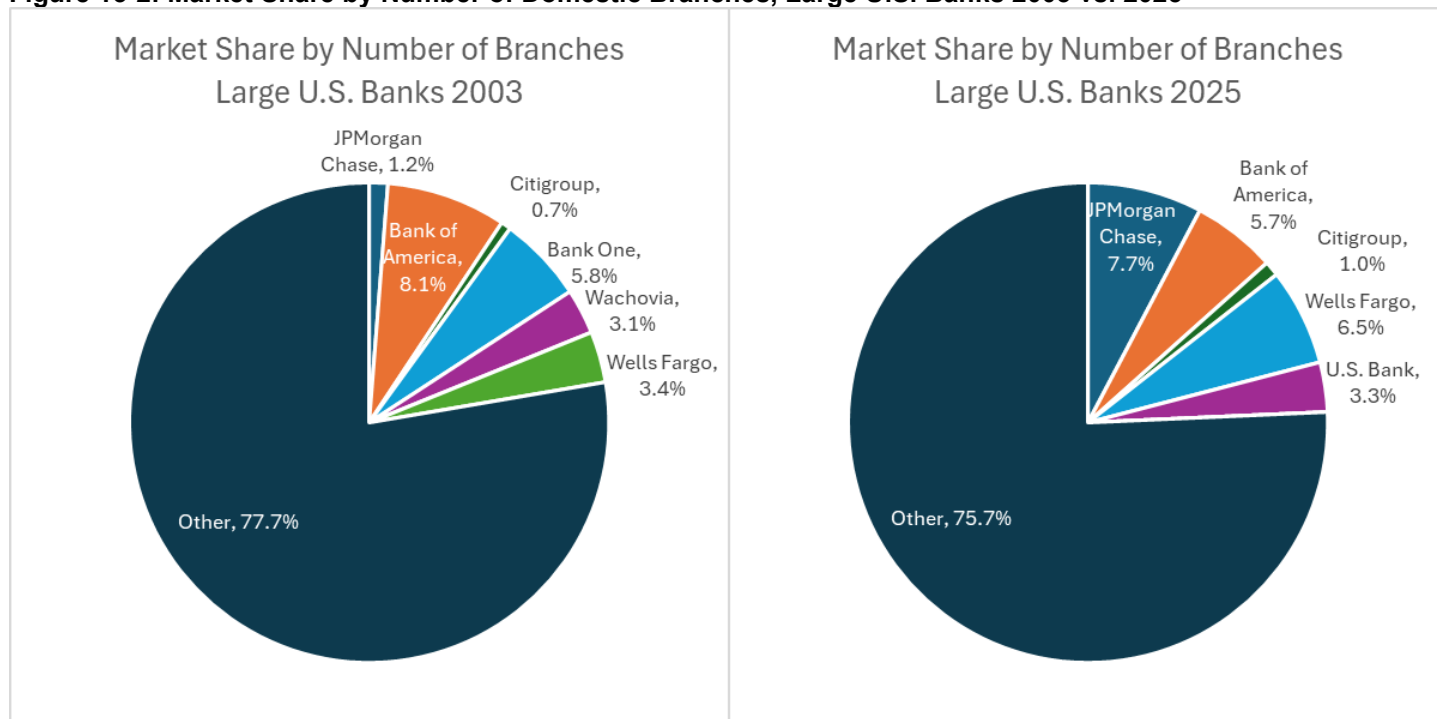
<sup>73</sup> Large Commercial Banks – December 31, 2003. Federal Reserve Statistical Release.

<https://www.federalreserve.gov/releases/lbr/20031231/default.htm>; Large Commercial Banks – March 31, 2025. Federal Reserve Statistical Release. <https://www.federalreserve.gov/releases/lbr/current/default.htm>

<sup>74</sup> Historical Bank Data. FDIC.

[https://banks.data.fdic.gov/explore/historical?displayFields=STNAME%2CTOTAL%2CBRANCHES%2CNew\\_Char&selectedEndDate=2024&selectedReport=CBS&selectedStartDate=1934&selectedStates=99&sortField=YEAR&sortOrder=desc](https://banks.data.fdic.gov/explore/historical?displayFields=STNAME%2CTOTAL%2CBRANCHES%2CNew_Char&selectedEndDate=2024&selectedReport=CBS&selectedStartDate=1934&selectedStates=99&sortField=YEAR&sortOrder=desc)

**Figure 13-2: Market Share by Number of Domestic Branches, Large U.S. Banks 2003 vs. 2025<sup>75</sup>**



**Notes:**

1. JPMorgan Chase merged with Bank One in 2004.
2. Wells Fargo acquired Wachovia at the end of 2008 as part of a government-arranged deal to prevent Wachovia's collapse during the financial crisis. At the time, Wachovia was the fourth-largest U.S. banking organization by total assets.<sup>76</sup>

**Between 2003 and 2024, the concentration of assets among the largest U.S. banks increased significantly. The share of total assets held by the top five banks rose from 39.2% to 47.1%, while the top ten banks grew their share from 50.2% to 59.7%.** The top 50 banks saw their share rise from 74.9% to 81.7%.<sup>77</sup> This trend highlights that consolidation has been most pronounced among the largest institutions, whereas smaller banks remain highly fragmented across the industry.

Several factors have driven this shift. One of the most significant was the Riegle-Neal Interstate Banking and Branching Efficiency Act of 1994, which essentially eliminated restrictions on interstate banking. This deregulation allowed large banks to expand their reach more efficiently by acquiring smaller institutions across state lines,<sup>78</sup> laying the groundwork for accelerated consolidation.

Large banks also tend to benefit from greater funding stability, especially during periods of economic stress. Financial crises have historically accelerated consolidation, as smaller banks are more likely to fail or be absorbed. A comprehensive study by Baron, Schularick, and Zimmermann, spanning 150 years of banking data across 17 advanced economies, finds that the largest five banks in a country typically gain market share during crises.<sup>79</sup> They describe this recurring pattern as the “survival of the biggest.” Interestingly, the dominance of large banks is not due to lower risk. On the contrary, the study notes that “large banks typically take more, not less, risk than smaller banks in the run-up to crises”

<sup>75</sup> Large Commercial Banks – December 31, 2003. Federal Reserve Statistical Release.

<https://www.federalreserve.gov/releases/lbr/20031231/default.htm>; Large Commercial Banks – March 31, 2025. Federal Reserve Statistical Release. <https://www.federalreserve.gov/releases/lbr/current/default.htm>

<sup>76</sup> The Acquisition of Wachovia Corporation by Wells Fargo & Company – Federal Reserve Board.

<https://www.federalreserve.gov/newsevents/testimony/alvarez20100901a.htm>

<sup>77</sup> Quarterly Trends for Consolidated U.S. Banking Organizations. Federal Reserve Bank of New York.

[https://www.newyorkfed.org/research/banking\\_research/quarterly\\_trends](https://www.newyorkfed.org/research/banking_research/quarterly_trends)

<sup>78</sup> Rising Bank Concentration. Dean Corbae, Pablo D’Erasmus. National Bureau of Economic Research.

<https://www.nber.org/papers/w26838>

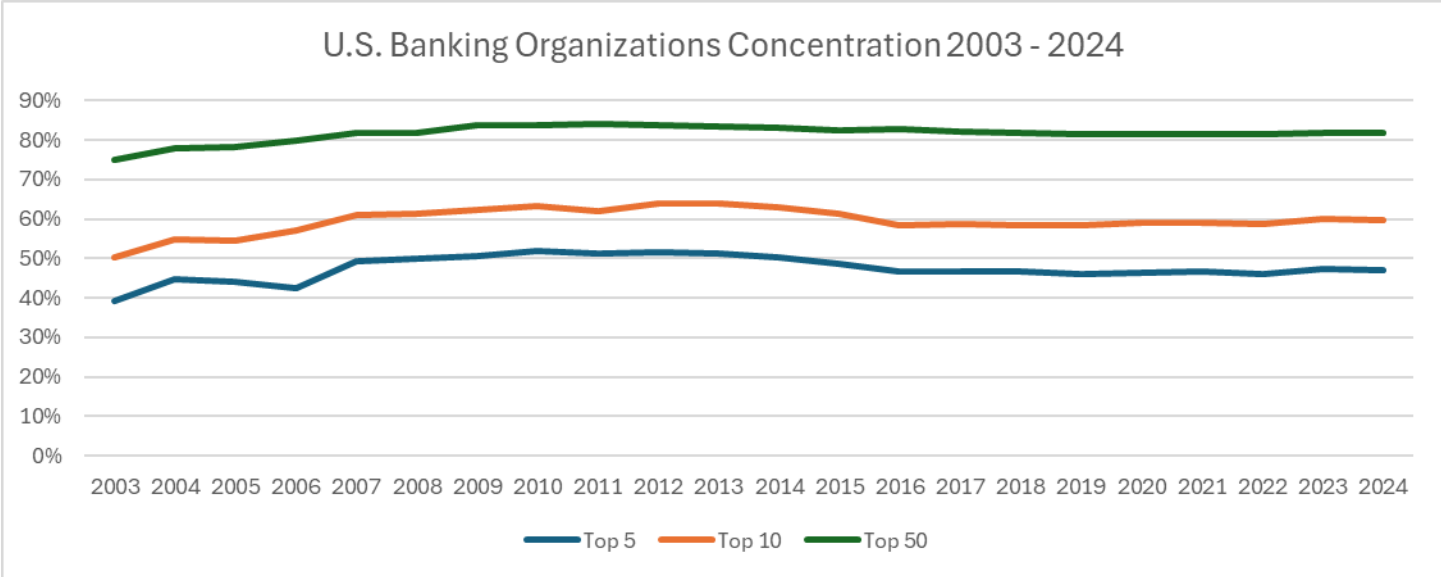
<sup>79</sup> Baron, Matthew and Schularick, Moritz and Zimmermann, Kaspar, Survival of the Biggest: Large Banks and Financial Crises (June 20, 2023). Available at SSRN: <https://ssrn.com/abstract=4189014>

and often suffer larger losses. However, they are more likely to survive because they face less deposit flight and are more frequently rescued by policymakers. As the authors observe, “regulators are substantially more likely to rescue top-5 banks on the verge of failure,” and these institutions tend to maintain more stable funding during times of distress.

Regulatory interventions have also shaped the pace of consolidation among U.S. banks. The Dodd-Frank Act of 2010 attempted to slow concentration by imposing a national cap of 10% on both assets and liabilities for any single banking organization. Once a bank reached that threshold, it could no longer grow through acquisitions, aside from limited exceptions. This policy has slowed the expansion of the largest institutions since then. The Act also imposed stricter capital requirements and merger reviews. Nevertheless, the effects of pre-2010 consolidation still dominate the banking landscape. As the Philadelphia Fed notes, “three of the largest banks—Bank of America, JPMorgan Chase, and Citigroup—dramatically increased in size... primarily due to mergers and acquisitions,”<sup>80</sup> bringing them above Dodd-Frank’s regulatory thresholds.

In 2003, according to Federal Reserve data, Citigroup was the largest banking group in the U.S., holding over \$671 billion in consolidated assets, representing 9.9% of total industry assets.<sup>81</sup> It was closely followed by Bank of America with \$669 billion, also 9.9% of market share, and JPMorgan with \$666 billion, 9.8%. Wells Fargo and Wachovia held smaller shares at 5.6% and 5.4%, respectively. By the first quarter of 2025, JPMorgan had become the largest U.S. banking group, with more than \$3.6 trillion in consolidated assets, accounting for 16% of the market. Bank of America followed with 11.6%, trailed by Citigroup’s 7.7%, Wells Fargo’s 7.6%, and U.S. Bank’s 2.9%. This shift reflects the continued growth of the largest institutions, fueled by both organic expansion and strategic consolidation over the past two decades.

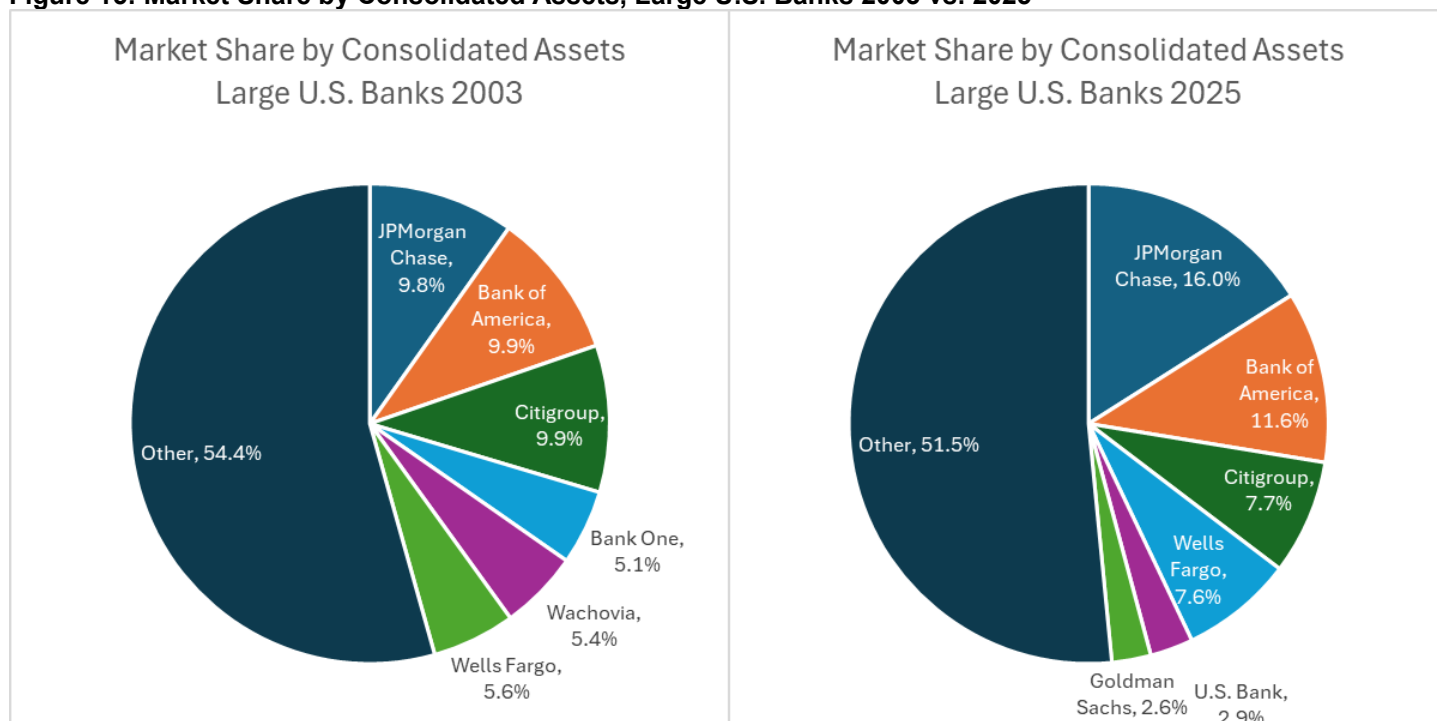
Figure 14: Banking Industry Concentration 2003 – 2024<sup>82</sup>



Note:  
1. The concentration rate above shows the percentage of total industry assets held by the top 5, top 10, and top 50 banking organizations.

<sup>80</sup> Has the Banking Industry Become Too Concentrated? Federal Reserve Bank of Philadelphia.  
<sup>81</sup> Large Commercial Banks – December 31, 2003. Federal Reserve Statistical Release. <https://www.federalreserve.gov/releases/lbr/20031231/default.htm>; Large Commercial Banks – March 31, 2025. Federal Reserve Statistical Release. <https://www.federalreserve.gov/releases/lbr/current/default.htm>  
<sup>82</sup> Quarterly Trends for Consolidated U.S. Banking Organizations. Federal Reserve Bank of New York. [https://www.newyorkfed.org/research/banking\\_research/quarterly\\_trends](https://www.newyorkfed.org/research/banking_research/quarterly_trends)

**Figure 15: Market Share by Consolidated Assets, Large U.S. Banks 2003 vs. 2025<sup>83</sup>**



**Notes:**

1. The market share data for each bank group above is estimated using consolidated data from the Federal Reserve, covering all U.S.-chartered banks with more than \$300 million in consolidated assets, which may include both domestic and international assets, depending on the entity's structure.
2. JPMorgan Chase merged with Bank One in 2004.
3. Wells Fargo acquired Wachovia at the end of 2008 as part of a government-arranged deal to prevent Wachovia's collapse during the financial crisis. At the time, Wachovia was the fourth-largest U.S. banking organization by total assets.<sup>84</sup>

As previously discussed, while many banks operate across multiple business lines, their core function remains largely unchanged – taking in deposits and lending those funds to borrowers and generating profits by capturing the spread between the interest they pay to depositors and the interest they earn on loans. For much of modern financial history, loans have consistently represented the largest asset class on U.S. banks' balance sheets. However, in recent decades, this structure has changed slowly. Between 2003 and 2024, loans as a percentage of total bank assets in the U.S. fell from 51% to 44%, after peaking at 52% just before the 2008 global financial crisis. Over the same period, interest-bearing balances due from other depository institutions, including central banks and commercial banks, increased from 2% to 9%, peaking at 12% during the COVID-19 pandemic. Other asset classes have remained relatively stable. On the liabilities side, deposits grew from 57% of banks' balance sheets in 2003 to 64% in 2024.

A 2024 study by the National Bureau of Economic Research identifies several likely reasons for the decline in loans as a share of bank assets.<sup>85</sup> First, borrower preferences have shifted toward more "informationally insensitive" forms of lending, such as securitized loans, enabled by advances in credit scoring and securitization. The study notes that "shifts in borrower demand between informationally sensitive (bank balance sheet lending) and insensitive lending (debt securities) have been the primary driver" of this trend. In addition, post-2008 regulatory reforms, particularly the Dodd-Frank Act and Basel III framework, have significantly increased the costs for banks associated with traditional lending. These regulations introduced more stringent capital and liquidity requirements, incentivizing banks to reduce loan exposures and instead hold safer, more liquid assets. The study found that banks subject to heightened regulatory oversight after the global financial crisis experienced a decline in the loan share of their assets and slower growth in balance sheet lending. This

<sup>83</sup> Large Commercial Banks – December 31, 2003. Federal Reserve Statistical Release.

<https://www.federalreserve.gov/releases/lbr/20031231/default.htm>; Large Commercial Banks – March 31, 2025. Federal Reserve Statistical Release. <https://www.federalreserve.gov/releases/lbr/current/default.htm>

<sup>84</sup> The Acquisition of Wachovia Corporation by Wells Fargo & Company – Federal Reserve Board.

<https://www.federalreserve.gov/newsevents/testimony/alvarez20100901a.htm>

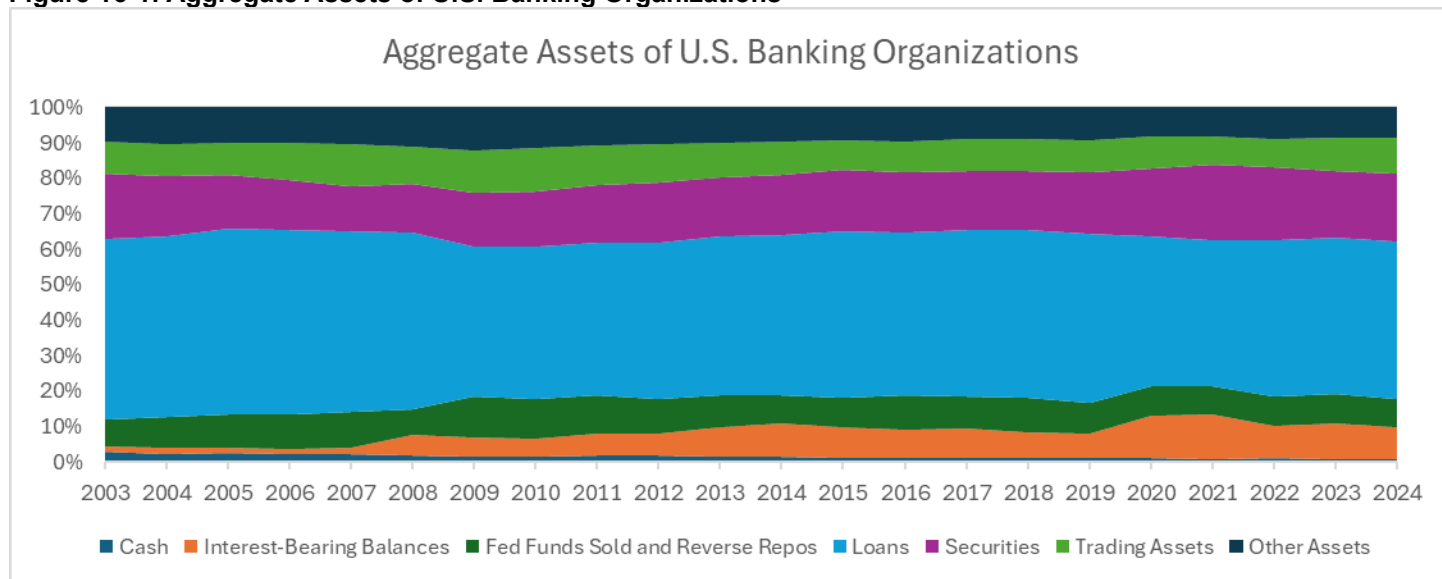
<sup>85</sup> Buchak, Greg and Matvos, Gregor and Piskorski, Tomasz and Seru, Amit, The Secular Decline of Bank Balance Sheet Lending (February 15, 2024). Available at SSRN: <https://ssrn.com/abstract=4738476> or <http://dx.doi.org/10.2139/ssrn.4738476>



suggests that tighter capital and liquidity standards have played a role in reshaping bank asset allocation away from loans.

Jamie Dimon shared a similar view in his 2024 letter to shareholders, noting that stricter regulations since the financial crisis have constrained banks' capacity to lend.<sup>86</sup> Before the crisis, less than 15% of bank assets were held in liquid assets. Today, that figure exceeds 30%, a shift Dimon attributes in part to the evolving regulatory landscape.

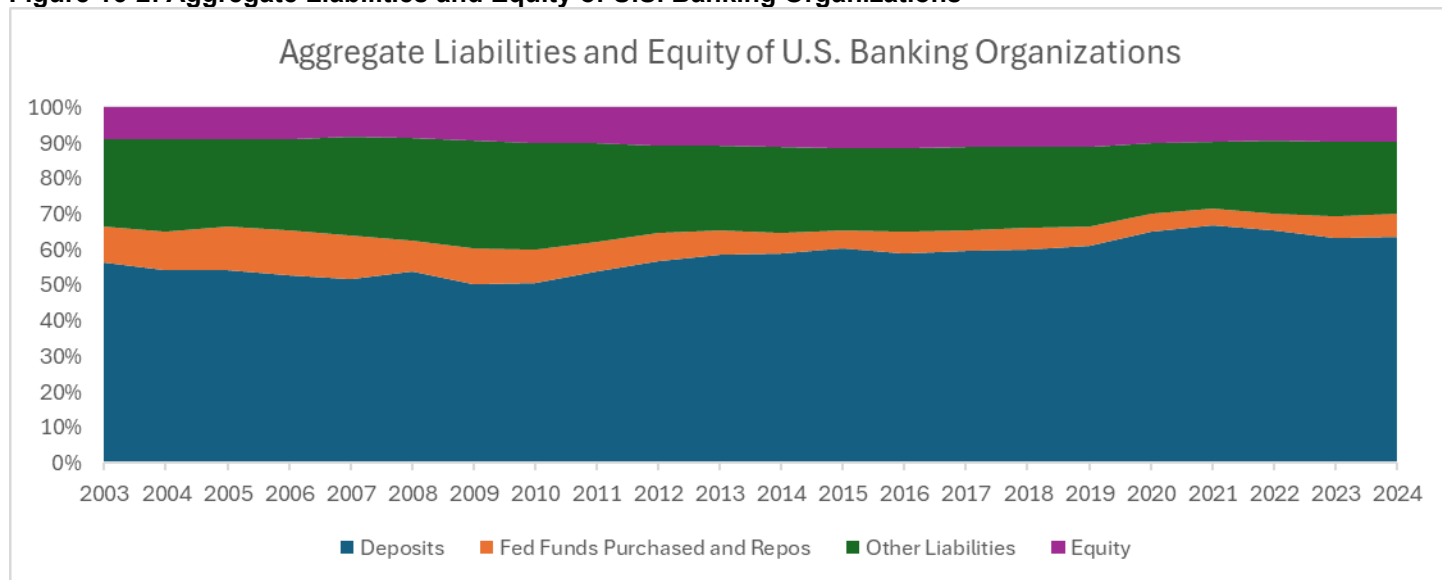
**Figure 16-1: Aggregate Assets of U.S. Banking Organizations<sup>87</sup>**



Note:

1. Interest-bearing balances indicate interest-bearing balance due from depository institutions.

**Figure 16-2: Aggregate Liabilities and Equity of U.S. Banking Organizations<sup>88</sup>**

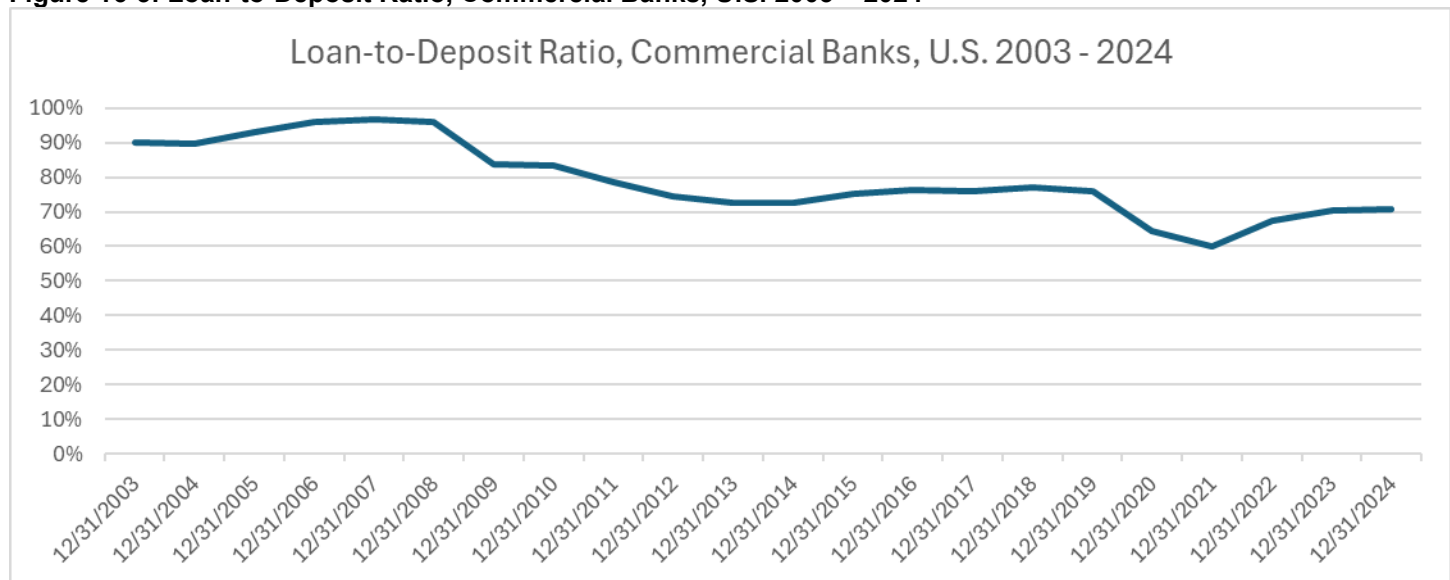


<sup>86</sup> JPMorgan Chase. Annual Report 2024.

<sup>87</sup> Quarterly Trends for Consolidated U.S. Banking Organizations. Federal Reserve Bank of New York.  
[https://www.newyorkfed.org/research/banking\\_research/quarterly\\_trends](https://www.newyorkfed.org/research/banking_research/quarterly_trends)

<sup>88</sup> Quarterly Trends for Consolidated U.S. Banking Organizations. Federal Reserve Bank of New York.  
[https://www.newyorkfed.org/research/banking\\_research/quarterly\\_trends](https://www.newyorkfed.org/research/banking_research/quarterly_trends)

**Figure 16-3: Loan-to-Deposit Ratio, Commercial Banks, U.S. 2003 – 2024<sup>89</sup>**



Note:

1. The above date is an estimate based on the ratio of loans and leases in bank credit to deposits at U.S. commercial banks, using data from the Federal Reserve Bank of St. Louis.<sup>90</sup>

<sup>89</sup> Board of Governors of the Federal Reserve System (US), Deposits, All Commercial Banks [DPSACBM027SBOG], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/DPSACBM027SBOG>; Board of Governors of the Federal Reserve System (US), Loans and Leases in Bank Credit, All Commercial Banks [LOANS], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/LOANS>

<sup>90</sup> Board of Governors of the Federal Reserve System (US), Deposits, All Commercial Banks [DPSACBM027SBOG], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/DPSACBM027SBOG>; Board of Governors of the Federal Reserve System (US), Loans and Leases in Bank Credit, All Commercial Banks [LOANS], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/LOANS>



## Brief History of Basel Accords and Capital Requirements for U.S. Banks

As aforementioned, banks differ from most industries in one critical respect: their systemic importance. Their normal function is essential to economic stability. At their core, banks act as intermediaries, accepting deposits from depositors and providing loans to borrowers. This role creates a web of connections among households, corporations, governments, and other financial institutions. Because of these interconnections, the failure of a single large bank might potentially trigger far-reaching consequences. The larger the bank, the more widespread of its failure might bring. Since the collapse of a bank undermines confidence in the financial system and would cause ripple effects. Even the mere perception that a bank might fail can lead to a bank run, causing actual insolvency and spreading panic across the economy.

To remain solvent, a bank must hold more assets than liabilities, with the difference being its own capital, primarily consisting of the owners' equity.<sup>91</sup> Capital acts like a buffer that absorbs losses when asset values fall, such as from loan defaults. This helps the bank avoid insolvency, as losses first reduce capital rather than impairing the bank's ability to repay creditors. Regulators thus require banks to maintain a minimum level of capital as a buffer for losses to ensure they can withstand financial stress and continue meeting obligations. They aim to 1) protect depositors and reduce the risk of bank failure, and 2) contain systemic risk by limiting the impact of any one bank's collapse on the broader financial system.<sup>92</sup> Without such constraints, profit-seeking banks would have an incentive to over-rely on deposits, ignoring the broader consequences of failure. Capital rules ensure that banks fund a portion of their assets with equity rather than debt, absorbing losses before creditors or taxpayers are affected.<sup>93</sup>

Because of banks' central role in both national and global economies, their activities are regulated not only by domestic authorities but also through international frameworks.<sup>94</sup> However, these regulations come with trade-offs. While stronger capital standards reduce the risk of failure, they may also raise the cost of borrowing and restrict credit availability, potentially dampening economic growth.

### The Basel Accords

The Basel Committee on Banking Supervision (BCBS) was established in 1974 by central bank governors of the G10 countries following the collapse of the Bretton Woods system and several major bank failures.<sup>95</sup> Headquartered at the Bank for International Settlements (BIS) in Basel, Switzerland, the Committee aims to enhance global financial stability by strengthening the quality of banking supervision and encouraging international regulatory coordination.<sup>96</sup>

#### Basel I (1988)

The first Basel Accord introduced a uniform global framework for bank capital adequacy. It required banks to maintain a minimum capital equal to 8% of their risk-weighted assets (RWA), divided into Tier 1, core capital that was more loss absorbent, and Tier 2, supplementary capital that was less absorbent.<sup>97</sup> The U.S. adopted Basel I in 1989 and extended its requirements to all domestic banks, not just the internationally active ones.

While Basel I created a standardized baseline, it was overly simplistic, especially to larger banks. It treated many assets with varying risk levels similarly and failed to account for credit risk mitigation factors such as collateral and guarantees. These limitations encouraged riskier behavior and led to the development of a more sophisticated approach, Basel II.

<sup>91</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>92</sup> Basel Finalization: The History and Implications for Capital Regulation Part I. Bank Policy Institute. <https://bpi.com/basel-primer-series-introduction/>

<sup>93</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>94</sup> Basel Finalization: The History and Implications for Capital Regulation Part I. Bank Policy Institute. <https://bpi.com/basel-primer-series-introduction/>

<sup>95</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>96</sup> The Basel Committee - A Brief History. Bank for International Settlements. [https://www.bis.org/bcbs/history2\\_obsolete.htm](https://www.bis.org/bcbs/history2_obsolete.htm)

<sup>97</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

## Basel II (2004)

Introduced in 2004, Basel II aimed to align capital requirements more closely with actual risk exposure. It was built on three pillars: 1) minimum regulatory capital requirements, 2) supervisory review of capital adequacy, and enhanced public disclosures to promote market discipline.<sup>98</sup>

Basel II introduced more sophisticated methods to calculate risk, including the advanced measurement approaches that allowed banks to use internal models. In the U.S., the final rule was not issued until 2007. Implementation was limited to large, complex banks, those with over \$250 billion in assets or \$10 billion in foreign exposures. Smaller banks could opt in or continue under the simpler standardized approach.

## Basel III (2010) and the Dodd-Frank Act (2010)

Today, Basel III framework serves the foundation for regulatory requirements in many countries. Each country, including the U.S., implements the Basel III framework and its subsequent amendments within their own banking industry regulations.<sup>99</sup>

The 2008 financial crisis exposed fundamental weaknesses in the global banking system – excessive leverage, poor liquidity management, and inadequate governance. In response, the Basel Committee introduced Basel III, a comprehensive reform package phased in from 2013 to 2019.<sup>100</sup> It included:

1. stricter requirements for the quality and quantity of regulatory capital, in particular reinforcing the central role of common equity;
2. an additional layer of common equity - the capital conservation buffer - that, when breached, restricts payouts to help meet the minimum common equity requirement;
3. a countercyclical capital buffer, which places restrictions on participation by banks in system-wide credit booms with the aim of reducing their losses in credit busts;
4. a leverage ratio - a minimum amount of loss-absorbing capital relative to all of a bank's assets and off-balance sheet exposures regardless of risk weighting;
5. liquidity requirements - a minimum liquidity ratio, the Liquidity Coverage Ratio (LCR), intended to provide enough cash to cover funding needs over a 30-day period of stress; and a longer-term ratio, the Net Stable Funding Ratio (NSFR), intended to address maturity mismatches over the entire balance sheet;
6. additional requirements for systemically important banks, including additional loss absorbency and strengthened arrangements for cross-border supervision and resolution.

Capital ratios for banks are calculated as a percentage of risk-weighted assets, not total assets. This approach reflects the principle that not all assets carry the same risk.<sup>101</sup> For example, cash and U.S. Treasury bonds receive a 0% risk weight; Non-performing loans or exposure to a sovereign that has defaulted may receive a 150% risk weight. The full range spans from 0% to 1,250%, depending on the risk level. This system encourages banks to hold safer assets or reserve more capital against riskier exposures.

**Figure 17-1: Regulatory Capital Components**<sup>102</sup>

| Capital Component                   | Summary of Capital Elements                                                                                                                             |
|-------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|
| Common equity tier 1 (CET1) capital | Sum of common stock issued by the bank; retained earnings; accumulated other comprehensive income; common equity tier 1 minority interest; common stock |

<sup>98</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>99</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>100</sup> History of the Basel Committee. Bank for International Settlements. <https://www.bis.org/bcbs/history.htm>

<sup>101</sup> Risk Weights at a Glance. National Credit Union Administration. <https://ncua.gov/regulation-supervision/regulatory-compliance-resources/risk-based-capital-rule-resources/risk-weights-glance>; Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>102</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

|                                  |                                                                                                                                         |
|----------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
|                                  | issued and held in trust for the benefit of employees as part of an employee stock ownership                                            |
| <b>Additional tier 1 capital</b> | Unsecured and paid-in capital instruments issued with no maturity or planned incentives to redeem, which are subordinated to depositors |
| <b>Tier 2 capital</b>            | Unsecured and paid-in capital instruments subordinated to depositors with a minimum maturity of five years                              |

**Figure 17-2: Regulatory Capital Requirements**<sup>103</sup>

| <b>Capital Ratio</b>                            | <b>Calculation</b>                                                 |
|-------------------------------------------------|--------------------------------------------------------------------|
| <b>Generally Applicable Framework</b>           |                                                                    |
| Common Equity Tier 1 (CET1) Capital             | CET1/RWA                                                           |
| Tier 1 Capital                                  | Tier 1/RWA                                                         |
| Total Capital                                   | Total Capital/RWA                                                  |
| Leverage                                        | Tier 1 Capital/Total Consolidated Assets (less certain deductions) |
| <b>Other Measures</b>                           |                                                                    |
| Supplementary Leverage (Large Banks)            | Tier 1 Capital/Total Leverage Exposure                             |
| Tangible Capital (Federal Savings Associations) | Tier 1 Capital/Average Total Assets                                |
| Community Bank Leverage                         | Tier 1 Capital/Average Total Consolidated Assets                   |

Note:

1. For large banks, the capital conservation buffer is added on top of the minimum Common Equity Tier 1 (CET1) capital requirement. Depending on the institution, this may also include additional components such as the stress capital buffer, the countercyclical capital buffer, the G-SIB surcharge, which applies to JPMorgan Chase and will be discussed in this document, or a combination of these measures.<sup>104</sup>

In the U.S., the Dodd-Frank Act of 2010 implemented enhanced prudential standards (EPS) for large banks and systemically important nonbanks.<sup>105</sup> Initially, all bank holding companies (BHCs) with over \$50 billion in assets were covered. In 2018, the Economic Growth, Regulatory Relief, and Consumer Protection Act (EGRRCPA) introduced a tiered approach, easing standards for banks with \$50 to \$100 billion in assets. By 2019, the Federal Reserve introduced a four-tier classification for large banks, from Category I (G-SIBs) to Category IV, based on asset size and risk metrics. Category I institutions, designated as Global Systemically Important Banks (G-SIBs), face the strictest capital, liquidity, and risk management requirements.

In September 2010, the Basel Committee set out new capital standards for banks, with a timeline for implementation by January 1, 2013. Under these new requirements, banks were required to meet minimum capital ratios related to their risk-weighted assets (RWAs), 1) 3.5% for common equity, 2) 4.5% for Tier 1 capital, and 3) 8.0% for total capital. These thresholds gradually increased, with the final phase starting on January 1, 2019, when banks were required to maintain a minimum of 4.5% common equity capital, with an additional 2.5% buffer, 6.0% Tier 1 capital, and 8% total capital.<sup>106</sup> Common equity Tier 1 (CET1) capital, which absorbs losses without obligation for repayment, is considered the highest-quality capital for a bank.<sup>107</sup>

In July 2015, the Federal Reserve finalized a rule applying a G-SIB surcharge, an additional capital requirement for the largest, most interconnected banks. The surcharge ranges from 1% to 3.5%,<sup>108</sup> depending on a bank's systemic risk profile. The Fed stated that under its rule, most G-SIBs would face a higher capital surcharge than required by Basel III. After 2023, the Fed has increased GSIB surcharge to some large banks, including Citi, which was increased from 3.0% to 3.5%,<sup>109</sup> and JPMorgan, from 3.5% to 4.0%, and later to 4.5% in 2024, given its relatively larger size and more complexity.<sup>110</sup>

<sup>103</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>104</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>105</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>106</sup> Group of Governor and Heads of Supervision Announces Higher Global Minimum Capital Standards. Basel Committee on Banking Supervision. Bank for International Settlements.

<sup>107</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

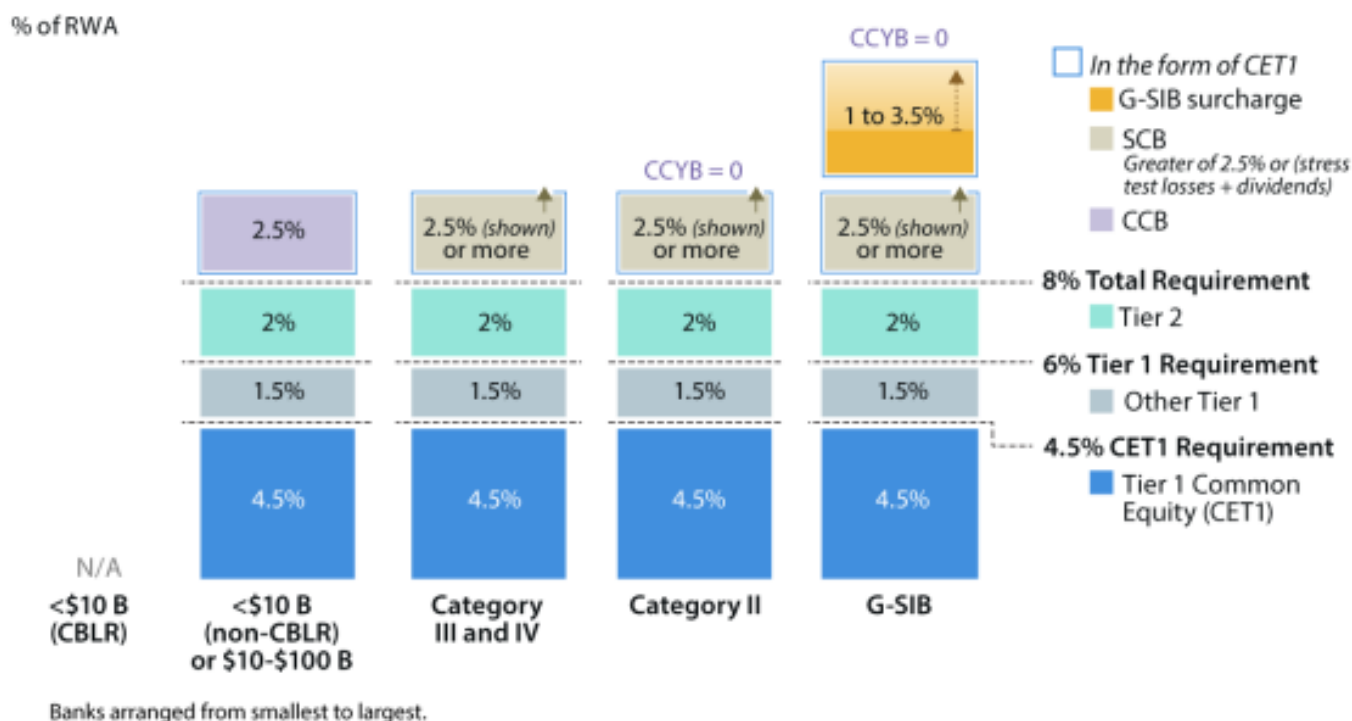
<sup>108</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>109</sup> Citigroup Annual Report 2023.

<sup>110</sup> JPMorgan Chase Annual Report 2023 – 2024.

According to 2023 data from Bank for International Settlements show that JPMorgan scores the highest on GSIB scores and being the only Bucket 4 bank out of 40 GSIB, based on a scoring system that incorporating banks' sizes, interconnectedness, substitutability, complexity, and cross-jurisdictional characters, indicating that JPMorgan Chase is currently considered the most globally systemically important bank in the world, according to the Financial Stability Board (FSB) and the Basel Committee on Banking Supervision (BCBS).

**Figure 18: Adequate Risk-Weighted Assets Requirements 2022<sup>111</sup>**



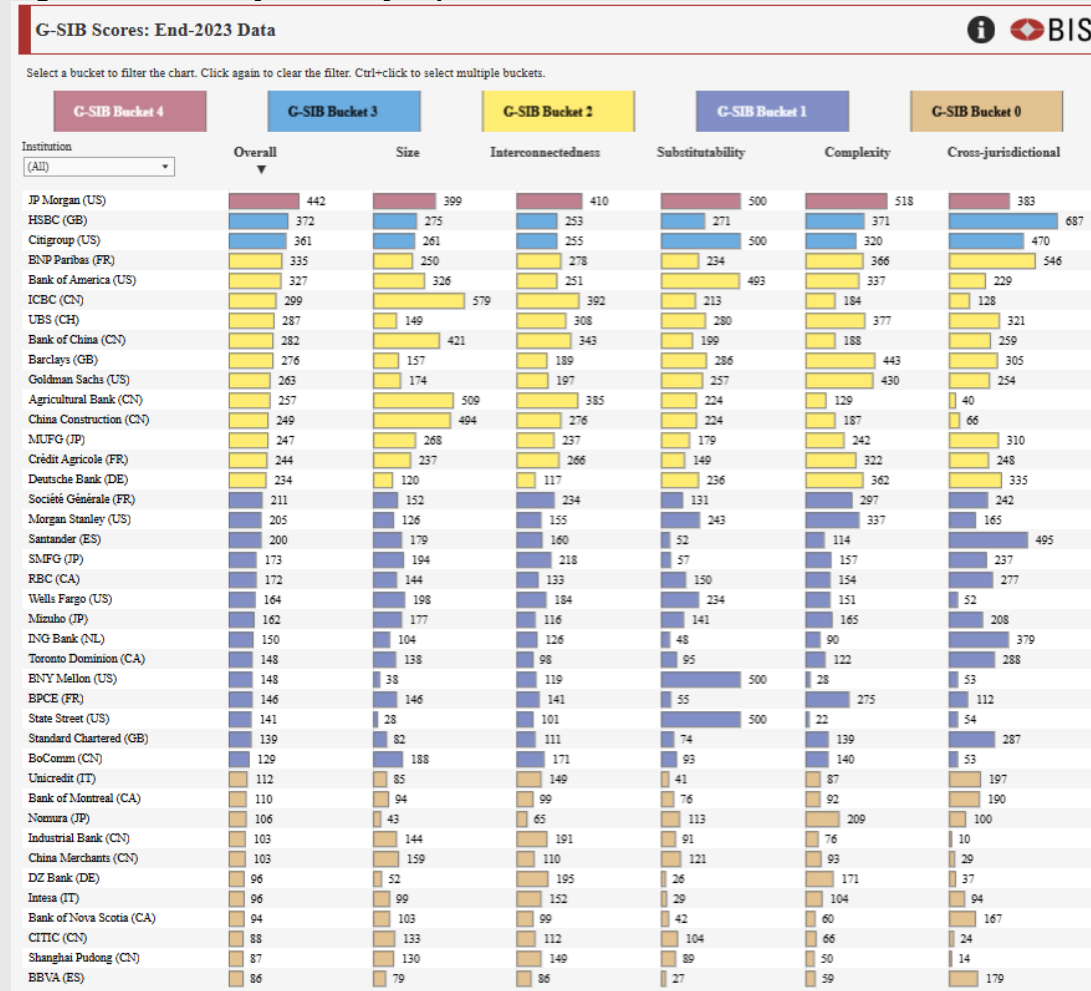
**Notes:**

1. Regulators may set the Globally Systemically Important Bank (G-SIB) surcharge as high as 4.5%, but no bank's surcharge prior to 2023 exceeded 3.5%.<sup>112</sup>
2. The capital ratios presented above are for illustrative purposes only and may not reflect current conditions, as regulatory requirements have evolved over time and can vary by bank.

<sup>111</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>112</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

**Figure 19: Global Systemically Important Banks<sup>113</sup>**



Since 2019, Category I and II banks in the U.S. (those with over \$700 billion in assets or global systemic importance) are required to use the Basel III Advanced Approaches, a more complex internal modeling system to assess credit, market, and operational risk.<sup>114</sup> Large banks must also comply with the Supplementary Leverage Ratio (SLR), which includes off-balance-sheet exposures. The minimum SLR is 3%, but for G-SIBs, it has been raised to 5% at the holding company level and 6% at the depository institution level.<sup>115</sup> This measure was designed to limit excessive leverage and risk accumulation outside traditional balance sheet metrics.

### “Basel IV” – The Basel III Endgame

In 2017, the Basel Committee finalized the Basel III Endgame, also known informally as Basel IV. These final reforms aim to improve the consistency of RWA calculations and reduce variability in capital requirements across banks.<sup>116</sup> Key objectives include 1) enhancing standardized approaches for credit and operational risk; 2) limiting reliance on internal models; and 3) reinforcing capital floors to ensure comparability such as introducing a leverage buffer for G-SIBs. U.S. regulators announced plans in 2022 to propose rules aligned with these standards, applicable only to large banks. While Basel Committee set a 2022 – 2027 timeline for implementation, however, balancing domestic policy with international consistency remains a challenge, and implementation may lead to increased regulatory complexity or adjusted capital requirements.

<sup>113</sup> Global Systemically Important Banks - Assessment Methodology and the Additional Loss Absorbency Requirement.

<https://www.bis.org/bcbs/gsib/index.htm>

<sup>114</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

<sup>115</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>

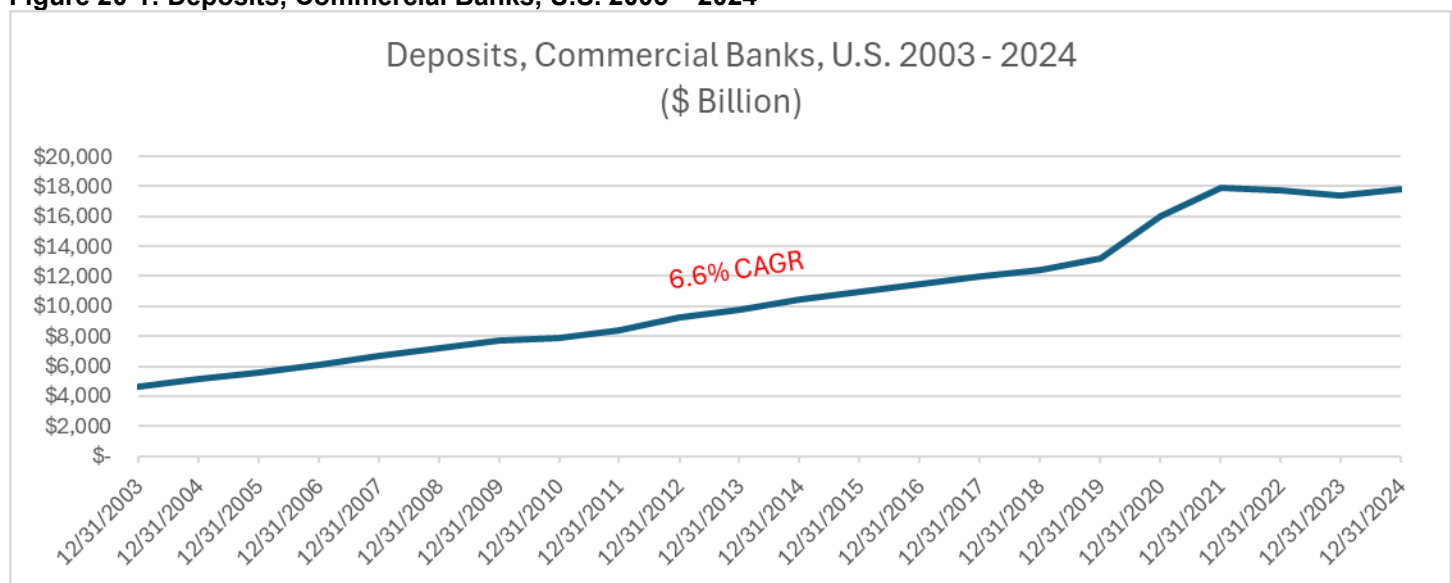
<sup>116</sup> Bank Capital Requirements – A Primer and Policy Issues. Congress.gov. <https://www.congress.gov/crs-product/R47447>



Despite a steady decline in the number of commercial bank branches in the United States, the banking industry has remained fundamentally strong. The core elements of the banking model, deposits and loans have continued to grow over the past two decades, even amid significant disruptions such as the 2008 global financial crisis. **According to Federal Reserve data, total deposits at U.S. commercial banks increased from \$4.6 trillion in 2003 to \$17.8 trillion in 2024,<sup>117</sup> reflecting a CAGR of 6.6%.** In 2003, Bank of America held the largest share of deposits among domestic commercial banks, with approximately 8.2%, followed by Wells Fargo 5.2%, Wachovia 4.6%, JPMorgan Chase 4.3%, and Citigroup 3.8%. By 2024, while the names of top players remained the same, the distribution of market share had shifted significantly. JPMorgan Chase emerged as the leading deposit holder with approximately 10.9% of total U.S. deposits, followed by Bank of America 10.3% Wells Fargo 7.6%, and Citigroup 3.8%.

JPMorgan's rise in deposit market share was driven in part by two major M&A deals. In 2004, the bank merged with Bank One, increasing its deposit share from 4.3% in 2003 to 7.6% in 2004. Then, in 2008, during the height of the financial crisis, JPMorgan acquired the deposits and assets of Washington Mutual from the FDIC, under a government-assisted resolution to prevent systemic collapse.<sup>118</sup> The acquisition of Washington Mutual expanded JPMorgan's deposit share from 7.6% in 2007 to around 10% in 2008. That same year, Wells Fargo also made a major acquisition, purchasing the troubled Wachovia, but without federal assistance, after Wachovia rejected a competing offer from Citigroup, which was backed by the FDIC.<sup>119</sup> As a result, Wells Fargo's deposit share surged from 4.3% in 2007 to 10.3% in 2008.

**Figure 20-1: Deposits, Commercial Banks, U.S. 2003 – 2024<sup>120</sup>**



**Note:**

1. The data cited above "is limited to domestic offices of commercial banks, offices located on U.S. military installations around the world, and foreign-related institutions in the U.S. International Banking Facilities (IBFs), as well as banks located in U.S. territories and possessions such as Puerto Rico and Guam, are considered foreign offices."<sup>121</sup>

<sup>117</sup> Board of Governors of the Federal Reserve System (US), Deposits, All Commercial Banks [DPSACBM027SBOG], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/DPSACBM027SBOG>

<sup>118</sup> JPMorgan to Buy WaMu. CNN. [https://money.cnn.com/2008/09/25/news/companies/JPM\\_WaMu/](https://money.cnn.com/2008/09/25/news/companies/JPM_WaMu/)

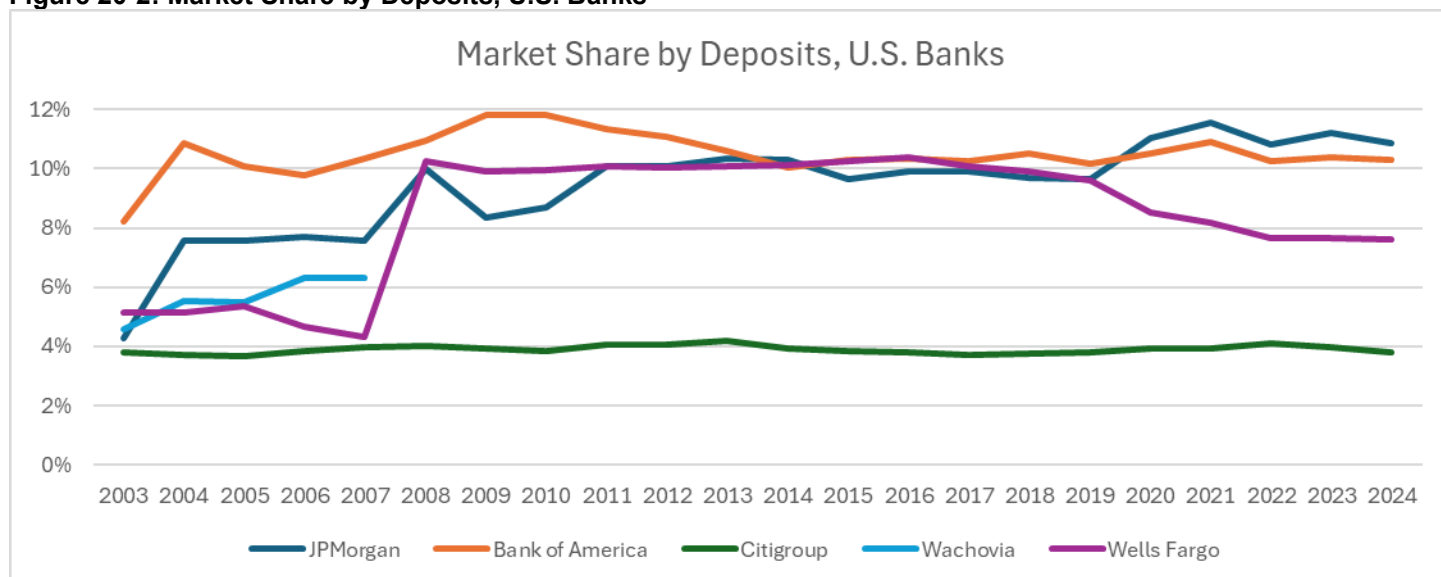
<sup>119</sup> Wells Fargo Buys Wachovia for \$15.1 Billion. ABC News. <https://abcnews.go.com/Business/SmartHome/story?id=5946486>

<sup>120</sup> Board of Governors of the Federal Reserve System (US), Deposits, All Commercial Banks [DPSACBM027SBOG], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/DPSACBM027SBOG>

<sup>121</sup> Assets and Liabilities of Commercial Banks in the United States. Federal Reserve Board.

<https://www.federalreserve.gov/releases/h8/about.htm>

**Figure 20-2: Market Share by Deposits, U.S. Banks**



**Notes:**

1. The market share data above is an estimate, calculated by dividing the total deposits of U.S. banks for each year by the domestic deposits reported by each bank in their respective annual reports for that year.
2. In 2004, JPMorgan merged with Bank One.
3. In 2008, JPMorgan acquired deposits and assets of Washington Mutual from FDIC.<sup>122</sup>

According to Federal Reserve data, total loans held by U.S. commercial banks grew from \$4.2 trillion in 2003 to \$12.6 trillion in 2024,<sup>123</sup> reflecting a CAGR of 6.6%. However, because banks typically do not disclose regional breakdowns of loans on their balance sheets, estimating individual banks' loan market share is challenging. Comprehensive and reliable data from reliable sources on loan distribution by bank is not readily available.

Despite this limitation, available data shows that JPMorgan Chase significantly outpaced the industry in loan growth over this period. From 2003 to 2024, JPMorgan's loans, net of allowances, expanded from \$215 billion to \$1.3 trillion, a 9% CAGR, growing at a faster pace than the industry's 5.4% CAGR. Meanwhile, its total deposits, including those from both U.S. and international offices, grew from \$326 billion to \$2.4 trillion, a 10% CAGR. As a result, JPMorgan's loan-to-deposit ratio declined gradually from approximately 66% in 2003 to 56% in 2024, aligning with the broader trend observed across the U.S. banking industry.

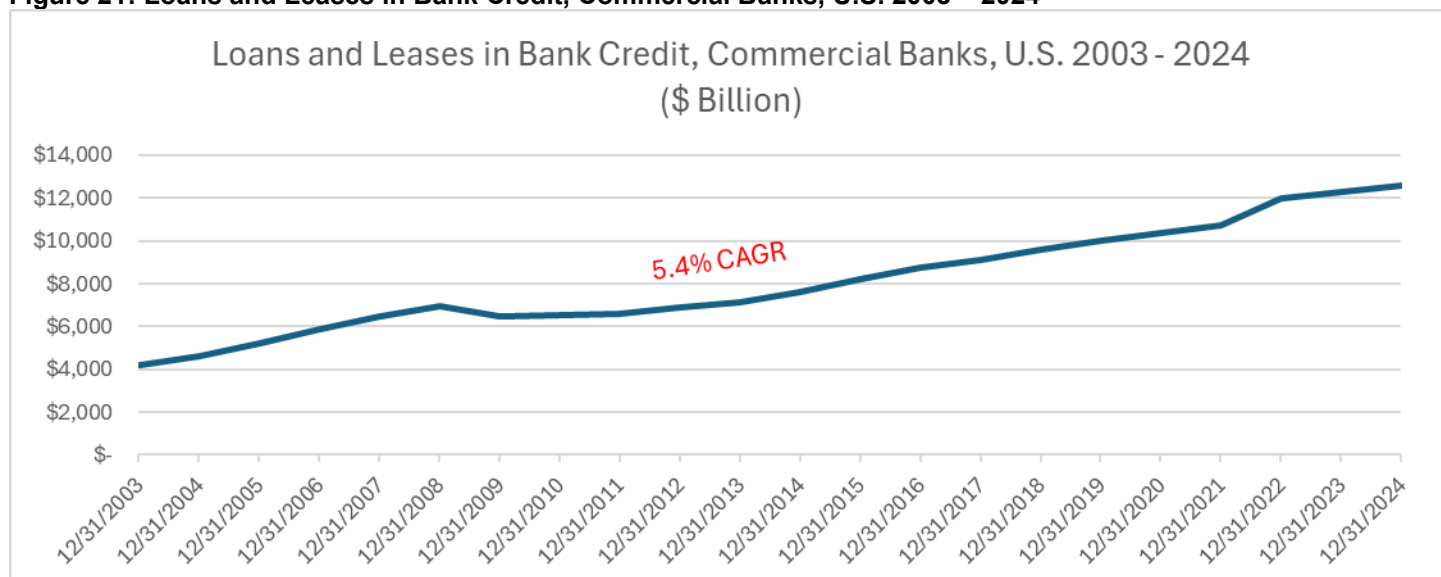
As previously noted, JPMorgan CEO Jamie Dimon emphasized in his 2024 shareholder letter that post-2008 regulations have significantly constrained banks' ability to lend.<sup>124</sup> **He pointed out that liquid assets now account for more than 30% of total assets, double the pre-crisis level of under 15%.** According to Dimon, if these regulatory constraints were relaxed, JPMorgan could extend hundreds of billions of dollars in additional lending annually, a claim he suggested would apply to other major banks as well.

<sup>122</sup> JPMorgan to Buy WaMu. CNN. [https://money.cnn.com/2008/09/25/news/companies/JPM\\_WaMu/](https://money.cnn.com/2008/09/25/news/companies/JPM_WaMu/)

<sup>123</sup> Board of Governors of the Federal Reserve System (US), Deposits, All Commercial Banks [DPSACBM027SBOG], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/DPSACBM027SBOG>

<sup>124</sup> JPMorgan Chase Annual Report 2024.

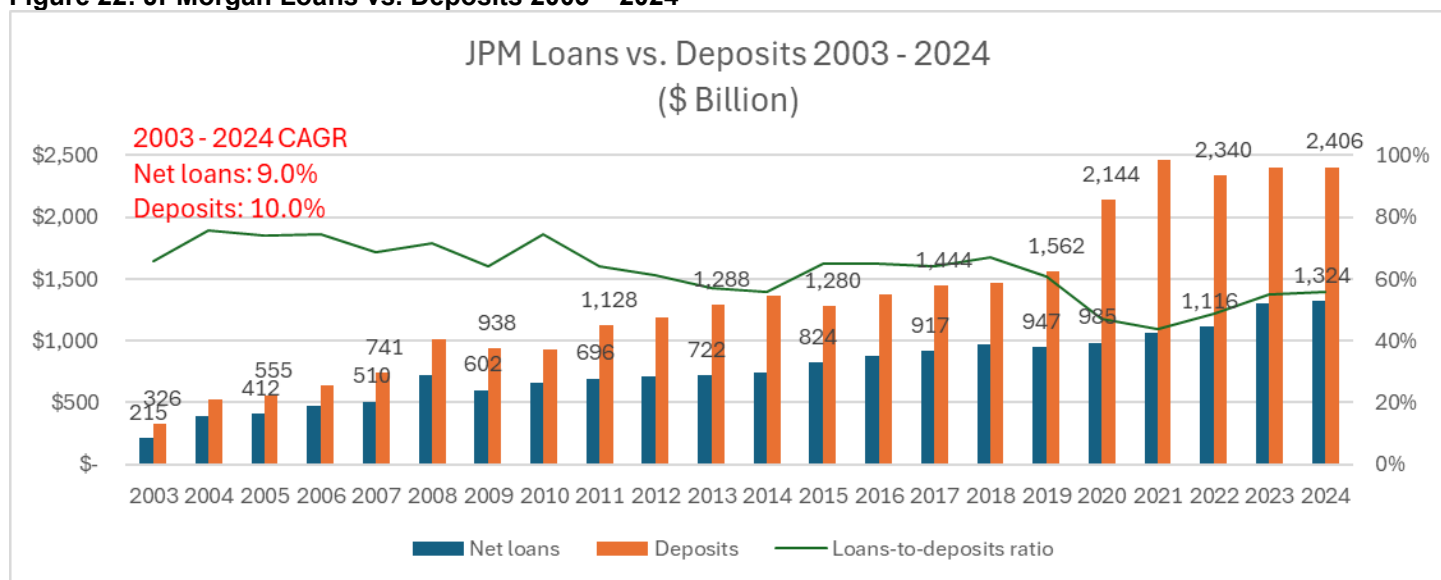
**Figure 21: Loans and Leases in Bank Credit, Commercial Banks, U.S. 2003 – 2024<sup>125</sup>**



Note:

1. The data cited above “is limited to domestic offices of commercial banks, offices located on U.S. military installations around the world, and foreign-related institutions in the U.S. International Banking Facilities (IBFs), as well as banks located in U.S. territories and possessions such as Puerto Rico and Guam, are considered foreign offices.”<sup>126</sup>

**Figure 22: JPMorgan Loans vs. Deposits 2003 – 2024<sup>127</sup>**



Given the systemic importance of the banking industry, regulatory capital requirements have tightened significantly, particularly in the aftermath of the 2008 global financial crisis, when widespread instability exposed the sector's vulnerabilities and lack of governance. The Basel III framework, introduced in response to the crisis and phased in beginning in 2013, was designed to strengthen banks' capital positions and enhance financial resilience. By increasing both the quality and quantity of regulatory capital, especially Common Equity Tier 1 (CET1), Basel III aims to ensure that future losses can be absorbed at the individual bank level, limiting the risk of contagion across the financial system.

Although banks were not required to publicly disclose CET1 ratios until the implementation of Basel III, historical data from similar regulatory capital metrics show that U.S. banks' capital structures have improved markedly since the crisis.

<sup>125</sup> Board of Governors of the Federal Reserve System (US), Loans and Leases in Bank Credit, All Commercial Banks [LOANS], retrieved from FRED, Federal Reserve Bank of St. Louis; <https://fred.stlouisfed.org/series/LOANS>

<sup>126</sup> Assets and Liabilities of Commercial Banks in the United States. Federal Reserve Board.

<https://www.federalreserve.gov/releases/h8/about.htm>

<sup>127</sup> JPMorgan Chase Annual Report 2003 – 2024.



According to Federal Reserve data, the U.S. banking industry's CET1 ratio declined from 8.5% in 2003 to 6.1% in 2008, reflecting higher leverage and increased risk exposure. However, this trend reversed following the crisis. By 2024, the CET1 ratio had risen to 13.6%, indicating a much stronger capital buffer.

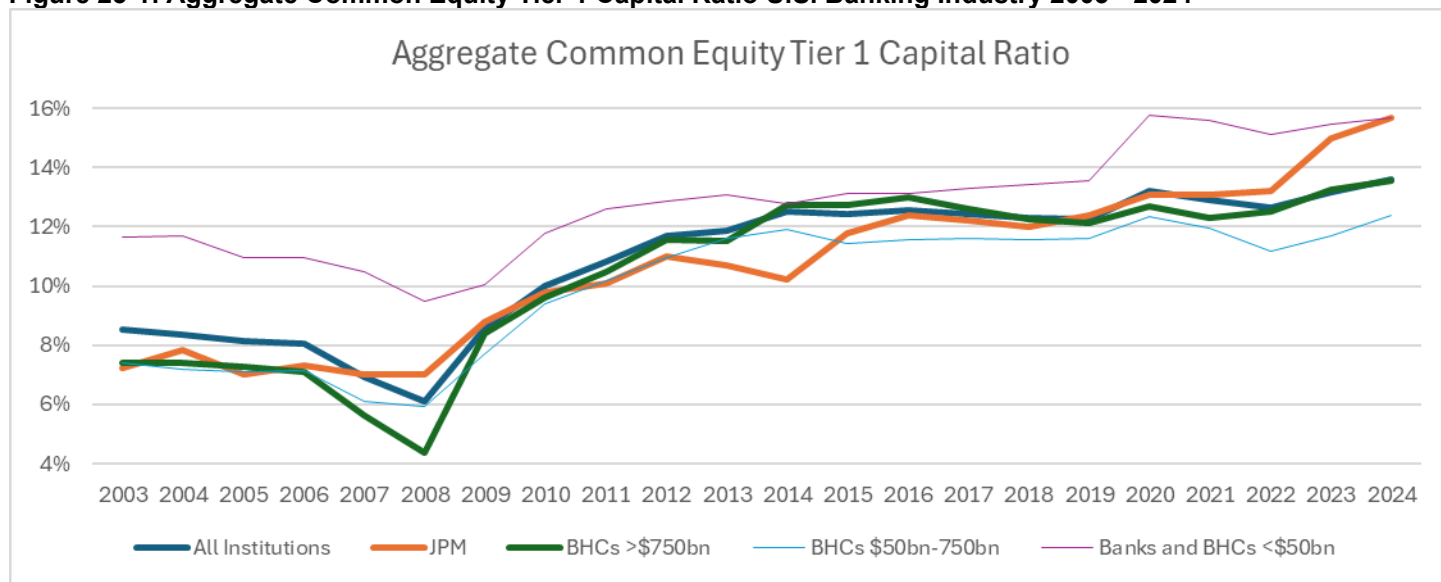
Other capital ratios have followed similar trajectories. The Tier 1 capital ratio, which includes CET1 and other core capital elements but is less loss-absorbent than CET1, increased from 10.0% in 2003 to 14.7% in 2024, after bottoming out at 8.5% in 2007. The total capital ratio, which includes both Tier 1 and Tier 2 capital, rose from 12.9% to 16.2% over the same period.

These rising capital ratios reflect a more robust and resilient banking system, bolstered by stricter regulatory oversight. JPMorgan Chase, the largest bank in the U.S., has generally maintained capital ratios in line with the industry average. However, it is important to note that capital adequacy ratios do not measure operational efficiency. Rather, they reflect a bank's ability to withstand losses and reduce the risk of taxpayer-funded bailouts.

That said, the increase in capital requirements is not without trade-offs. Some research and industry voices suggest that higher regulatory capital may impose costs on the broader economy. Banks can increase their capital ratios either by raising new equity or by limiting asset growth, most often by reducing lending activity.<sup>128</sup> If many banks choose to tighten lending to meet capital requirements, this can result in higher interest rates, reduced credit availability, and ultimately slower economic growth. Banks may also adjust by investing more in low-risk, lower-yielding assets such as Treasury securities, which can damage profitability and reduce the value of bank's role as a credit intermediate. Moreover, equity is typically more expensive than debt, so higher capital requirements increase banks' cost of capital.

These concerns have been echoed by bank executives. In 2022, JPMorgan CEO Jamie Dimon warned that the continued increase in capital requirements was constraining bank capacity to serve clients and support economic growth.<sup>129</sup> Following that year's Federal Reserve stress test, JPMorgan was required to raise its CET1 ratio from 11.2% to 12%,<sup>130</sup> despite already exceeding that threshold. Dimon noted that the rule change forced JPMorgan to set aside more than \$200 billion in additional capital, roughly 5% of its \$3.8 trillion in assets, potentially at the expense of lending and investment. Similarly, in 2025, the CEO of Bank of America criticized the requirement to hold more capital against risk-free assets such as U.S. Treasuries and cash, arguing that doing so restraining their ability to provide liquidity to their clients.<sup>131</sup>

**Figure 23-1: Aggregate Common Equity Tier 1 Capital Ratio U.S. Banking Industry 2003 - 2024<sup>132</sup>**



Notes:

<sup>128</sup> Are Higher Capital Requirements Worth It? 2018 Q2. Federal Reserve Bank of Philadelphia.

<sup>129</sup> Jamie Dimon Warns Capital Rules Pose 'Significant Economic Risk'. Financial Times. <https://www.ft.com/content/ff2891b6-d1f6-4989-926e-6d769e7ce07b>

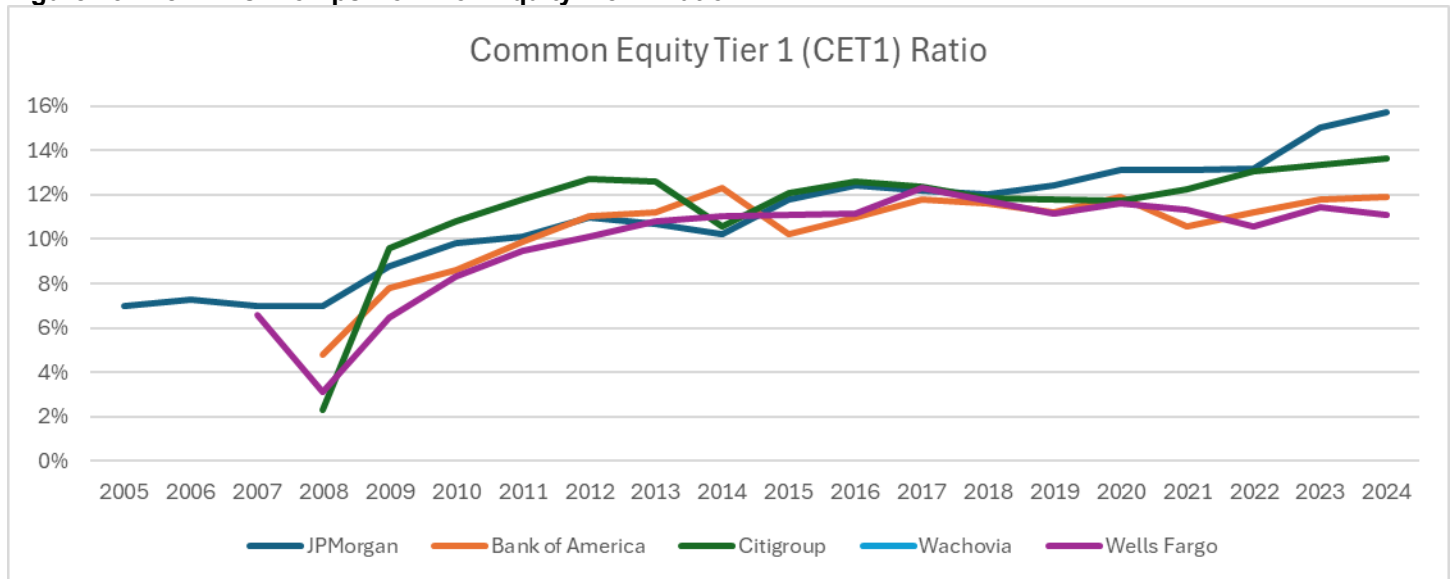
<sup>130</sup> Stress Tests Drive Higher Capital Requirements at 3 Biggest US Banks. Financial Times. <https://www.ft.com/content/a0cc4418-a16f-4e1a-9f84-b0dc6f4adb0>

<sup>131</sup> Bank of America Q1 2025 Earnings Call. 4/15/2025.

<sup>132</sup> Quarterly Trends for Consolidated U.S. Banking Organizations. Federal Reserve Bank of New York. [https://www.newyorkfed.org/research/banking\\_research/quarterly\\_trends](https://www.newyorkfed.org/research/banking_research/quarterly_trends)

1. The data above is based on consolidated financial statistics for the U.S. commercial banking industry, including both bank holding companies (BHCs) and banks.
2. As of 2024, six BHCs exceed the \$750 billion size threshold: J.P. Morgan Chase, Bank of America, Citigroup, Wells Fargo, Goldman Sachs, and Morgan Stanley.<sup>133</sup>

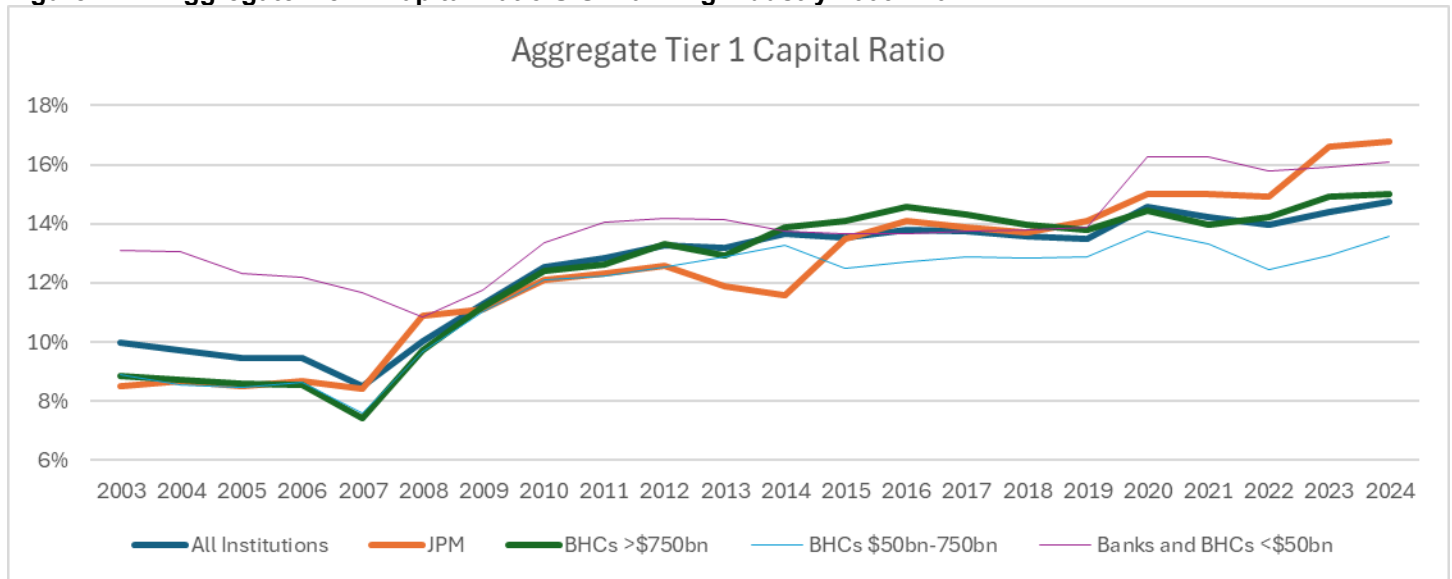
**Figure 23-2: JPM vs. Comps Common Equity Tier 1 Ratio<sup>134</sup>**



**Notes:**

1. Comps data are as reported in their annual reports.
2. Banks were not required to disclose CET1 ratios until 2014 when Basel III phased in. Prior to that, some banks disclosed Tier 1 Common Equity ratio, which is largely similar to CET1 in underlying components.
3. We estimated JPMorgan's CET1 ratios prior to 2009 by subtracting goodwill from common stockholders' equity.
4. Wachovia was acquired by Wells Fargo in 2008.

**Figure 24-1: Aggregate Tier 1 Capital Ratio U.S. Banking Industry 2003 - 2024<sup>135</sup>**



**Notes:**

1. The data above is based on consolidated financial statistics for the U.S. commercial banking industry, including both bank holding companies (BHCs) and banks.

<sup>133</sup> Quarterly Trends for Consolidated U.S. Banking Organizations Fourth Quarter 2024. Federal Reserve Bank of New York.

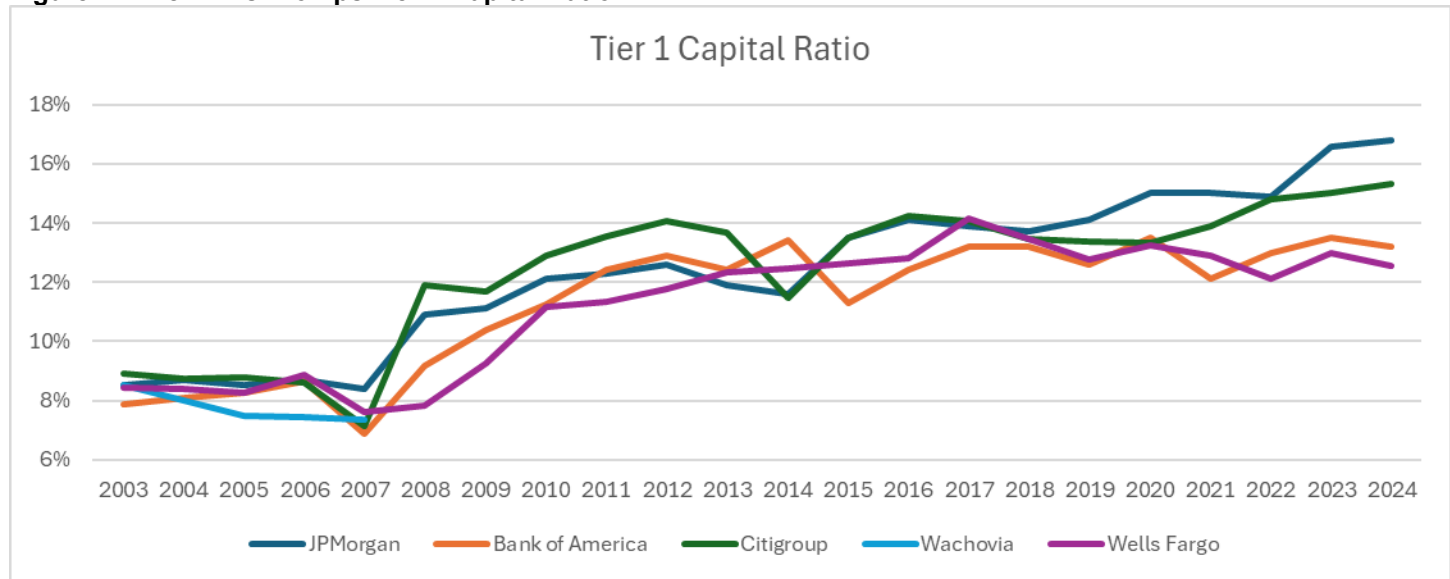
<sup>134</sup> Company Annual Reports.

<sup>135</sup> Quarterly Trends for Consolidated U.S. Banking Organizations. Federal Reserve Bank of New York.

[https://www.newyorkfed.org/research/banking\\_research/quarterly\\_trends](https://www.newyorkfed.org/research/banking_research/quarterly_trends)

- As of 2024, six BHCs exceed the \$750 billion size threshold: J.P. Morgan Chase, Bank of America, Citigroup, Wells Fargo, Goldman Sachs, and Morgan Stanley.<sup>136</sup>

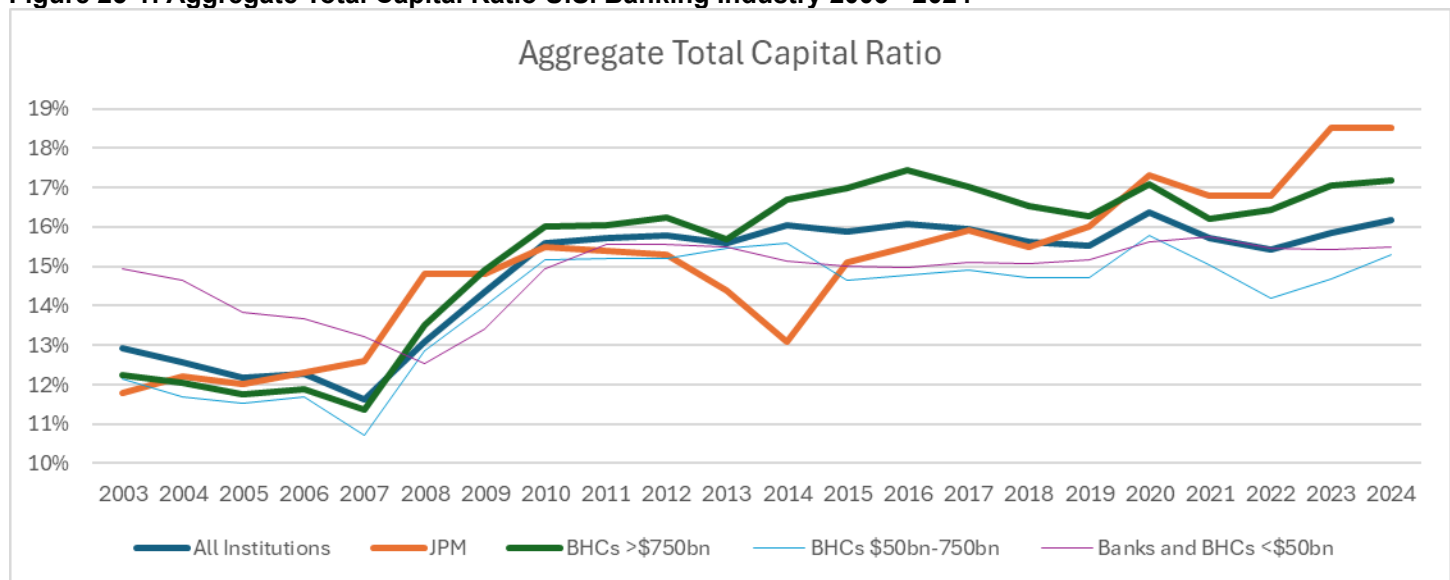
**Figure 24-2: JPM vs. Comps Tier 1 Capital Ratio<sup>137</sup>**



Notes:

- Comps data are as reported in their annual reports.
- Wachovia was acquired by Wells Fargo in 2008.

**Figure 25-1: Aggregate Total Capital Ratio U.S. Banking Industry 2003 - 2024<sup>138</sup>**



Notes:

- The data above is based on consolidated financial statistics for the U.S. commercial banking industry, including both bank holding companies (BHCs) and banks.
- As of 2024, six BHCs exceed the \$750 billion size threshold: J.P. Morgan Chase, Bank of America, Citigroup, Wells Fargo, Goldman Sachs, and Morgan Stanley.<sup>139</sup>

<sup>136</sup> Quarterly Trends for Consolidated U.S. Banking Organizations Fourth Quarter 2024. Federal Reserve Bank of New York.

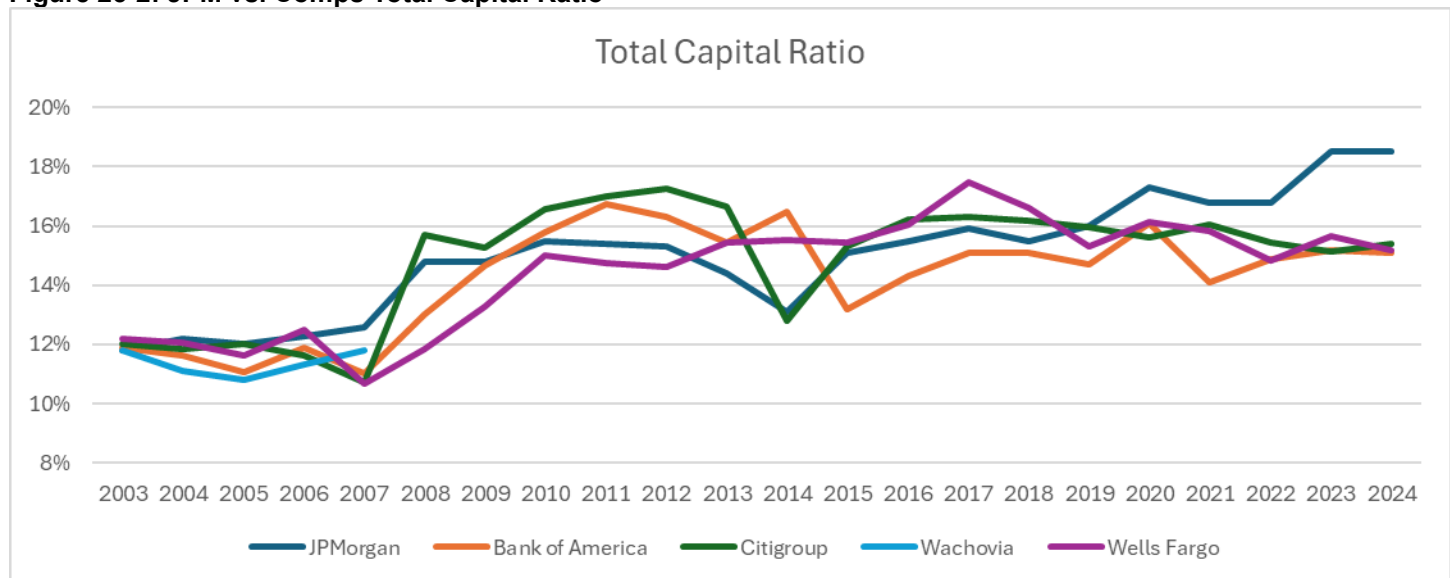
<sup>137</sup> Company Annual Reports.

<sup>138</sup> Quarterly Trends for Consolidated U.S. Banking Organizations. Federal Reserve Bank of New York.

[https://www.newyorkfed.org/research/banking\\_research/quarterly\\_trends](https://www.newyorkfed.org/research/banking_research/quarterly_trends)

<sup>139</sup> Quarterly Trends for Consolidated U.S. Banking Organizations Fourth Quarter 2024. Federal Reserve Bank of New York.

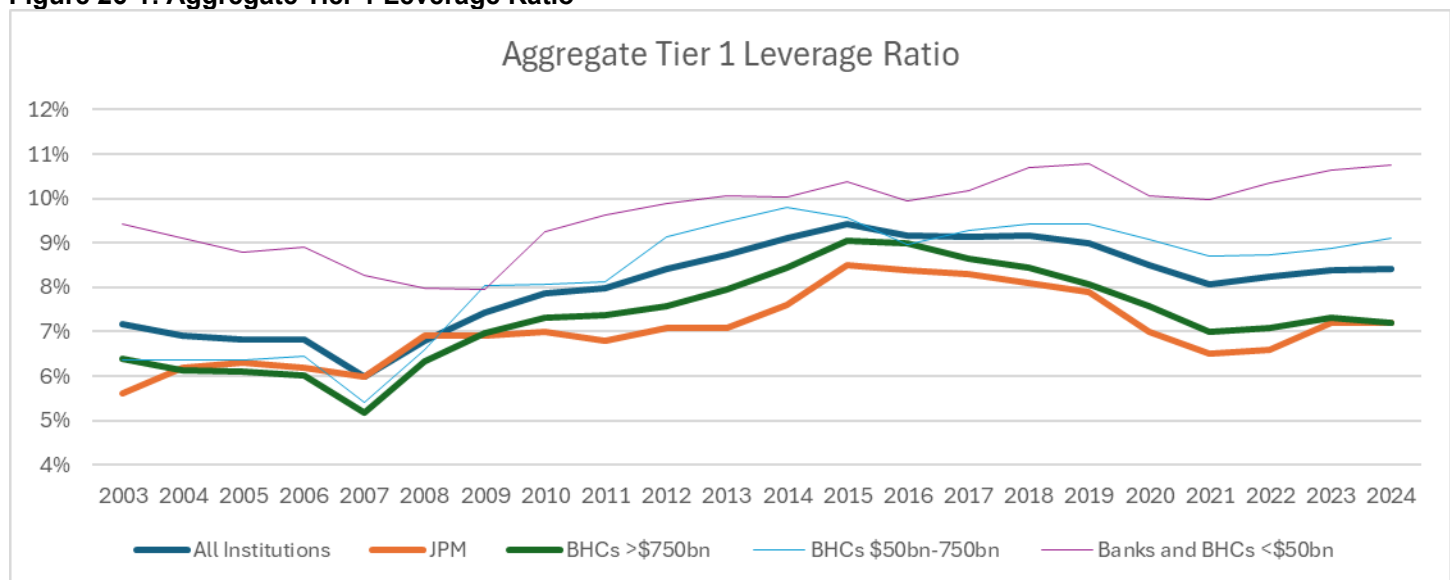
**Figure 25-2: JPM vs. Comps Total Capital Ratio<sup>140</sup>**



Notes:

1. Comps data are as reported in their annual reports.
2. Wachovia was acquired by Wells Fargo in 2008.

**Figure 26-1: Aggregate Tier 1 Leverage Ratio<sup>141</sup>**



Notes:

1. The data above is based on consolidated financial statistics for the U.S. commercial banking industry, including both bank holding companies (BHCs) and banks.
2. As of 2024, six BHCs exceed the \$750 billion size threshold: J.P. Morgan Chase, Bank of America, Citigroup, Wells Fargo, Goldman Sachs, and Morgan Stanley.<sup>142</sup>

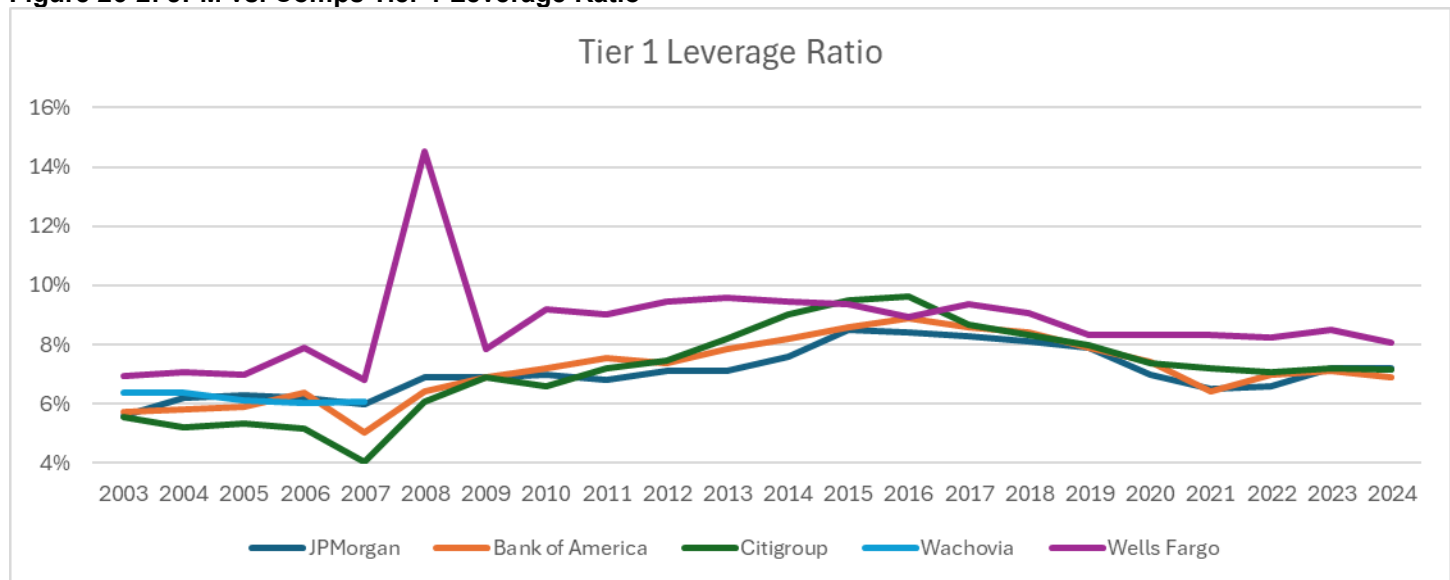
<sup>140</sup> Company Annual Reports.

<sup>141</sup> Quarterly Trends for Consolidated U.S. Banking Organizations. Federal Reserve Bank of New York.

[https://www.newyorkfed.org/research/banking\\_research/quarterly\\_trends](https://www.newyorkfed.org/research/banking_research/quarterly_trends)

<sup>142</sup> Quarterly Trends for Consolidated U.S. Banking Organizations Fourth Quarter 2024. Federal Reserve Bank of New York.

**Figure 26-2: JPM vs. Comps Tier 1 Leverage Ratio<sup>143</sup>**



**Notes:**

1. Comps data are as reported in their annual reports.
2. Wachovia was acquired by Wells Fargo in 2008. "Due to the Wachovia acquisition closing on December 31, 2008, the Tier 1 leverage ratio, which considers period-end Tier 1 capital and quarterly averages in the computation of the ratio, does not reflect average assets of Wachovia for the full period." Looking at the banks individually at year-end, Wells Fargo Bank, N.A. reported a Tier 1 leverage ratio of 6.31%, while Wachovia Bank's stood at 5.38%.<sup>144</sup>

<sup>143</sup> Company Annual Reports.

<sup>144</sup> Wells Fargo Annual Report 2008.

## Business Model – Risk-Awareness, Strategic Acquisitions, and Cost-Consciousness.

Based on our analysis, it appears that JPMorgan Chase's success can be attributed to three important pillars:

1. A disciplined approach to risk management, embodied by the “fortress balance sheet” philosophy consistently emphasized by CEO Jamie Dimon on different occasions;
2. A diversified portfolio of sustainable businesses, driven by organic growth as well as strategic acquisitions and partnerships designed to fill gaps in different fields including capabilities, geography, product offerings, and services;<sup>145</sup>
3. A relentless focus on cost efficiency, ensuring profitability through operational rigor and careful budget discipline.

### Risk-Awareness

Under Dimon's leadership, JPMorgan has combined conservative risk management with opportunistic growth from taking calculated risks,<sup>146</sup> especially during periods of market stress. This balance has enabled the firm to maintain profitability and strengthen its position as a market leader.

By the early 1990s, JPMorgan & Co. had become a pioneer in the field of quantitative risk management, playing a transformative role in turning Value-at-Risk (VaR) from a fragmented, academic concept into an industry standard for measuring financial risk.<sup>147</sup> The foundations of VaR were laid decades earlier, with early capital requirement rules from the New York Stock Exchange in the 1920s and formalized through academic work in the 1950s by scholars such as Harry Markowitz, who was best known for his pioneering work in modern portfolio theory. However, these early models were abstract, computationally intensive, and difficult to apply across the wide variety of instruments and asset classes traded by modern financial institutions. In addition, the growth of derivative instruments, securitization, and global trading amplified the need for consistent risk oversight, but firms were hampered by a lack of unified methodology. Different business units used incompatible metrics such as delta, gamma, or duration, which were useful for tactical decisions but could not be aggregated to reflect firm-wide exposure. The rise of affordable computing power and the availability of comprehensive financial data from vendors such as Bloomberg and Reuters made it technically feasible to develop a comprehensive risk measurement framework. **JPMorgan seized this opportunity to design a firm-wide VaR model that would standardize market risk measurement across all business units.**

The internal VaR system developed at JPMorgan was based on a covariance matrix of several hundred risk factors, derived from historical market data that were updated quarterly. Each trading desk submitted daily position sensitivities, essentially the change in value of a portfolio in response to movements in risk factors. These were aggregated to express the firm's total exposure as a linear function of the risk factors. Assuming a normal distribution, the model computed the standard deviation of portfolio value and estimated potential losses at various confidence levels, such as a one-day 95% VaR. Importantly, the system enabled JPMorgan to replace its complex array of notional limits with a single, coherent VaR-based risk limit framework. Starting in 1990, these daily VaR figures were incorporated into daily Treasury meeting in New York and forwarded to then Chairman Dennis Weatherstone, integrating quantitative risk metrics directly into top-level management decisions.

In the early 1990s, JPMorgan's then head of Global Research noticed growing client interest in its risk system and proposed that JPMorgan offer it as a public service rather than commercial software. In 1994, JPMorgan launched RiskMetrics, a remarkable initiative that publicly released the firm's VaR methodology and a daily-updated covariance matrix covering global market risk factors. Distributed freely via the internet, RiskMetrics included a detailed technical document and was promoted through a global roadshow and partnerships with software vendors, publicizing VaR to a wide audience. It rapidly gained traction. The dataset soon expanded to cover risk factors in foreign exchange, equities, fixed income, and commodities across 33 countries.<sup>148</sup>

By standardizing risk measurement and making it widely accessible, RiskMetrics helped establish a common language for financial risk. It demystified VaR and gave both financial institutions and regulators the tools to implement modern risk management practices. In 1998, as demand for its services grew beyond JPMorgan's internal capacity, RiskMetrics was

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<sup>145</sup> JPMorgan Chase Annual Report 2004.

<sup>146</sup> JP Morgan Chase's Jamie Dimon - You Still Have to Take Risks. Stanford Business. <https://www.gsb.stanford.edu/insights/jp-morgan-chases-jamie-dimon-you-still-have-take-risks>

<sup>147</sup> History of Value-at-Risk: 1922 – 1998. Glyn A. Holton. Contingency Analysis.

<sup>148</sup> Return to RiskMetrics: The Evolution of a Standard. Jorge Mina and Jerry Yi Yao. Risk Metrics.



spun off into an independent company, which would be acquired by MSCI for \$1.55 billion in 2010.<sup>149</sup> JPMorgan's internal risk management tool has now evolved into an industry-wide resource that measures and manages risks in the modern financial system.

Being risk-aware helped JPMorgan avoid some of the mistakes peers made during and prior to the financial crisis. For example, the firm stayed clear of structured investment vehicles (SIVs), off-balance-sheet pools of mortgages, credit card debt, and other loans that many banks used to hide risk. Before Dimon's arrival, Bill Winters and Steve Black, two senior JPMorgan executives, had already taken a cautious stance against SIVs. One key signal was the high cost of credit default swaps, the instruments used to insure SIVs, which indicated to them that these structures were much riskier than they appeared while ignored by other investors.<sup>150</sup> They also recognized the reputational and legal risk – during a credit crisis, JPMorgan would likely be forced to bring these off-balance-sheet assets onto its books. When JPMorgan acquired Bank One in 2004, it inherited \$8 billion SIVs created by Bank One, which was led by Jamie Dimon at that time.<sup>151</sup> Although Dimon initially questioned the decision to divest, pointing out that SIVs were popular with clients, Winters and Black persuaded him that the potential risks far outweighed the modest fees earned – no matter what equity they committed toward the SIVs, the returns were not justifiable.<sup>152</sup> The SIV was eventually sold. In addition, the bank also reduced the credit extended to other banks' SIVs from \$12 billion to \$500 million. **It turned out that Citigroup was later forced to take back \$59 billion SIVs to its balance sheet to provide a support facility that would resolve uncertainties regarding senior debt repayment facing the Citi-advised SIVs,<sup>153</sup> while JPMorgan's exposure was zero.**<sup>154</sup>

**Later, under Jamie Dimon's leadership, JPMorgan Chase avoided the catastrophic losses that stumbled many of its peers during the 2008 global financial crisis.** As early as 2006, Dimon and his team grew concerned about deteriorating lending standards in the subprime mortgage market. In his shareholder letter that year, Dimon openly expressed caution and noted that JPMorgan had exited nearly all of its 2006 subprime mortgage originations.<sup>155</sup> The bank's internal data confirmed the risk. In an October 2006 monthly business review, executives observed that subprime loans originated by competitors such as First Franklin and American Home Mortgage were defaulting at rates three times higher than JPMorgan's own subprime loans.<sup>156</sup> **They viewed that as the country's underwriting standards had deteriorated.**<sup>157</sup> **Reacting quickly, Dimon issued a directive to divest from subprime exposures.** The bank not only stopped originating subprime loans but also reduced exposure to related securities, such as collateralized debt obligations (CDOs), including those rated AAA. The company sold more than \$12 billion in subprime mortgages that it had originated within weeks. Recognizing the systemic weaknesses, JPMorgan's private bank urged wealthy clients to sell CDO holdings. The bank also started hedging against widening credit spreads, further shielding the firm from the impending crisis. Mary Eroles, the then head of private bank at JPMorgan, recalled:

"We connected with the other lines of business...We encouraged our clients to sell their CDOs. We concluded we weren't getting paid for the risk."

Unlike his peers, Jamie Dimon used JPMorgan's 2006 annual report to articulate what he saw as growing risks in the credit markets. He devoted an entire section to outlining the dangers the firm saw, including projections of potential credit losses the firm could experience over the business cycle. He also acknowledged areas where the bank had fallen short and needed to improve.<sup>158</sup> Dimon liked to say that "You don't run a business hoping you don't have a recession." In practice, that meant spending countless hours on scenario planning, especially for bear market cases. To support that effort, he remade the bank's information systems so he could access the reports and data he needed. This not only

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<sup>149</sup> MSCI to buy RiskMetrics for \$1.55 Billion. Reuters. <https://www.reuters.com/article/world/americas/msci-to-buy-riskmetrics-for-155-billion-idUSTRE62041J/>

<sup>150</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. Part III. CNN. [https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/index3.htm](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/index3.htm)

<sup>151</sup> Chapter 11. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>152</sup> How Jamie Dimon Put Himself in a Position for the Deal of the Century. <https://nymag.com/news/features/45320/>

<sup>153</sup> Citigroup Annual Report 2007.

<sup>154</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. Part III. CNN. [https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/index3.htm](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/index3.htm)

<sup>155</sup> JPMorgan Chase Annual Report 2006.

<sup>156</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. CNN. [https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/)

<sup>157</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. Part III. CNN. [https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/index3.htm](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/index3.htm); Chapter 11. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase.

<sup>158</sup> JPMorgan Chase Annual Report 2006.



allowed for faster, better-informed decision-making but also enabled him to hold his executives accountable.<sup>159</sup> In contrast, Citigroup CEO Charles Prince, in his annual letter that same year, merely remarked that the credit environment was “generally good,” noting only “moderate deterioration.”<sup>160</sup> Citigroup had aggressively expanded its balance sheet, chasing even the thinnest spreads on assets,<sup>161</sup> a strategy seemingly good in a rising market but proved disastrous once liquidity dried up and debt could not be rolled over, as we later saw during the financial crisis.

JPMorgan sidestepped the most destructive elements of the subprime collapse during the 2008 financial crisis, which positioned it as one of the few major diversified banks to weather the crisis with comparatively limited damage.<sup>162</sup> **This period highlighted Dimon’s distinctive management style, a blend of rigorous data analysis and disciplined leadership.** While his decisions might cost the firm short-term market share, JPMorgan dropped from third to sixth in fixed-income underwriting between 2005 and 2007 due to its refusal to underwrite subprime CDOs, which peers ignored the danger signs and were going after,<sup>163</sup> these sacrifices ultimately helped the firm in the long-term. Dimon later recalled seeing competitors take on \$100 billion in assets with little added capital, investments that appeared risk-free at the time.<sup>164</sup> **As a result, between July 2007 and Q2 2008, JPMorgan reported approximately “only” \$5 billion in losses from high-risk CDOs and leveraged loans, substantially lower than Citigroup, which lost \$33 billion, Merrill Lynch, which lost \$26 billion, or Bank of America, which lost \$9 billion.**<sup>165</sup>

### “The London Whale”

Although JPMorgan is widely regarded as a disciplined, risk-averse institution, the firm found itself under intense scrutiny in 2012 after racking up more than \$6 billion in trading losses, an infamous episode known as the “London Whale.”

The trouble had its roots in late 2011, when the bank’s Chief Investment Office (CIO) managed a large pool of excess customer deposits. Typically, banks park such funds in very safe and liquid assets,<sup>166</sup> but JPMorgan’s CIO also ran a Synthetic Credit Portfolio (SCP) that was originally meant to hedge the firm’s overall credit exposure.<sup>167</sup> Senior executives, including CEO Jamie Dimon and CFO Douglas Braunstein, instructed the CIO to shrink that portfolio to reduce risk-weighted assets ahead of stricter Basel III rules.<sup>168</sup> At the same time, traders were also pressed to minimize transaction costs, preserve the chance of windfall gains, and avoid headline-grabbing losses, competing directions that would lead to a later disaster, which after the incident, in his 2012 letter to shareholders, Jamie Dimon acknowledged that the strategy “was flawed, complex, poorly reviewed, poorly executed and poorly monitored.” In addition, it also attracted regulatory scrutiny and caused reputational harm.

Bruno Iksil, the London-based trader who would later earn the “London Whale” nickname, tried to square those demands with a complicated strategy by buying credit protection on high-yield bonds while selling protection on safer investment-grade bonds. Instead of reducing risk, the move significantly increased both the size and complexity of the SCP; its notional value nearly tripled, from \$51 billion at year-end 2011 to \$157 billion by March 2012, and monthly losses quickly reached \$550 million. When risk limits were breached on March 23, 2012, then CIO head Ina Drew ordered trading to stop, but the damage was already done. Losses continued to mount as the trades were unwound.

<sup>159</sup> Chapter 11. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>160</sup> Citigroup Annual Report 2006.

<sup>161</sup> Chapter 11. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>162</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/)

<sup>163</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. Part III. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/index3.htm](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/index3.htm)

<sup>164</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/)

<sup>165</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/)

<sup>166</sup> A Failed Whale, and How to Fix It. <https://www.thenation.com/article/archive/failed-whale-and-how-fix-it/>

<sup>167</sup> JPMorgan Chase Annual Report 2012.

<sup>168</sup> Zeissler, Arwin G.; Ikeda, Daisuke; and Metrick, Andrew (2019) "JPMorgan Chase London Whale A: Risky Business," Journal of Financial Crises: Vol. 1 : Iss. 2, 40-59.

Bloomberg and The Wall Street Journal exposed the mounting losses in early April,<sup>169</sup> dubbing Iksil the “London Whale.” His positions were so large that rivals could profit by trading against them. The publicity accelerated JPMorgan’s losses: the SCP dropped \$415 million on April 10 alone, and by year-end 2012 the losses totaled \$6.2 billion.<sup>170</sup> Regulators from both the U.S. and U.K. eventually fined the firm for over \$1 billion. Dimon later conceded that the strategy “was flawed, complex, poorly reviewed, poorly executed and poorly monitored,” calling it “the stupidest and most embarrassing situation I have ever been a part of.”<sup>171</sup> He offered a direct apology in his annual letter to shareholders and regulators: “I deeply apologize to you, our shareholders, and to others, including our regulators, who were affected by this mistake.”<sup>172</sup>

Beyond the financial impact, the scandal exposed cultural and operational weaknesses at a bank known for its “fortress balance sheet.” Dimon’s 2012 shareholder letter acknowledged “a gap in our fortress wall,” stressing the need to fight complacency, confront internal conflicts, and align controls with risk.

**JPMorgan’s response was decisive. The bank shut down the synthetic credit portfolio and transferred the remaining positions to its Investment Bank, replaced the CIO management team, and clawed back more than \$100 million in compensation.<sup>173</sup> It also created a Firmwide Oversight & Control Group reporting to the co- COOs, appointed dedicated control officers in every business line, and launched more than 20 enterprise-wide control initiatives.** Dimon framed the overhaul as essential to restoring confidence: “Our control agenda is now priority #1,” he said, vowing that JPMorgan would be “a port of safety in the next storm.”<sup>174</sup>

JPMorgan’s risk management is further demonstrated by its consistently low ratio of nonperforming assets (NPA) to total assets, particularly in comparison to its largest U.S. peers. Since Dimon became president in 2004, JPMorgan has maintained the lowest NPA ratio among the four largest U.S. banks in most years. From 2003 to 2024, JPMorgan’s NPA ratio declined from 0.4% to 0.2%, with a temporary spike to 1.0% in 2009 during the financial crisis. Quickly, the bank brought its ratio back below 1% by 2010, signaling a swift and effective response to deteriorating credit conditions. In contrast, competitors experienced both higher peaks and slower recoveries. The NPA ratio of Bank of America rose to 1.0% in 2008, peaked at 1.6% in 2009, and only returned below 1% by 2013; Citigroup’s increased to 1.2% in 2008, peaked at 1.8% in 2009, and dropped below 1% in 2011; and Wells Fargo’s peaked at 2.2% in 2009 and remained above 1% until 2014. In terms of net charge-off rates, which reflect actual loan losses written off as unrecoverable, JPMorgan averaged 1.1% from 2003 to 2024, similar to Bank of America’s 1.0%, lower than Citigroup’s 1.7%, but slightly higher than Wells Fargo’s 0.8%.

On a stand-alone basis, a higher net charge-off rate may suggest weaker loan quality. However, when considered alongside JPMorgan’s consistently low NPA ratio, the data potentially suggests that JPMorgan is quicker and more decisive in recognizing and writing off troubled loans, rather than letting them linger as nonperforming assets. This aggressive approach to managing problem loans allows the bank to maintain a cleaner balance sheet and avoid the prolonged drag of unresolved credit issues, reflecting its conservative nature in risk-management.

In essence, JPMorgan’s combination of low NPA ratios and proactive charge-offs demonstrates a strong internal control system and a forward-looking approach to credit risk. It reflects Dimon’s broader philosophy of acting early, confronting problems when spotted, and avoiding complacency, even if it comes at the cost of short-term profitability and market share, as discussed above. An executive at JPMorgan remarked, “Jamie and I like to get the bad news out to where everybody can see it to get the dead cat on the table,”<sup>175</sup> reflecting a leadership team trained to detect risk early and act decisively.

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<sup>169</sup> JPMorgan Trader’s Positions Said to Distort Credit Indexes. Bloomberg.

<https://web.archive.org/web/20151110233622/https://www.bloomberg.com/news/articles/2012-04-05/jpmorgan-trader-iksil-s-heft-is-said-to-distort-credit-indexes>; Making Waves Against ‘Whale’. The Wall Street Journal. <https://www.wsj.com/articles/SB10001424052702304587704577336130953863286>

<sup>170</sup> Zeissler, Arwin G.; Ikeda, Daisuke; and Metrick, Andrew (2019) “JPMorgan Chase London Whale A: Risky Business,” Journal of Financial Crises: Vol. 1 : Iss. 2, 40-59.

<sup>171</sup> JPMorgan Chase Annual Report 2012.

<sup>172</sup> JPMorgan Chase Annual Report 2012.

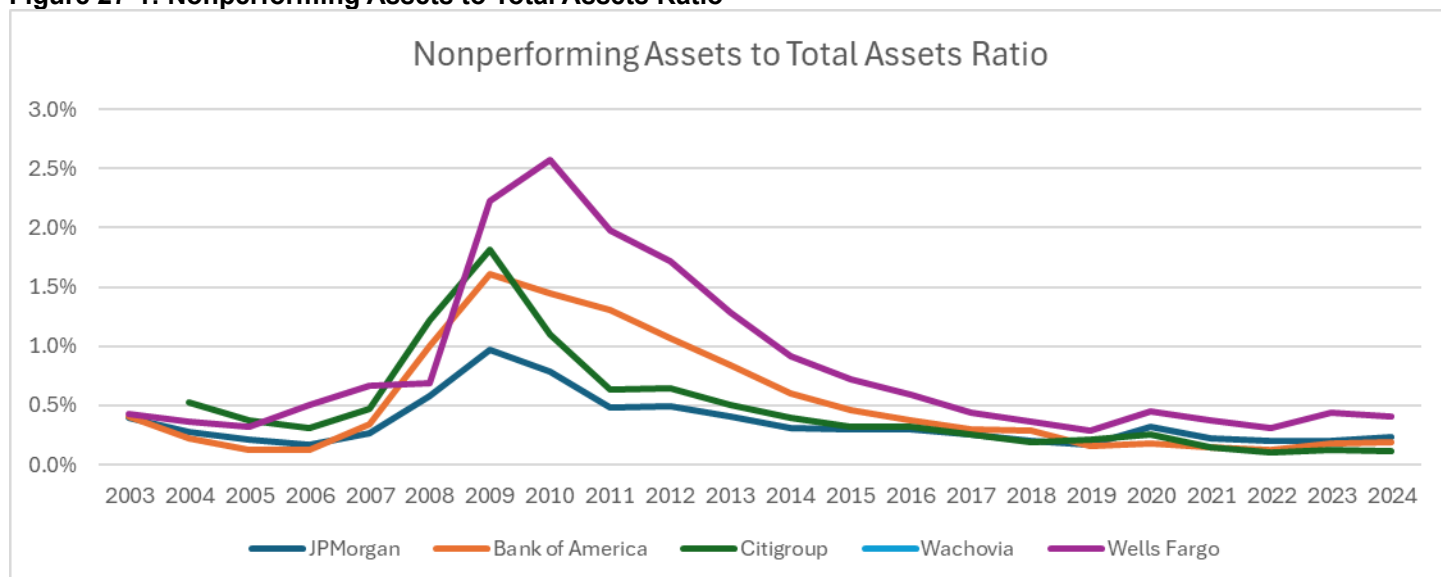
<sup>173</sup> JPMorgan Chase Annual Report 2012.

<sup>174</sup> JPMorgan Chase Annual Report 2012.

<sup>175</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. CNN.

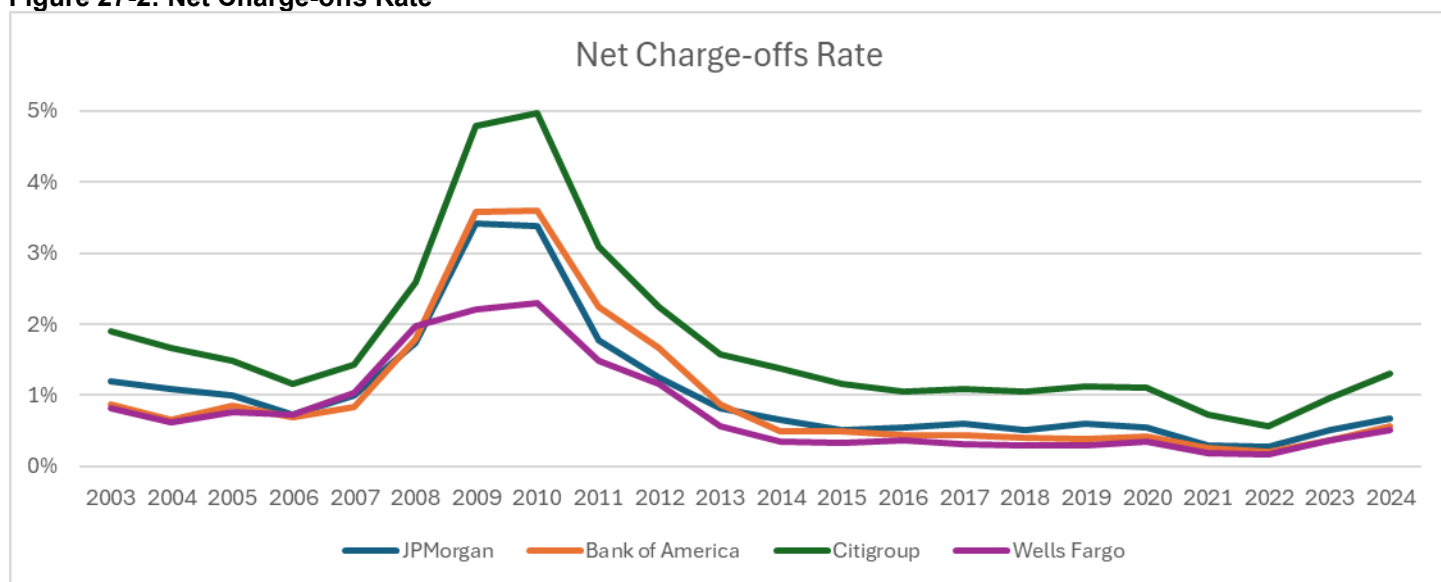
[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/)

**Figure 27-1: Nonperforming Assets to Total Assets Ratio<sup>176</sup>**



- Note:
1. The data above is either directly extracted from the companies' annual reports or estimated based on information provided in those reports.

**Figure 27-2: Net Charge-offs Rate<sup>177</sup>**



- Note:
1. The data above is either directly extracted from the companies' annual reports or estimated based on information provided in those reports.

When Jamie Dimon joined JPMorgan Chase in 2004, he brought with him a deeply conservative financial philosophy that would soon become a defining feature of the firm's risk management culture. In the firm's 2004 shareholder letter, co-authored by then-CEO William Harrison and Dimon, who had just assumed the role of President and Chief Operating Officer, the phrase "fortress balance sheet" appeared for the first time, a term that would come to symbolize JPMorgan's long-term approach to financial strength and resilience in the following two decades.

The letter articulated the concept clearly:

"A fortress balance sheet requires a thorough understanding and management of our assets and liabilities; the use of conservative, appropriate accounting; tight financial controls; strong loan loss reserves; and a commitment

<sup>176</sup> Company Annual Reports.

<sup>177</sup> Company Annual Reports.

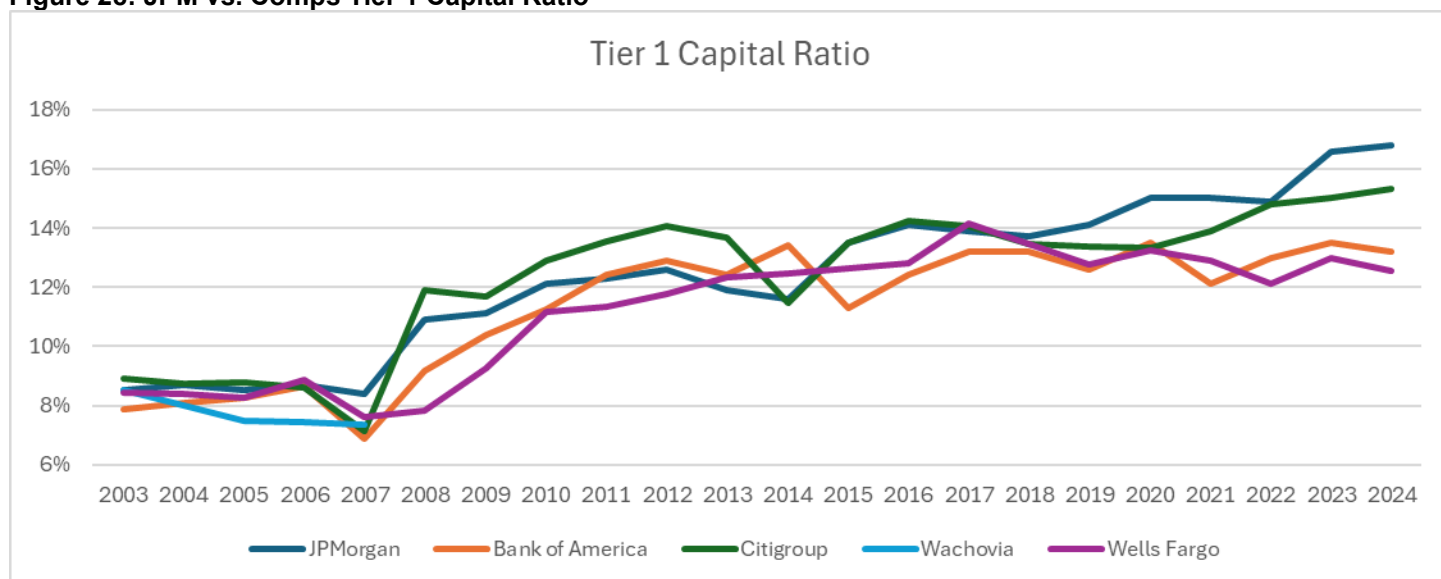
to solid credit ratings. We want a balance sheet of unquestioned strength. With a fortress balance sheet, we can withstand – perhaps even benefit from – difficult times and be deliberate in our capital allocation decisions.”<sup>178</sup>

This philosophy would prove prescient. Dimon’s commitment to conservative accounting, capital discipline, and balance sheet strength laid the foundation for JPMorgan’s resilience during the 2008 financial crisis and beyond.

As discussed above, JPMorgan’s conservative approach is reflected in both its nonperforming asset to total assets ratio (NPA ratio) and its capital adequacy, key indicators of balance sheet strength for banks. From 2003 to 2024, JPMorgan maintained the lowest average NPA ratio among its major U.S. competitors, 0.4%, reflecting its relatively strong asset quality. During the height of the financial crisis in 2009, JPMorgan’s NPA ratio rose to just 1.0%, the highest for the past two decades, but quickly began to decline the following year. In contrast, its main peers experienced more severe deterioration and slower recoveries – Wells Fargo, Bank of America, and Citigroup peaked at 2.2%, 1.6%, and 1.8%, respectively.

Furthermore, JPMorgan has steadily improved its capital positions since Jamie Dimon took the helm. Its Tier 1 capital ratio rose from 8.5% in 2003 to 16.8% in 2024, the highest among its major competitors. Notably, during the early stages of the financial crisis, JPMorgan’s capital ratio remained robust and dipped only slightly from 8.7% in 2006 to 8.4% in 2007, compared to Wells Fargo’s 7.6%, Citigroup’s 7.1%, and Bank of America’s 6.9%. While capital ratios alone do not reflect operational performance, maintaining the highest Tier 1 capital ratio during a systemic crisis underscores JPMorgan’s strong balance sheet discipline and capacity to absorb shocks without resorting to emergency measures.

**Figure 28: JPM vs. Comps Tier 1 Capital Ratio**<sup>179</sup>



Notes:

1. Comps data are as reported in their annual reports.
2. Wachovia was acquired by Wells Fargo in 2008.

### Strategic Acquisitions

JPMorgan’s broad diversification across retail banking, investment banking, and asset management has further enhanced its resilience and competitive edge. Jamie Dimon has long advocated for a strategy built on scale, synergies, and cross-functional integration. He envisions JPMorgan as a one-stop financial services provider, comparable to Walmart in the retail sector.<sup>180</sup> “Walk into a Chase branch and we can give you so much quicker, better and faster,” he once said, referring to the wide variety of financial products offered, from loans and credit cards to investment solutions. The comparison depicts that, like Walmart, JPMorgan aims to serve a broad base of customers by offering convenience, efficiency, and competitive pricing at scale.

<sup>178</sup> JPMorgan Chase Annual Report 2004.

<sup>179</sup> Company Annual Reports.

<sup>180</sup> Jamie Dimon - America’s Least-Hated Banker. The New York Times. <https://www.nytimes.com/2010/12/05/magazine/05Dimon-t.html>

Jamie Dimon believes that in today's competitive financial landscape, the winners will be those who can offer customers greater access to better financial products and services at a lower cost. In this environment, size, scale, and staying power are critical advantages.<sup>181</sup> To Dimon, the bank's diverse lines of business are not disparate but complementary. Just as a Walmart shopper might buy both groceries and other products in other categories, JPMorgan customers who are looking for a credit card may also need a mortgage; businesses that seek loans may also require investment banking services; and virtually all customers need a safe place to manage their assets. This integrated model allows JPMorgan to cross-sell effectively, which Dimon refers to as offering "natural product-line extensions."<sup>182</sup>

Dimon acknowledges that financial products such as loans and mortgages are largely commoditized. What matters most to customers is not where these products are "manufactured," but whether they are delivered with superior service, convenience, and cost efficiency. He defines growth in "1,000 small steps" in better service, better products, longer hours, and continuous improvement across every budget review.<sup>183</sup> JPMorgan's diversified business portfolio enables the bank to leverage its distribution network, including physical branches, digital platforms, and sales teams. JPMorgan's Chase branches provide customers with a variety of financial services. Beyond accepting deposits and providing access to cash, they also offer products and services including but not limited to investment, mortgages, home equity loans, credit and debit cards, business loans, annuities, etc.

The 2008 financial crisis was a pivotal moment for his company since Jamie Dimon took over JPMorgan Chase, further elevating his profile across the financial industry. Beyond steering JPMorgan through the turmoil, Dimon played an important role in the broader U.S. financial system. At the height of the crisis, he was instrumental in the government-backed rescue of Bear Stearns, one of Wall Street's largest securities firms, making him the government's go-to figure in the future when navigating emergency bailouts and institutional collapses.<sup>184</sup>

In March 2008, JPMorgan acquired Bear Stearns in a government-brokered fire sale initially valued at \$2 per share, an all-stock deal equivalent to \$236 million. The price was later increased to \$10 per share, raising the total valuation to \$1.2 billion,<sup>185</sup> in part to address resistance from Bear Stearns shareholders. **The company stated that it paid \$1.5 billion for \$11 billion Bear Stearns common equity reported at that time,<sup>186</sup> as shown on Bear Stearns' 2007 annual report.<sup>187</sup> This implied a 0.14x price-to-book and roughly 6.4x earnings multiple based on Bear Stearns' 2007 annual report.<sup>188</sup> But it is worth noting that this seemingly bargain also reflected deep uncertainty about the true condition of Bear Stearns' balance sheet as the crisis unfolded.**

At the time of the acquisition, Bear Stearns was one of the largest securities firms and held nearly \$400 billion in total consolidated assets,<sup>189</sup> compared to JPMorgan's \$1.56 trillion in assets at the end of 2007.<sup>190</sup> Bear Stearns was a key player in investment banking, derivatives and securities trading, clearing services, and the origination and securitization of commercial and residential mortgage loans. In mid-March 2008, Bear Stearns notified the Federal Reserve that it would likely be unable to meet its financial obligations the following day and could not secure private financing. The urgency stemmed from Bear Stearns' heavy exposure to critical financial segments such as mortgage-backed securities, derivatives, repurchase agreements, and clearing services, where its failure could have triggered widespread systemic disruption. To buy time for regulators to engineer a resolution and to let Bear Stearns search for additional funds over the weekend, the Federal Reserve extended an emergency bridge loan of \$12.9 billion, channeled through JPMorgan.

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<sup>181</sup> JPMorgan Chase Annual Report 2005.

<sup>182</sup> JPMorgan Chase Annual Report 2005.

<sup>183</sup> Dimon's Grand Design. Bloomberg.

<https://web.archive.org/web/20240413042020/https://www.bloomberg.com/news/articles/2005-03-27/dimons-grand-design>

<sup>184</sup> Jamie Dimon Seen as Good Fit for Treasury. New York Post.

[https://web.archive.org/web/20121123220257mp/http://www.nypost.com/p/news/business/polishing\\_dimon\\_IKfyRK8PArjilMYflWAvDK](https://web.archive.org/web/20121123220257mp/http://www.nypost.com/p/news/business/polishing_dimon_IKfyRK8PArjilMYflWAvDK)

<sup>185</sup> Bear Stearns Offer Raised to \$10 a Share. The Guardian.

<https://www.theguardian.com/business/2008/mar/24/creditchunch.useconomy>

<sup>186</sup> JPMorgan Chase Annual Report 2008.

<sup>187</sup> Bear Stearns Annual Report 2007.

<sup>188</sup> Bear Stearns Annual Report 2007.

<sup>189</sup> Bear Stearns, JPMorgan Chase, and Maiden Lane LLC. The Federal Reserve. <https://www.federalreserve.gov/regreform/reform-bearstearns.htm>

<sup>190</sup> JPMorgan Chase Annual Report 2007.



Despite its willingness to acquire the troubled firm, deploying over a thousand staff doing due diligence of Bear Stearns on every loan, real estate, litigation, etc., compressing six months of work in just two days,<sup>191</sup> JPMorgan expressed concern about the potentially massive losses tied to Bear's illiquid mortgage assets, especially given market volatility and strained credit conditions. To facilitate the acquisition, the Federal Reserve Bank of New York created a special-purpose vehicle, Maiden Lane LLC, to isolate and manage a set of risky Bear Stearns assets.<sup>192</sup> Maiden Lane purchased approximately \$30 billion in assets from Bear Stearns, funded by a \$29 billion loan from the Federal Reserve Bank of New York and a \$1 billion subordinated loan from JPMorgan. The Fed's loan bore interest at the primary credit rate, while JPMorgan's subordinated loan carried a rate of primary plus 450 basis points. The repayment structure prioritized proceeds from the asset sales in the following order – 1) operating expenses of the LLC, 2) principal due to the Federal Reserve, 3) interest due to the Federal Reserve, 4) principal due to JPMorgan, and 5) interest due to JPMorgan, and 6) any residual gains returned to the Federal Reserve.

For fiscal year 2008, JPMorgan consolidated approximately \$370 billion assets from Bear Stearns. Jamie Dimon acknowledged that JPMorgan's "fortress balance sheet" and capital base, as well as talents, enable the company to enter this deal.<sup>193</sup> Post-acquisition, the company's first priority was to quickly reduce our downside risk. **The bank did so by massively de-risking Bear Stearns quickly and in potentially dangerous markets, reducing to approximately \$200 billion of assets.** However, at that time, given the complexity behind Bear Stearns' assets, JPMorgan reported that all of the purchased equity was used up in this process, and several billions more in losses ran through its income statement. Without providing an exact figure, JPMorgan stated that some portion of a \$10 billion write-downs in leveraged lending and mortgage-related assets was tied to Bear Stearns' assets. The company's unexpected losses reflected the complexity of financial business under such an uncertain environment, stating "under normal conditions, the price [JPMorgan] ultimately paid for Bear Stearns would have been considered low by most standards. But these were not normal conditions, and because of the risk [JPMorgan was] taking, [it] needed a huge margin for error," comparing the deal to purchasing a house on fire.

Despite the short-term losses and legal liabilities associated with the acquisition of Bear Stearns, the deal proved strategically transformative for JPMorgan Chase. The acquisition filled critical gaps in JPMorgan's business model, completing the company into a full-service global financial institution. Specifically, the firm strengthened its capabilities in Prime Brokerage and Commodities, two areas where it had previously been weak.<sup>194</sup> The deal also significantly enhanced JPMorgan's broader equity and fixed income businesses. At the time of the acquisition, Bear Stearns was the second-largest prime broker in the U.S., with a 21% market share, just behind Morgan Stanley's 23%.<sup>195</sup> Although Bear Stearns lost some customers during the crisis, the addition of Bear Stearns propelled JPMorgan into the ranks of the top three prime brokers in the country, alongside Morgan Stanley and Goldman Sachs.<sup>196</sup> JPMorgan projected that the newly acquired businesses would generate approximately \$1 billion in annual earnings,<sup>197</sup> a meaningful addition to its bottom line at a time when the company had reported \$15 billion in net income for the year ending 2007.<sup>198</sup>

Later in 2008, Jamie Dimon executed another pivotal deal when JPMorgan Chase acquired the banking business of Washington Mutual (WaMu), the largest U.S. thrift at the time, after it was seized by the FDIC,<sup>199</sup> marking the largest bank failure in history.<sup>200</sup> The then chairman of FDIC indicated that among all four bidders, including Wells Fargo, Citigroup, and HSBC, JPMorgan had the highest bid with the lowest cost resolution.<sup>201</sup> The \$1.9 billion cash payment to the FDIC gave JPMorgan control of WaMu's banking assets, which were valued at approximately \$31 billion in net asset value, implying

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<sup>191</sup> Transcript of Jamie Dimon on How Leaders Lead with David Novak Podcast. <https://singjupost.com/transcript-of-jamie-dimon-on-how-leaders-lead-with-david-novak-podcast/>

<sup>192</sup> Bear Stearns, JPMorgan Chase, and Maiden Lane LLC. The Federal Reserve. <https://www.federalreserve.gov/regreform/reform-bearstearns.htm>

<sup>193</sup> JPMorgan Chase Annual Report 2008.

<sup>194</sup> JPMorgan Chase Annual Report 2008.

<sup>195</sup> Chapter 15. The Financial Crisis Inquiry Report. Financial Crisis Commission.

<sup>196</sup> Prime Broker Ranks Shaken Up for Good by Crisis. Reuters. <https://www.reuters.com/article/world/prime-broker-ranks-shaken-up-for-good-by-crisis-idUSTRE5AG42I/>

<sup>197</sup> JPMorgan Chase Annual Report 2008.

<sup>198</sup> JPMorgan Chase Annual Report 2008.

<sup>199</sup> Jamie Dimon Reprises 2008 Role as Rescuer of a Failing Bank. The New York Times. <https://web.archive.org/web/20230420064457/https://www.nytimes.com/2023/03/30/business/jamie-dimon-silicon-valley-bank-collapse.html>

<sup>200</sup> Washington Mutual Failure Has Biggest Impact on Consumers. CNN. <https://money.cnn.com/2009/09/08/news/economy/wamu.fallout.fortune/>

<sup>201</sup> JPMorgan to Buy WaMu. CNN. [https://money.cnn.com/2008/09/25/news/companies/JPM\\_WaMu/](https://money.cnn.com/2008/09/25/news/companies/JPM_WaMu/)

a purchase price of just 0.06x book value.<sup>202</sup> The deal resulted in negative goodwill on JPMorgan's 2008 financial statements.<sup>203</sup>

The acquisition of WaMu significantly expanded JPMorgan Chase's national retail footprint, particularly in key states such as California, Florida, and Washington, bringing the firm's branch network to 5,400 locations across 23 states and providing access to approximately 42% of the U.S. population.<sup>204</sup> The acquisition also extended JPMorgan's reach into Georgia, Idaho, Nevada, and Oregon, laying the groundwork for further growth in business banking, consumer lending, credit cards, and wealth management. According to company disclosures, the WaMu acquisition added \$240 billion in mortgage and mortgage-related assets, \$160 billion in deposits, and \$38 billion in common equity to JPMorgan's balance sheet. Prior to the deal, JPMorgan held approximately \$740 billion in deposits as of year-end 2007. With the addition of WaMu's deposit base, its total deposits rose to over \$900 billion immediately, making JPMorgan the largest depository institution in the United States.<sup>205</sup> Importantly, the newly acquired deposits provided a stable and cost-effective funding source to support the bank's expanding operations.

**Figure 29: JPMorgan Select Business Metrics Before and After Acquisition of Washington Mutual<sup>206</sup>**

| <b>Select Business Metrics</b>                 |                       |                          |                 |               |
|------------------------------------------------|-----------------------|--------------------------|-----------------|---------------|
| <b>As of 6/30/2008</b>                         | <b>JPMorgan Chase</b> | <b>Washington Mutual</b> | <b>Combined</b> | <b>Change</b> |
| <b>Footprint (states)</b>                      | 17                    | 15                       | 23              | 35%           |
| <b>Total Assets (\$ Billion)</b>               | \$1,776               | \$310                    | \$2,036         | 15%           |
| <b>Total Managed Loans (\$ Billion)</b>        | \$617                 | \$231                    | \$848           | 37%           |
| <b>Branches</b>                                | 3,203                 | 2,207                    | 5,410           | 69%           |
| <b>Total Deposits (\$ Billion)</b>             | \$722.90              | \$181.90                 | \$904.80        | 25%           |
| <b>Checking Accounts (Million)</b>             | 11.3                  | 12.7                     | 24              | 112%          |
| <b>ATMs</b>                                    | 9,310                 | 4,962                    | 14,272          | 53%           |
| <b>Managed Credit Card Loans (\$ Billion)</b>  | \$154.70              | \$26.40                  | \$181.10        | 17%           |
| <b>Credit Cards Issued (Million)</b>           | 157.6                 | 12.7                     | 170.3           | 8%            |
| <b>Employees</b>                               | 195,594               | 43,198                   | 238,792         | 22%           |
| <b>Network Comparisons</b>                     |                       |                          |                 |               |
| <b>U.S. Households</b>                         | 25.00%                | 30.30%                   | 42.30%          |               |
| <b>Average Income</b>                          | \$71,595              | \$74,747                 | \$72,332        |               |
| <b>Businesses</b>                              | 26.50%                | 33.00%                   | 45.60%          |               |
| <b>US Population in Footprint (Million)</b>    | 75                    | 94.1                     | 129.9           |               |
| <b>5yr US Population Growth Rate ('07-'12)</b> | 3.30%                 | 5.60%                    | 4.90%           |               |
| <b>% of Population Growth in Footprint</b>     | 18.00%                | 37.90%                   | 46.20%          |               |

Immediately after closing the transaction, JPMorgan wrote down approximately \$31 billion in impaired assets from WaMu's portfolio. After accounting for these losses and associated acquisition costs, the bank estimated that

<sup>202</sup> JPMorgan Chase Acquires the Deposits, Assets and Certain Liabilities of Washington Mutual's Banking Operations. Investor Presentation. 9/25/2008. SEC. <https://www.sec.gov/Archives/edgar/data/19617/000119312508201636/dfwp.htm>

<sup>203</sup> JPMorgan Chase Annual Report 2008.

<sup>204</sup> JPMorgan Chase Acquires the Deposits, Assets and Certain Liabilities of Washington Mutual's Banking Operations. <https://jpmorganchaseco.gcs-web.com/news-releases/news-release-details/jpmorgan-chase-acquires-deposits-assets-and-certain-liabilities>

<sup>205</sup> JPMorgan Chase Acquires the Deposits, Assets and Certain Liabilities of Washington Mutual's Banking Operations. <https://jpmorganchaseco.gcs-web.com/news-releases/news-release-details/jpmorgan-chase-acquires-deposits-assets-and-certain-liabilities>

<sup>206</sup> JPMorgan Chase Acquires the Deposits, Assets and Certain Liabilities of Washington Mutual's Banking Operations. <https://jpmorganchaseco.gcs-web.com/news-releases/news-release-details/jpmorgan-chase-acquires-deposits-assets-and-certain-liabilities>



approximately \$4 billion in common equity remained from the deal.<sup>207</sup> Reflecting its conservative nature, JPMorgan had assumed in its bid that housing prices could decline by an additional 10% to 20%, building in a substantial margin of safety.

From a strategic and financial standpoint, the acquisition of WaMu was expected to be immediately accretive to earnings, adding \$2 billion annually, with further increases projected over time. Rather than focusing solely on revenue generation, JPMorgan approached the deal from a cost-efficiency perspective, expecting to realize over \$2 billion in annual cost savings after branch refurbishments, technology integration, rebranding, and system conversions.<sup>208</sup> More importantly, the deal also aligned with JPMorgan's long-term strategic objective of expanding its retail presence on the West Coast and in Florida, a growth initiative the bank had contemplated for years. Dimon acknowledged in his 2008 shareholder letter that this expansion could have taken the firm several years organically, but the WaMu acquisition accelerated those plans, giving JPMorgan an instant platform in retail that would potentially extend its presence in commercial banking, business banking, credit cards, and wealth management across these high-growth regions.

**Following the acquisitions of Bear Stearns and Washington Mutual, JPMorgan Chase emerged as the largest U.S. bank by consolidated assets.** Before these transactions, in 2007, JPMorgan's market share of U.S. bank assets was estimated at 13.7%, with around \$1.4 trillion assets as reported by the Federal Reserve, trailing Bank of America's 16.3%, but ahead of Citigroup's 13.0%, while Wachovia and Wells Fargo held 6.5% and 5.2%, respectively.<sup>209</sup> By the end of 2008, JPMorgan's share had increased to 16.2%, with around \$1.8 trillion assets, overtaking Bank of America's 14.9%, while Citigroup, Wells Fargo, and U.S. Bank held 11.5%, 10.8%, and 2.3%, respectively.<sup>210</sup> Up until 2025, the market share of the top four largest banks in the U.S. remained largely stable in terms of consolidated assets as there were no significant M&A activities taken place among the larger banks since the financial crisis.

However, despite the seemingly bargain deals of the two acquisitions, for years after the acquisitions of Bear Stearns and WaMu, JPMorgan paid massive litigation fines related to the newly acquired firms' prior conduct. In his 2014 letter to shareholders, Jamie Dimon stated that the company had spent approximately \$19 billion in total on extraordinary mortgage legal costs, including settlements and penalties paid to different regulators. He stated that JPMorgan would not do something like Bear Stearns again, adding that WaMu might still make sense but only at a much steeper discount to cover the uncertainty, an expensive lesson he would never forget.<sup>211</sup>

Reflecting on how JPMorgan was able to withstand the severe headwinds of the financial crisis, Jamie Dimon pointed not only to the bank's usual conservatism and its "fortress balance sheet" with ample loan loss reserves, but also to its sheer size and diversified business model. As he explained:

"While some of our businesses have faced substantial headwinds over the course of the financial crisis, others have performed remarkably well. Our size and our diversity of businesses have helped us. Size matters in businesses where economies of scale can be critical to success, particularly in areas such as systems, operations, innovation and especially risk diversification... Some have suggested that size alone, or the combination of investment banking and commercial banking, contributed to the crisis. We disagree. If you consider the institutions that have failed during the crisis, many have been small; some of the largest and most consequential failures were firms that were principally engaged in one business. JPMorgan Chase has grown in a manner that strengthened each of our businesses, and without the diversification and synergies permitted by our business model, it is far from certain that we could have acquired Bear Stearns or Washington Mutual."<sup>212</sup>

It appears that JPMorgan's financial results support Dimon's statements. The bank never posted a quarterly loss between 2007 and 2009. According to the company, although it received \$25 billion from the government's Troubled Asset Relief Program (TARP) during the crisis, along with other eight major banks, through issuing preferred shares to U.S. Treasury, the company was well capitalized and thus did not need external funding.<sup>213</sup> JPMorgan accepted the TARP funds at the government's request, not out of necessity,<sup>214</sup> but to set an example and show unified support for the stabilization efforts.

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<sup>207</sup> JPMorgan Chase Annual Report 2008.

<sup>208</sup> JPMorgan Chase Annual Report 2008.

<sup>209</sup> Large Commercial Banks – December 31, 2007. Federal Reserve.  
<https://www.federalreserve.gov/releases/lbr/20071231/default.htm>

<sup>210</sup> Large Commercial Banks – December 31, 2008. Federal Reserve  
<https://www.federalreserve.gov/releases/lbr/20081231/default.htm>

<sup>211</sup> JPMorgan Chase Annual Report 2014.

<sup>212</sup> Testimony of Jamie Dimon. Chairman and CEO, JPMorgan Chase & Co. Before the Financial Crisis Inquiry Commission. 1/13/2010.

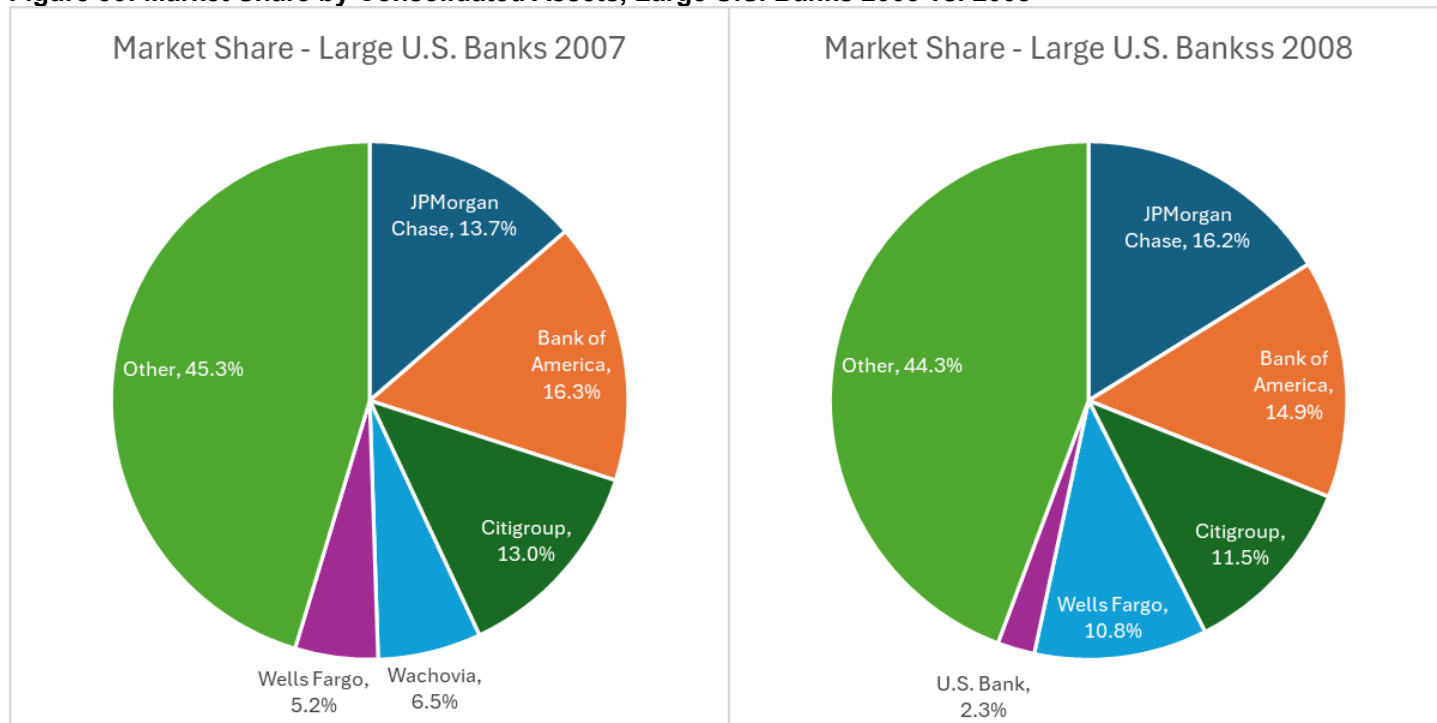
<sup>213</sup> JPMorgan Chase Annual Report 2008.

<sup>214</sup> JPMorgan Chase Annual Report 2008.

Regulators believed that if any major bank declined the funds, it could stigmatize the others that accepted them, making it appear as though only the weakest institutions needed help, and potentially undermining the entire program. At year-end 2008, JPMorgan's Tier 1 capital ratio stood at 10.9%; stripping out TARP funds, it was 8.9%, above the 6% "well-capitalized" threshold. While peers such as Bank of America and Citigroup did not disclose comparable ex-TARP ratios, Then CEO at Bank of America later in 2009 stated that "We [were] doing our best to balance the interests of customers, shareholders and taxpayers...There [was] simply no ready substitute for government support of this size, and so in its absence, our only choice would be to lend less and thereby shrink our balance sheet."<sup>215</sup>

Since the financial crisis, the market share of the four largest U.S. banks has remained relatively stable, as no major mergers or acquisitions among them have occurred. As of the first quarter of 2025, JPMorgan Chase continues to lead as the largest U.S. banking group, with more than \$3.6 trillion in consolidated assets, representing approximately 16% of the market. It is followed by Bank of America with 11.6%, Citigroup with 7.7%, Wells Fargo with 7.6%, and U.S. Bank with 2.9%.<sup>216</sup>

**Figure 30: Market Share by Consolidated Assets, Large U.S. Banks 2003 vs. 2008<sup>217</sup>**



Note:

1. Wells Fargo acquired Wachovia at the end of 2008 as part of a government-arranged deal to prevent Wachovia's collapse during the financial crisis. At the time, Wachovia was the fourth-largest U.S. banking organization by total assets.<sup>218</sup>

Jamie Dimon's leadership during the crisis earned him widespread praise from both Wall Street and Washington. His performance made him a top contender to succeed Timothy Geithner as Treasury Secretary, although he never accepted

<sup>215</sup> Unapologetic CEOs: What Did the Banks Do With Your Cash. ABC News.

<https://abcnews.go.com/Business/Politics/story?id=6849013>

<sup>216</sup> Large Commercial Banks – March 31, 2025. Federal Reserve Statistical Release.

<https://www.federalreserve.gov/releases/lbr/current/default.htm>

<sup>217</sup> Large Commercial Banks – December 31, 2007. Federal Reserve.

<https://www.federalreserve.gov/releases/lbr/20071231/default.htm>; Large Commercial Banks – December 31, 2008. Federal Reserve

<https://www.federalreserve.gov/releases/lbr/20081231/default.htm>

<sup>218</sup> The Acquisition of Wachovia Corporation by Wells Fargo & Company – Federal Reserve Board.

<https://www.federalreserve.gov/newsevents/testimony/alvarez20100901a.htm>

a formal government role.<sup>219</sup> According to the media, Dimon became the government's go-to figure when navigating emergency bailouts and institutional collapses.

Even after high-profile acquisitions of Bear Stearns and Washington Mutual during the 2008 financial crisis, Dimon has signaled on several occasions that the firm has been actively seeking deals that could strengthen its business, as long as they are not U.S. FDIC-insured banks,<sup>220</sup> which regulatory restrictions prevent it from acquiring under normal circumstances. Dimon even has encouraged competitor investment bankers to bring forward ideas for potential acquisitions.<sup>221</sup> Beyond traditional banks, JPMorgan has pursued other strategic acquisitions to strengthen its business portfolio. For example, In 2017, for instance, the firm acquired WePay, a payments-focused fintech startup, for over \$300 million.<sup>222</sup> Specific deal terms were not disclosed. The company stated that WePay's technology was expected to help Chase's small business customers to accept payment instantly, process payments faster, and thus not lose businesses. In 2022, JPMorgan acquired Global Shares, a cloud-based provider of share plan management software, in a deal reportedly valued at around \$730 million.<sup>223</sup> The Irish company was privately held and unprofitable at the time, and no detailed financials were made public.

As aforementioned, Dimon believes that there are benefits of banks getting more diversified and bigger, being safer and more efficient. Unlike traditional companies, which typically do not see significant losses in asset value overnight, a bank might experience sudden losses and even triggers systemic risks. A larger, well-managed bank, he believes, is better positioned to weather such shocks, typically with stronger credit ratings, lower borrowing costs, and greater resilience.<sup>224</sup> When done right, Dimon contends, the benefits of consolidation are great. For example, after acquiring Washington Mutual in 2008, each Chase branch reduced overhead and technology expenses by roughly \$1 million annually.

In 2023, JPMorgan made another high-profile transaction, acquiring the majority of assets and certain liabilities of First Republic Bank in a deal brokered through the Federal Deposit Insurance Corporation (FDIC). This marked the second time JPMorgan took over a major failed bank from the FDIC, following its 2008 acquisition of Washington Mutual, the largest bank failure in U.S. history.<sup>225</sup> JPMorgan now became the owner of both the first and second largest failed banks in the country's history.

JPMorgan paid approximately \$10.6 billion to the FDIC, which acted as the receiver for First Republic. In return, it acquired about \$173 billion in loans, \$30 billion in securities, and \$92 billion in deposits.<sup>226</sup> The FDIC also agreed to provide loss-share protection on the majority of the loans: 80% coverage on single-family residential mortgages for seven years and on commercial loans for five years. At the time of acquisition, the acquired portion of First Republic's balance sheet included \$207.5 billion in assets and \$122 billion in liabilities, implying \$85.5 billion in equity, valuing the deal at just 0.12x price-to-book. After restructuring the balance sheet and incorporating \$50 billion of a five-year, fixed-rate term financing from the FDIC, JPMorgan estimated it had effectively acquired \$18 billion in common equity, or 0.6x price-to-book. Although nearly half of the First Republic's branches overlapped with JPMorgan's existing footprint, the firm viewed the acquisition as complementary. The deal was expected to generate JPMorgan over \$500 million in incremental net

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<sup>219</sup> Jamie Dimon Seen as Good Fit for Treasury. New York Post.

[https://web.archive.org/web/20121123220257mp/http://www.nypost.com/p/news/business/polishing\\_dimon\\_IKfyRK8PArjilMYflWAvDK](https://web.archive.org/web/20121123220257mp/http://www.nypost.com/p/news/business/polishing_dimon_IKfyRK8PArjilMYflWAvDK)

<sup>220</sup> JPMorgan Chase & Co. - Analyst/Investor Day. 2/25/2020.

<sup>221</sup> JPMorgan Chase & Co. Presents at Goldman Sachs U.S. Financial Services Virtual Conference 2020. 12/8/2020.

<sup>222</sup> Chase Acquiring WePay to Fully Integrate Payments into Software Used by Millions of Small Businesses.

<https://www.jpmorganchase.com/newsroom/press-releases/2017/chase-acquiring-wepay>; Chase Closes WePay Acquisition, A Deal Valued up to \$400M. <https://techcrunch.com/2017/12/04/chase-closes-wepay-acquisition-a-deal-valued-up-to-400m/>

<sup>223</sup> J.P. Morgan Agrees to Acquire Global Shares, A Leading Provider of Share Plan Management Software.

<https://www.jpmorganchase.com/ir/news/2022/jpmorgan-agrees-to-acquire-global-shares>; JP Morgan confirms €665m takeover of Cork's Global Shares. <https://www.irishtimes.com/business/technology/jp-morgan-confirms-665m-takeover-of-cork-s-global-shares-1.4827459>

<sup>224</sup> Jamie Dimon - America's Least-Hated Banker. The New York Times. <https://www.nytimes.com/2010/12/05/magazine/05Dimon-t.html>

<sup>225</sup> JPMorgan Buys First Republic With Lessons To Consider From 2008. Forbes.

<https://www.forbes.com/sites/petercohan/2023/05/01/jpmorgan-buys-first-republic-with-lessons-to-consider-from-2008/>

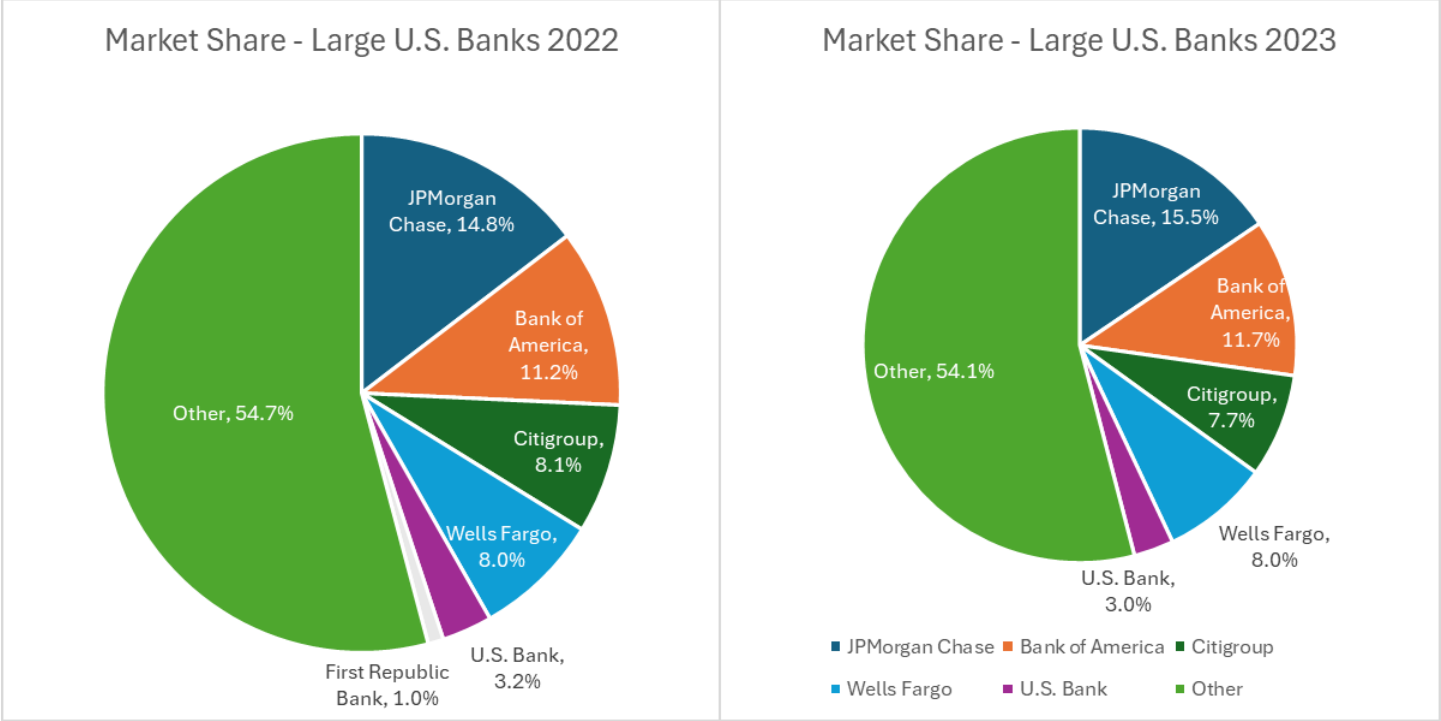
<sup>226</sup> JPMorgan Chase Acquires Substantial Majority of Assets and Assumes Certain Liabilities of First Republic Bank Investor Presentation. 5/1/2023.

income annually, excluding one-time gains and restructuring charges, and deliver an IRR on tangible book value over 20%. By the end of 2023, JPMorgan also recorded a \$2.9 billion gain from the acquisition.<sup>227</sup>

The acquisition drew public scrutiny, with critics arguing that a firm as large as JPMorgan, already seen as “too big to fail,” should not be allowed to expand further by absorbing failed banks. While the government pledged to take a more aggressive stance on future bank mergers, they also acknowledged that, in certain cases, allowing a large bank to acquire a failing one may be the least disruptive solution.<sup>228</sup>

Although First Republic Bank was the second-largest bank failure in U.S. history and ranked as the fourteenth-largest commercial bank by consolidated assets, it represented only about 1% of total U.S. banking assets as of 2022. As a result, JPMorgan's share of total U.S. bank assets increased only slightly following the acquisition, from 14.8% in 2022 to 15.5% in 2023.

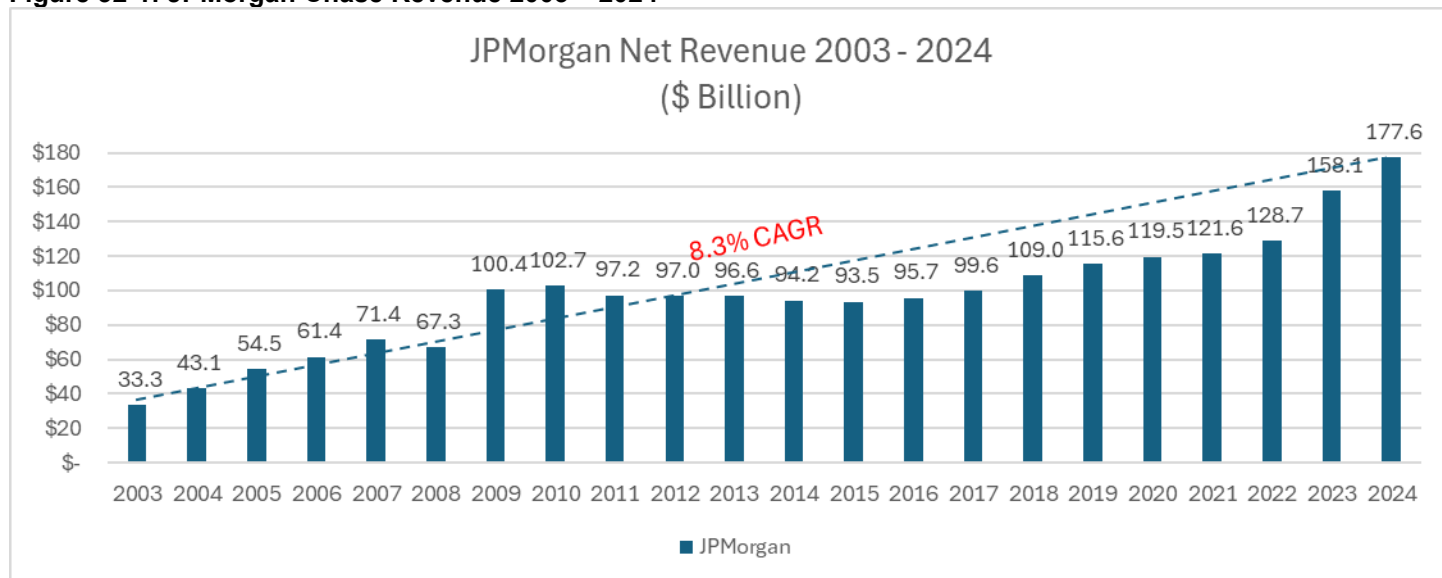
**Figure 31: Market Share by Consolidated Assets, Large U.S. Banks 2022 vs. 2023<sup>229</sup>**



Between 2003 and 2024, JPMorgan's revenue grew from \$33.3 billion to \$177.6 billion, representing a CAGR of 8.3%, driven by a combination of organic expansion and strategic acquisitions. In contrast, Bank of America saw its revenue rise from \$37.9 billion to \$101.9 billion over the same period, a 4.8% CAGR. Citigroup's revenue remained relatively flat, growing modestly from \$77.4 billion to \$81.1 billion, reflecting a 0.2% CAGR. Wells Fargo's revenue increased from \$28.4 billion to \$82.3 billion, a 5.2% CAGR.

<sup>227</sup> JPMorgan Chase Annual Report 2024.  
<sup>228</sup> JPMorgan: The bank That Never Lets A Crisis Go to Waste. Financial Times. <https://www.ft.com/content/af7e2188-097c-48d1-bde0-bdee30021931>  
<sup>229</sup> Large Commercial Banks-- December 31, 2022 Federal Reserve <https://www.federalreserve.gov/releases/lbr/20221231/default.htm>; Large Commercial Banks-- December 31, 2023 Federal Reserve. <https://www.federalreserve.gov/releases/lbr/20231231/default.htm>

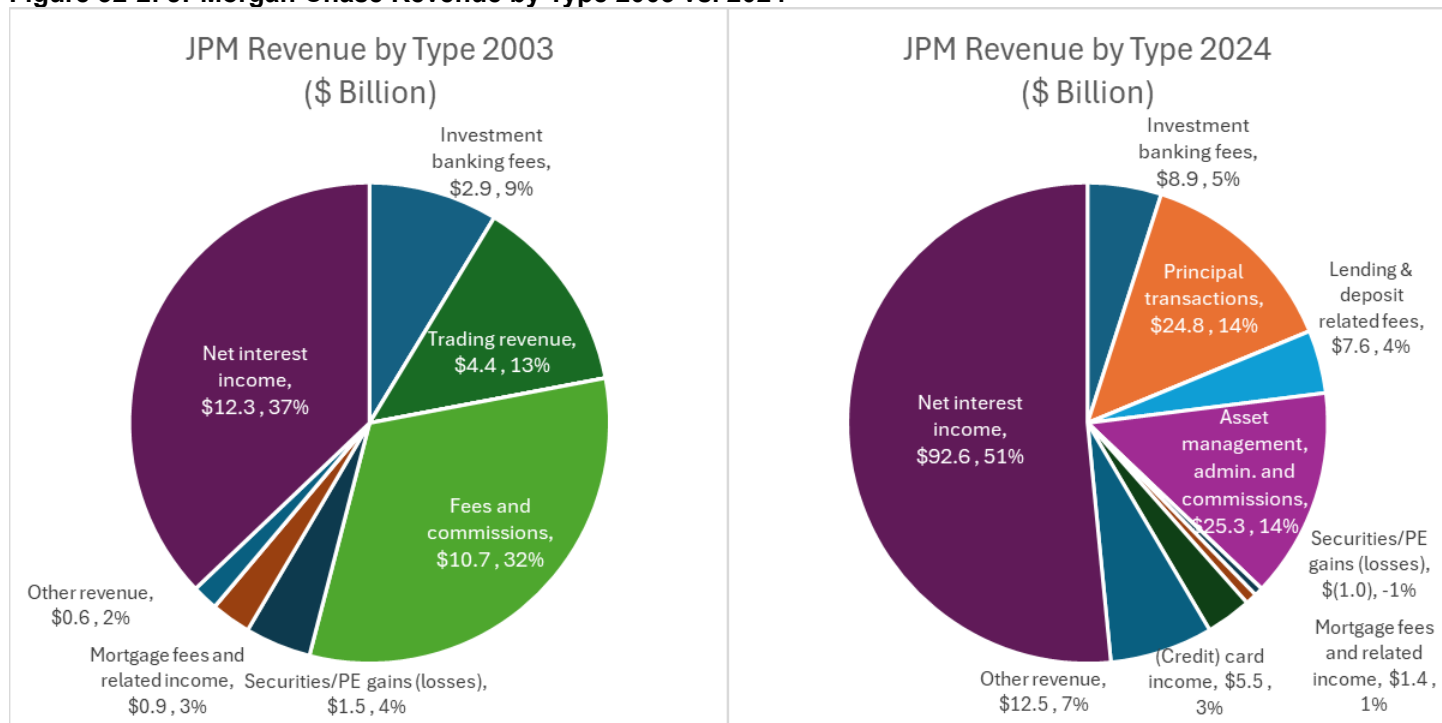
**Figure 32-1: JPMorgan Chase Revenue 2003 – 2024<sup>230</sup>**



Note:

1. In 2009, JPMorgan reported total net revenue of \$100.4 billion, a 49% increase year over year. The surge was driven by stronger performance across most fixed income and equity products in the aftermath of the financial crisis. The results also reflected the positive impact of the 2008 Washington Mutual acquisition, which contributed to higher net interest income, as well as growth in lending and deposit-related fees and mortgage-related income.<sup>231</sup>

**Figure 32-2: JPMorgan Chase Revenue by Type 2003 vs. 2024<sup>232</sup>**

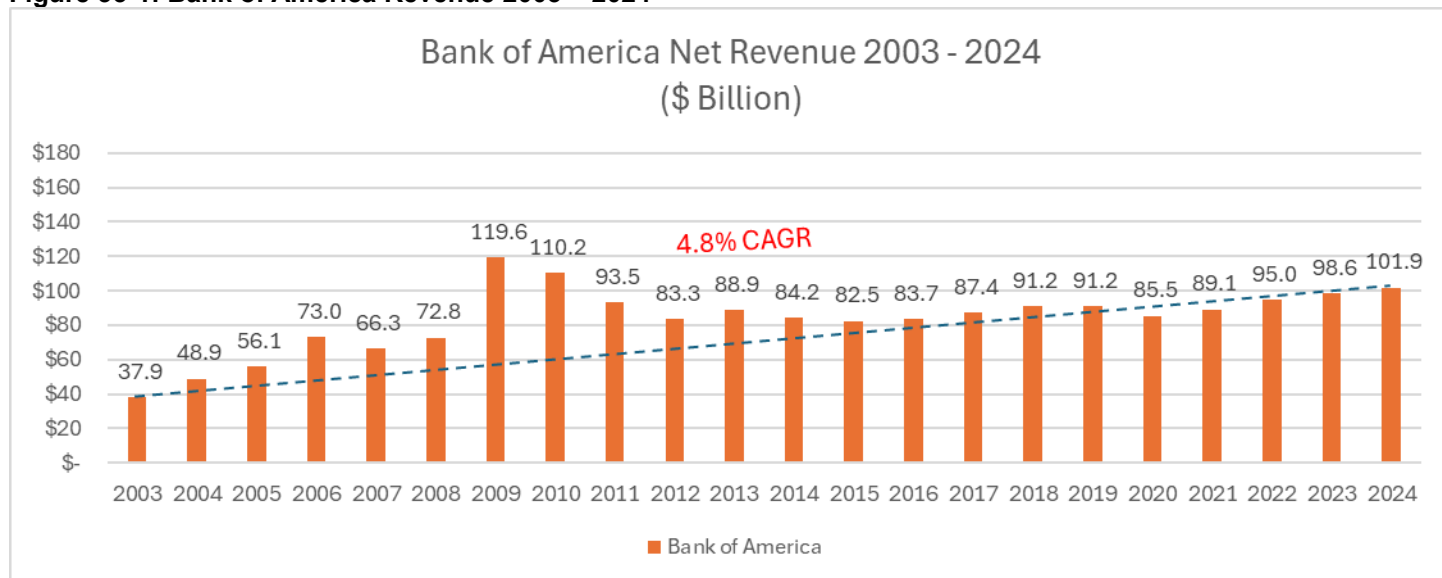


<sup>230</sup> JPMorgan Chase Annual Report 2003 – 2024.

<sup>231</sup> JPMorgan Chase Annual Report 2009.

<sup>232</sup> JPMorgan Chase Annual Report 2003, 2024.

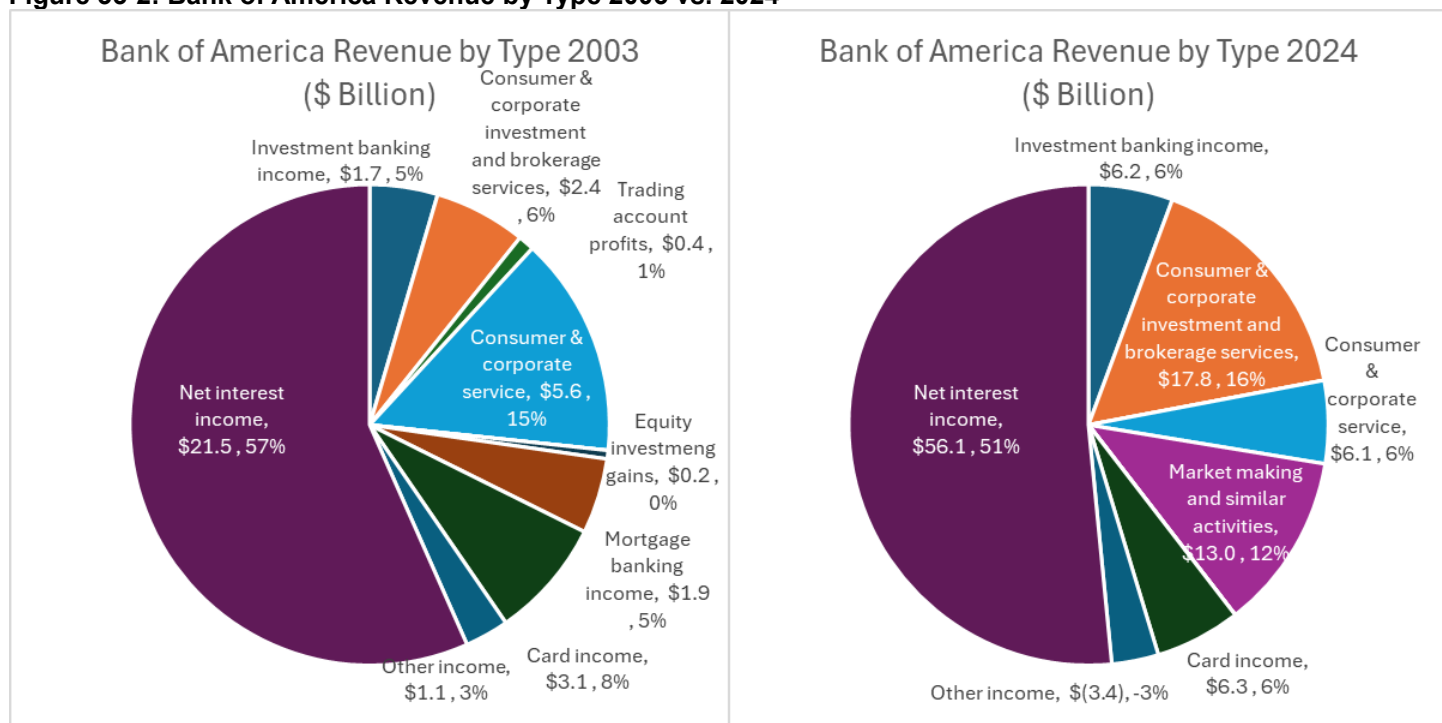
**Figure 33-1: Bank of America Revenue 2003 – 2024<sup>233</sup>**



Note:

1. The year-over-year increase in Bank of America's revenue in 2009 was largely driven by its acquisitions of Merrill Lynch and Countrywide during the financial crisis.<sup>234</sup>

**Figure 33-2: Bank of America Revenue by Type 2003 vs. 2024<sup>235</sup>**



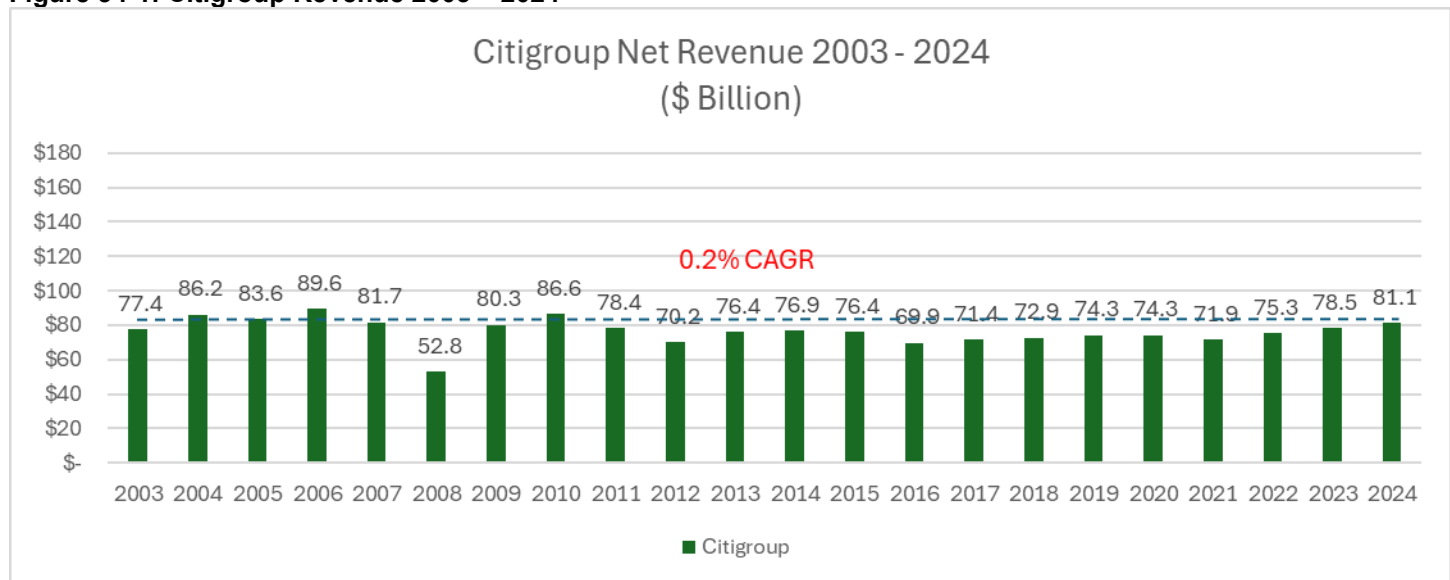
<sup>233</sup> Bank of America Annual Report 2003 – 2024.

<sup>234</sup> Bank of America Annual Report 2009.

<sup>235</sup> Bank of America Annual Report 2003, 2024.



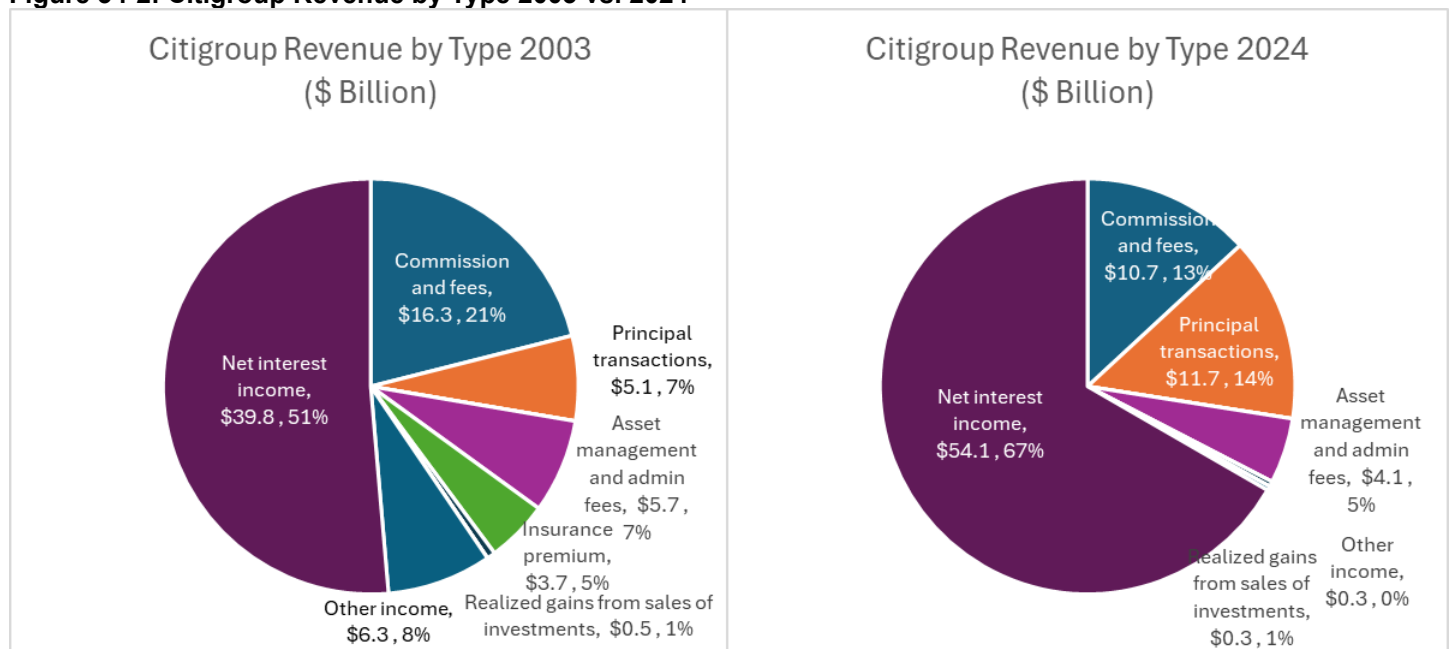
**Figure 34-1: Citigroup Revenue 2003 – 2024<sup>236</sup>**



Note:

1. In 2008, Citigroup's net revenue fell 33% to \$52.8 billion, primarily due to write-downs on subprime CDOs, leveraged loans, and other fixed income exposures. In 2009, revenue rebounded by nearly 56% year over year, driven largely by a recovery in non-interest revenue as asset-related losses were significantly reduced compared to the prior year.<sup>237</sup>

**Figure 34-2: Citigroup Revenue by Type 2003 vs. 2024<sup>238</sup>**



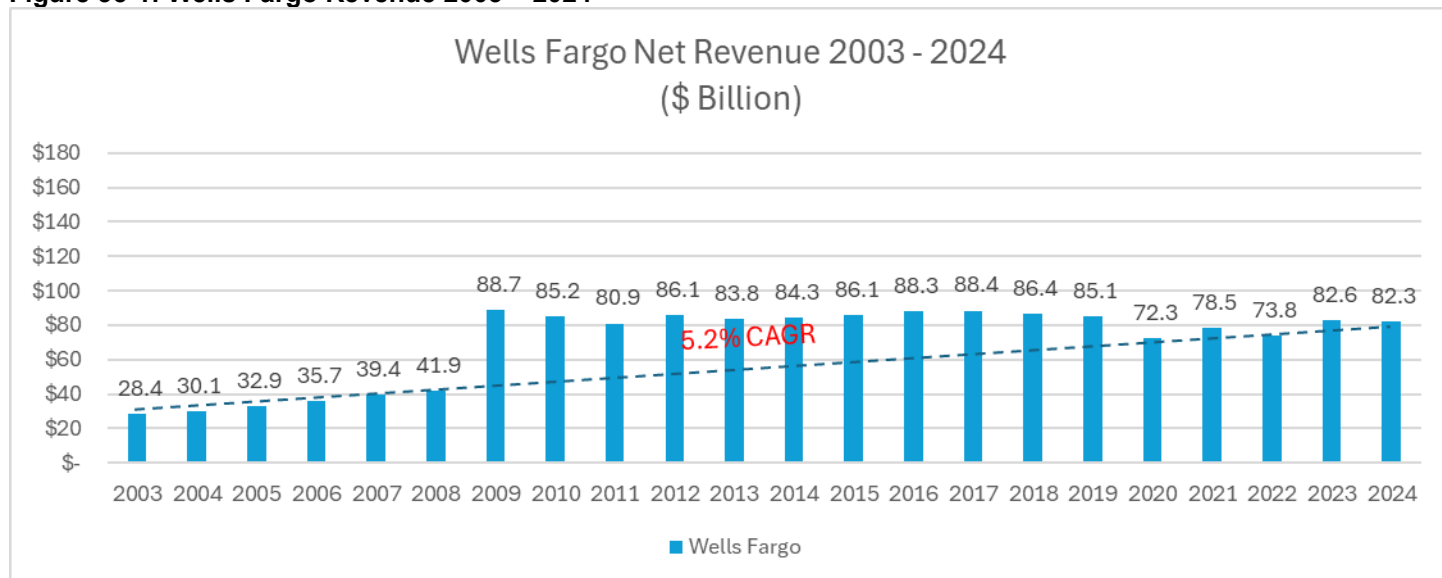
<sup>236</sup> Citigroup Annual Report 2003 – 2024.

<sup>237</sup> Citigroup Annual Report 2008 – 2009.

<sup>238</sup> Citigroup Annual Report 2003, 2024.



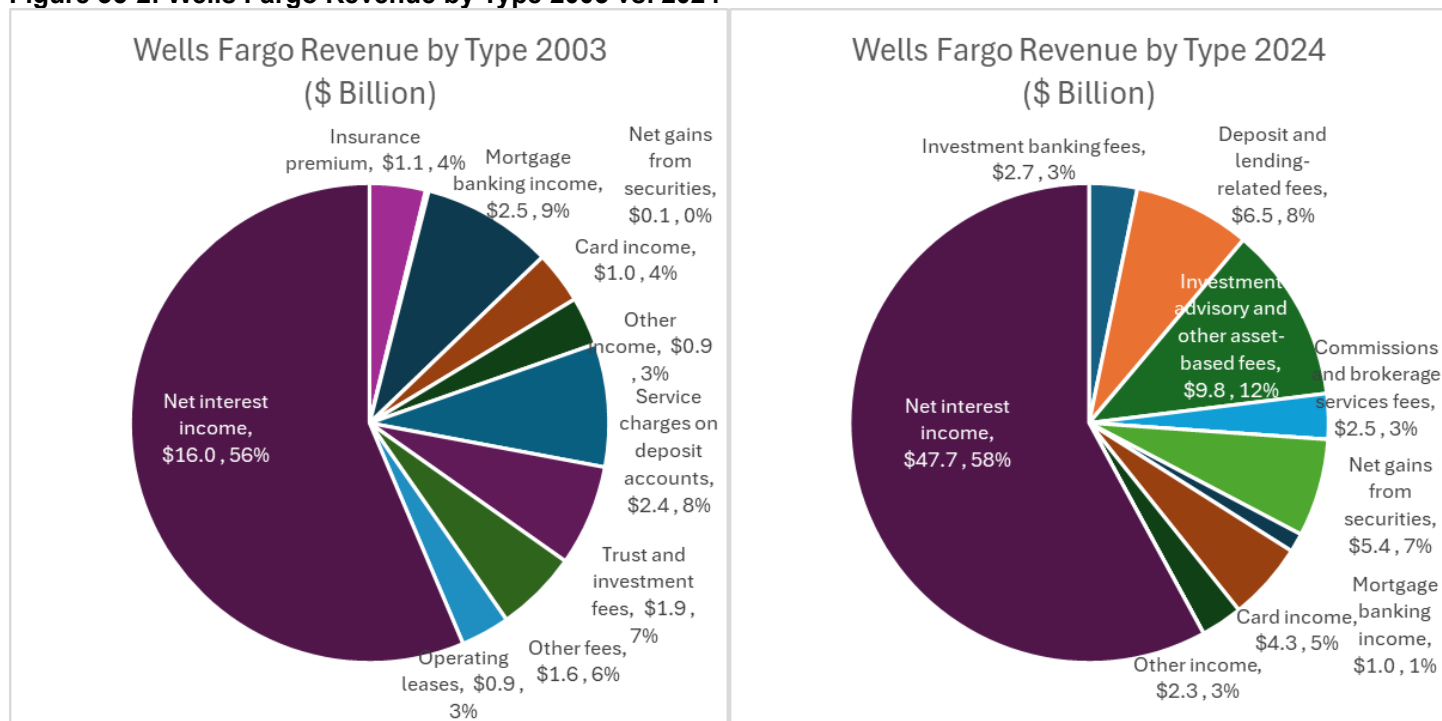
**Figure 35-1: Wells Fargo Revenue 2003 – 2024<sup>239</sup>**



Note:

1. Wells Fargo acquired Wachovia at the end of 2008 as part of a government-arranged deal to prevent Wachovia's collapse during the financial crisis. At the time, Wachovia was the fourth-largest U.S. banking organization by total assets.<sup>240</sup>

**Figure 35-2: Wells Fargo Revenue by Type 2003 vs. 2024<sup>241</sup>**



<sup>239</sup> Wells Fargo Annual Report 2003 – 2024.

<sup>240</sup> The Acquisition of Wachovia Corporation by Wells Fargo & Company – Federal Reserve Board.

<https://www.federalreserve.gov/newsevents/testimony/alvarez20100901a.htm>

<sup>241</sup> Wells Fargo Annual Report 2003, 2024.

## Cost-Consciousness

Jamie Dimon had built a reputation of being cost-conscious before joining JPMorgan,<sup>242</sup> though he dislikes the phrase “cutting costs,” preferring instead to call it “cutting waste.”<sup>243</sup> After taking over Bank One in 2000, Jamie Dimon launched an aggressive turnaround strategy focused on cost-cutting, operational efficiency, and cultural reform. He slashed \$1.5 to \$2 billion, or over 15%, in overhead, cut 14,000 jobs, over 15% of headcount at that time, and replaced 12 out of 13 top executives.<sup>244</sup> When he saw various subscriptions a department had, he said: “You’re a businessman; pay for your own Wall Street Journal.”<sup>245</sup> Dimon also spent \$500 million consolidating the bank’s fragmented IT systems, which was expected to save \$200 million annually. He reduced Bank One’s loan portfolio and increasing loan-loss reserve to fortify balance sheet strength. These actions helped lower the bank’s efficiency ratio from 64.4% in 1999 to 56.4% by 2002. Dimon also reshaped executive compensation to align with performance, replacing guaranteed pensions with restricted stock and eliminating perks such as company-paid health insurance and 401K matches for executives whose salaries are above certain levels. He instilled financial accountability throughout the organization by introducing branch-level profit-and-loss statements and performance-based pay. Dimon’s cultural shift towards frugality was reinforced by symbolic actions, such as halting executive office renovations and repurposing furniture. Furthermore, Dimon asked the board to cut the dividend, stating that strengthening the bank’s capital came first. He also fired hundreds of external consultants and told the senior team that there would be no bonus, including himself.<sup>246</sup>

When Bank One merged with JPMorgan in 2004, and Dimon became president and Chief Operating Officer of the newly combined bank, he continued implementing similar strategies as he did with Bank One.<sup>247</sup> Dimon focused on cutting costs, consolidating IT systems, and promoting a sales- and performance-driven culture. He appointed trusted confidants that he had known for long, including Michael Cavanagh from Citi as CFO, replacing Dina Dublon, and brought in other people that he knew for key positions. Dimon’s approach at JPMorgan was simply to boost revenues while controlling costs. He once stated, “If the market is convinced you’ll keep the cost line flat and that you have the disciplines to raise revenues faster than your competitors, your stock price can rise in double digits.”<sup>248</sup> When Dimon joined JPMorgan, the bank set an ambitious \$3 billion cost-saving target by 2007,<sup>249</sup> with Dimon spearheading cost-reduction initiatives across the organization. For example, \$400 million was saved from the merger by reducing the workforce by 6,500 people, or 4% of total staff, including the heads of stock and bond trading.<sup>250</sup> Dimon also found that regional bank managers at JPMorgan were earning around \$2 million, about five times more than their counterparts at Bank One. He announced a 20% to 50% reduction in compensation for hundreds of staff positions over two years.<sup>251</sup> Despite the pay cuts, many managers chose to stay, knowing they had been overpaid, as Dimon recalled.

Before Jamie Dimon joined the firm, JPMorgan’s financial performance lagged behind its major peers, as reflected in its efficiency ratio and return on common equity. This underperformance stemmed from a series of past mergers and acquisitions, including its 2000 merger with Chase Manhattan.<sup>252</sup>

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<sup>242</sup> J.P. Morgan Results To Draw Focus on Cost Cuts. The Wall Street Journal. <https://www.wsj.com/articles/SB109821191771049545>; Jamie Dimon - America’s Least-Hated Banker. The New York Times. <https://www.nytimes.com/2010/12/05/magazine/05Dimon-t.html>

<sup>243</sup> JPMorgan Chase Annual Report 2004, 2024.

<sup>244</sup> Dimon in the Rough. Barron’s.

<https://web.archive.org/web/20201203040736/https://www.barrons.com/articles/SB105252114127188500>

<sup>245</sup> Jamie Dimon Wants Respect To Get it, the Fallen Citigroup Star Must Fix the Most Pathetic Stock in High Finance. CNN. [https://money.cnn.com/magazines/moneymag/moneymag\\_archive/2002/02/01/316785/index.htm](https://money.cnn.com/magazines/moneymag/moneymag_archive/2002/02/01/316785/index.htm)

<sup>246</sup> Jamie Dimon - America’s Least-Hated Banker. The New York Times. <https://www.nytimes.com/2010/12/05/magazine/05Dimon-t.html>

<sup>247</sup> Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase.

<sup>248</sup> The Toughest Guy on Wall Street. Fortune. 4/3/2006. <https://fortune.com/article/the-toughest-guy-on-wall-street-fortune-2006/>

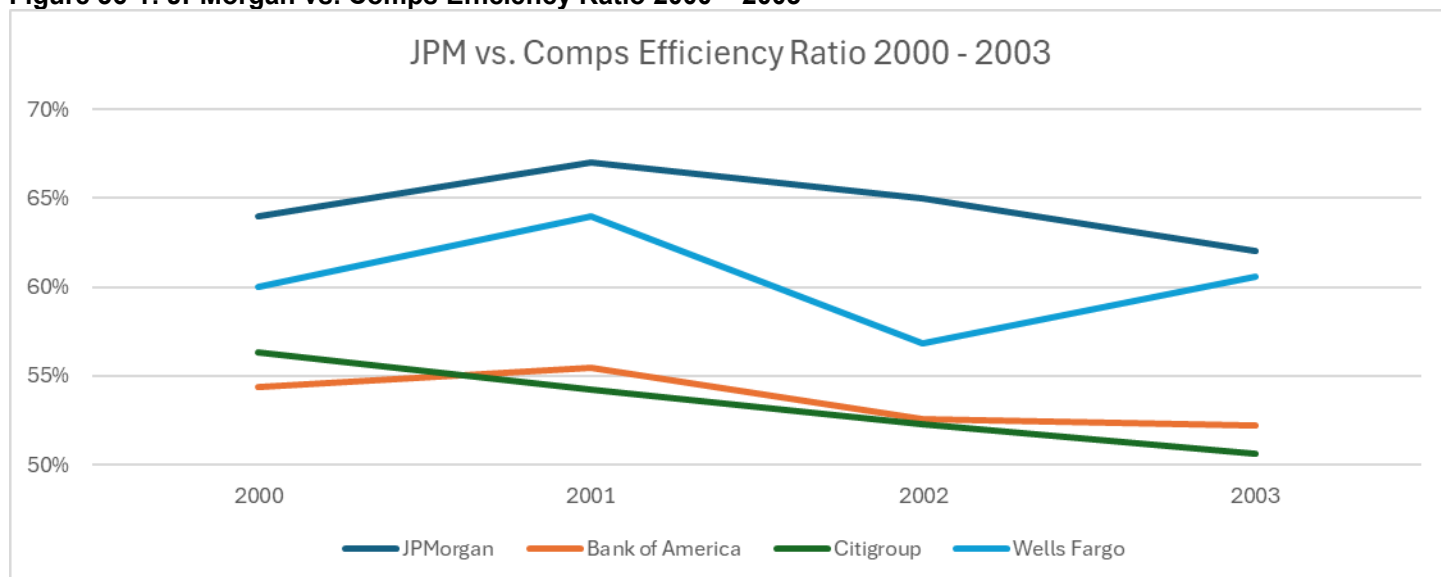
<sup>249</sup> JPMorgan Chase Annual Report 2004.

<sup>250</sup> JPMorgan Chase Annual Report 2004.

<sup>251</sup> The Toughest Guy on Wall Street. Fortune. 4/3/2006. <https://fortune.com/article/the-toughest-guy-on-wall-street-fortune-2006/>; Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase.

<sup>252</sup> JPMorgan Chase Annual Report 2001 – 2002.

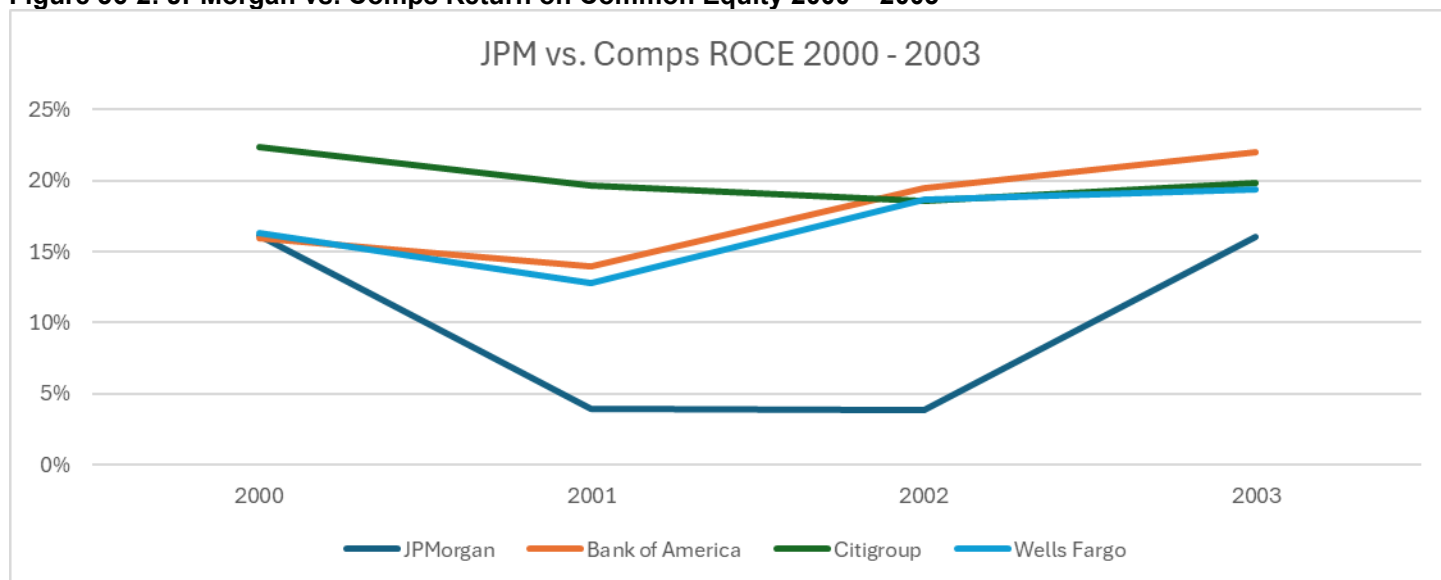
**Figure 36-1: JPMorgan vs. Comps Efficiency Ratio 2000 – 2003<sup>253</sup>**



Note:

1. Before 2008, Citigroup did not explicitly disclose its efficiency ratio in its annual reports. We estimated it by dividing total operating expenses by total revenue.

**Figure 36-2: JPMorgan vs. Comps Return on Common Equity 2000 – 2003<sup>254</sup>**



Note:

1. JPMorgan's relatively low ROCE was partly due to integration challenges following multiple acquisitions, as well as legal costs stemming from the Enron collapse in 2001.<sup>255</sup>

When Jamie Dimon joined JPMorgan, he brought with him a playbook similar to what he had at Bank One, starting with accountability and transparency. Alongside then-CEO William Harrison, Dimon led a change of the company's internal and external financial reporting systems – a single, transparent framework that governed capital allocation, revenue sharing, and expense allocations.<sup>256</sup> Every business line, including every branch, received its own profit-and-loss statement, not only making each unit accountable but also better helping management team allocate capital and driving performance. This approach allowed the company to bring consistency and clarity to how managers view and measure performance. In

<sup>253</sup> Company Annual Reports 2000 – 2003.

<sup>254</sup> Company Annual Reports 2000 – 2003.

<sup>255</sup> Jamie Dimon - America's Least-Hated Banker. The New York Times. <https://www.nytimes.com/2010/12/05/magazine/05Dimon-t.html>; JPMorgan Chase Annual Report 2001 – 2002.

<sup>256</sup> JPMorgan Chase Annual Report 2004.

addition, Dimon also made it a priority to eliminate internal politics. He did not expect anyone to pull him aside and whisper their thoughts about anyone. His expectations was clear – if you could not say something openly in the room, then you should not say it at all.<sup>257</sup>

The company's branding strategy also evolved following the 2004 merger of JPMorgan and Bank One. A research conducted by the company showed that the Chase name evoked "a tradition of trust" among customers that could stretch across consumer banking, cards, and commercial lending, while the JPMorgan brand carried longstanding prestige in investment banking and wealth management, associated with "a long history of unsurpassed client service, high performance standards, integrity and commitment to relationships."<sup>258</sup> Consumer and commercial products were therefore consolidated under "Chase," while capital-markets and asset-management businesses retained the JPMorgan name.

Jamie Dimon once said, "It's all about having the best systems, the best people, the best products, the best risk controls... It's all about being the best, the best, the best." Central to this vision was proprietary technology that drives future growth and profitability. As Austin Adams, the former chief information officer at JPMorgan, put it, "Technology improves accuracy, efficiency, and speed, which are the cornerstones to improving client service."<sup>259</sup> Transforming JPMorgan's technology was a cornerstone of Dimon's plan. Upon arrival, Dimon inherited mismatched computer systems from Chase, Chemical, and Texas Commerce, which required costly software and interfaces to function together, driving up the bank's cost per transaction. The transformation was evident. For example, JPMorgan consolidated its credit card systems into one platform, reducing the annual cost of processing statements from \$80 per customer to \$52, a 35% reduction.<sup>260</sup> This efficiency made JPMorgan one of the most cost-effective operators in the industry. Furthermore, branch-level computers were repurposed as sales tools, prompting bankers to offer customers all the products they were eligible for as they click through step by step. This new approach contributed to a 55% increase in credit card accounts opened at JPMorgan branches in 2005. Dimon also brought IT operations in-house and canceled the \$5 billion long-term contracts with IBM,<sup>261</sup> believing that IT was too essential to the bank's operations to be outsourced. His view was that outsourcing would hinder integration and cause the bank to lose control over their systems. In 2004 alone, JPMorgan hired 4,000 IT personnels who were previously outsourced, striving to build the industry's most efficient systems and operations.<sup>262</sup>

Over time, JPMorgan's transformed significantly under the leadership of Jamie Dimon. A former JPMorgan vice president reflected in 2025 that during his past two decades working at JPMorgan, while the bank was slow to adopt new technology in the early 2000s, it later began to feel more like a technology company than a traditional financial institution.<sup>263</sup> The shift was led from the top. Dimon personally visited tech giants multiple times such as Microsoft and Google to understand the future of innovation, "mainly AI in fraud detection, algorithms, personal customer experiences, risk management, underwriting." JPMorgan partnered with AWS and later with Microsoft and migrated core systems to the cloud, enabling seamless payments, real-time alerts, personalized financial advice, and automated feedback loops powered by AI.

The bank began experimenting with AI as early as 2012 and has since become the industry leader.<sup>264</sup> According to the 2024 Evident AI Banking Index, a benchmark evaluating 50 of the world's largest banks across 90 AI performance metrics, including AI adoption and maturity. JPMorgan ranked at the top.<sup>265</sup> By the time OpenAI's ChatGPT sparked global interest in AI in 2023, JPMorgan was already more than a decade into its AI exploration.<sup>266</sup> The firm employed over 2,000 AI and machine learning experts and had more than 400 AI use cases in production, including marketing, fraud and risk. The firm was also exploring generative AI applications in software development, customer service, and employee productivity.

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<sup>257</sup> Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>258</sup> JPMorgan Chase Annual Report 2004.

<sup>259</sup> Dimon's Grand Design. Bloomberg.

<https://web.archive.org/web/20240413042020/https://www.bloomberg.com/news/articles/2005-03-27/dimons-grand-design>

<sup>260</sup> The Toughest Guy on Wall Street. Fortune. 4/3/2006. <https://fortune.com/article/the-toughest-guy-on-wall-street-fortune-2006/>

<sup>261</sup> Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase. The Career Timeline of Jamie Dimon, CEO of JPMorgan Chase. Business Insider. <https://www.businessinsider.com/jamie-dimon-career>.

<sup>262</sup> JPMorgan Chase Annual Report 2004.

<sup>263</sup> Interview with Former Vice President at JPMorgan Chase & Co. 6/25/2025.

<sup>264</sup> JPMorgan Chase Annual Report 2023; JPMorgan's Jamie Dimon Says Big AI Job Losses Inevitable in China Arms Race.

<https://www.afr.com/technology/jpmorgan-s-dimon-says-big-ai-job-losses-inevitable-in-china-arms-race-20250612-p5m6s9>

<sup>265</sup> JPMorgan Chase Annual Report 2024; 2024 Evident AI Index. <https://evidentinsights.com/ai-index/>

<sup>266</sup> JPMorgan Chase Annual Report 2023.

For example, in 2017, it introduced COIN (Contract Intelligence), an in-house system that reviews complex commercial loan contracts in seconds, a task that had previously taken 360,000 hours annually from lawyers and loan officers.<sup>267</sup> It also created Gaia, its private cloud computing environment, launched in 2016 after visits to Apple and Facebook inspired new approaches to developer productivity. Tools like X-Connect analyze employee-client communications, while bots manage routine IT tasks such as password resets and access controls.

JPMorgan's tech budget reflects its ambitions, with some industry analysts even likening it to the Nvidia of banking for its lead in AI and technology.<sup>268</sup> In 2017, it was estimated to spend \$9.6 billion annually on technology, nearly 9% of revenue, double the industry average,<sup>269</sup> with a third of that devoted to emerging technologies like AI and blockchain. By 2024, the figure had risen to an estimated \$17 billion,<sup>270</sup> or nearly 10% of revenue. Bank of America, by comparison, spent around \$12 billion annually,<sup>271</sup> or 12% of revenue, and Citigroup invested in the low-teens billion dollars,<sup>272</sup> or roughly 15% of revenue. Despite fears around automation and job losses, JPMorgan framed its tech strategy as a way to free employees for higher-value work, with many staff seeing it as a performance enhancer rather than a threat.<sup>273</sup>

Over the years, data has become a vital part of JPMorgan's feedback loop with its clients. With over 5,000 branches across 48 states and a customer base of 80 million,<sup>274</sup> the bank leverages data to enhance the customer experience and drive better business outcomes. Mark Birkhead, JPMorgan's Chief Data Officer, explains that the bank's goal is to "deliver customer value with speed and agility at scale." At the heart of this effort is what he calls an "analytic factory," a system built to efficiently manage and move data across the organization.<sup>275</sup> By tapping into advanced analytics, AI, and machine learning, JPMorgan can respond to customer needs in real time and personalize experiences at scale. This allows the bank to craft tailored offers for clearly defined customer segments and make more informed decisions in areas such as product designs, branch operations, and fraud prevention, potentially resulting in a more seamless experience for customers which in turn generates even more data, fueling the cycle and strengthening the feedback loop.

Cost discipline remained a defining feature of Dimon's leadership. He scrutinized every line item, eliminating what he considered wasteful spending by closing corporate gyms, removing fresh flowers from the offices, terminating executive coaches, cutting tens of thousands of unused phone lines, and selling unused office space inherited from past mergers.<sup>276</sup> Country-club memberships and first-class travel were also cancelled.<sup>277</sup> For Dimon, these changes were not only about saving money, but also about letting managers take responsibility for their work, owning their budgets – an accountability that cultivates a culture of risk-control, instead of directing managers' responsibility to outside consultants.<sup>278</sup>

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<sup>267</sup> JPMorgan Marshals an Army of Developers to Automate High Finance. Bloomberg.

<https://web.archive.org/web/20170311002926/https://www.bloomberg.com/news/articles/2017-02-28/jpmorgan-marshals-an-army-of-developers-to-automate-high-finance>

<sup>268</sup> Buy JPMorgan Stock. It's the 'Nvidia of Banking.' Barron's. <https://www.barrons.com/articles/jpmorgan-stock-price-analyst-nvidia-920235a5>

<sup>269</sup> JPMorgan Marshals an Army of Developers to Automate High Finance. Bloomberg.

<https://web.archive.org/web/20170311002926/https://www.bloomberg.com/news/articles/2017-02-28/jpmorgan-marshals-an-army-of-developers-to-automate-high-finance>

<sup>270</sup> JPMorgan 2024 Investor Day. 5/20/2024.

<sup>271</sup> BofA Patents Increase Nearly 70% in 5 Years. Bank of America. <https://newsroom.bankofamerica.com/content/newsroom/press-releases/2024/03/bofa-patents-increase-nearly-70-in-5-years.html>

<sup>272</sup> Citi Poured \$12B into Tech Last Year, Retired Nearly 400 Legacy Apps. <https://www.ciodive.com/news/citigroup-spends-billions-technology-layoffs-fourth-quarter/704662/>

<sup>273</sup> JPMorgan Marshals an Army of Developers to Automate High Finance. Bloomberg.

<https://web.archive.org/web/20170311002926/https://www.bloomberg.com/news/articles/2017-02-28/jpmorgan-marshals-an-army-of-developers-to-automate-high-finance>

<sup>274</sup> Data at the Center of Business. <https://www.technologyreview.com/2024/02/21/1087865/data-at-the-center-of-business/>

<sup>275</sup> Executive Leadership Drives JPMorgan Chase's Delivery Of Customer And Business Value From Data Investments. Forbes. <https://www.forbes.com/sites/randybean/2022/08/17/executive-leadership-drives-jpmorgan-chases-delivery-of-customer-and-business-value-from-data-investments/>

<sup>276</sup> The Careful Climber. The Economist.

<https://web.archive.org/web/20201029181448/https://www.economist.com/business/2007/01/25/the-careful-climber>

<sup>277</sup> Dimon's Grand Design. Bloomberg.

<https://web.archive.org/web/20240413042020/https://www.bloomberg.com/news/articles/2005-03-27/dimons-grand-design;>

Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase.

<sup>278</sup> Jamie Dimon - America's Least-Hated Banker. The New York Times. <https://www.nytimes.com/2010/12/05/magazine/05Dimon-t.html>



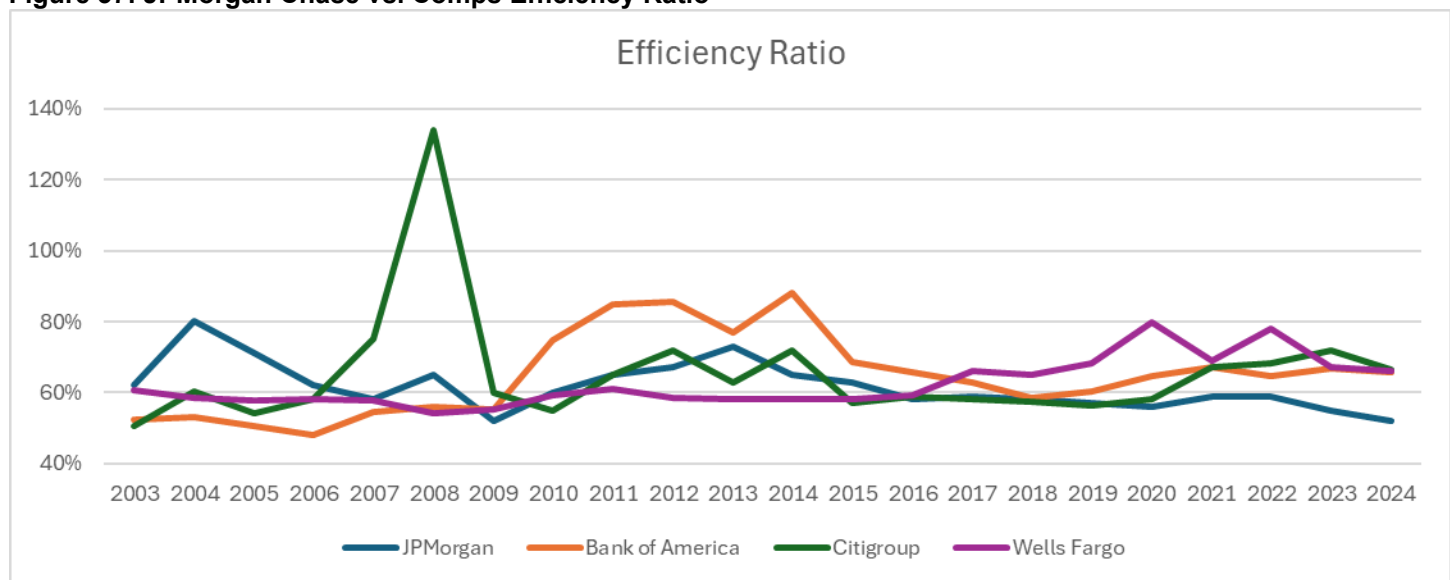
He also sought to align JPMorgan's cost structure with that of more efficient peers. When he arrived at JPMorgan, the bank was spending about \$750,000 per branch in back-office costs and employed five people per branch.<sup>279</sup> By comparison, Bank One spent only \$250,000 per branch and employed two people. The consolidation of IT systems helped reduce these costs, as did eliminating nearly 2,000 support jobs in New York City. Dimon redirected the saved funds into TV, radio, and billboard advertising across the city, as well as installing 270 ATMs in high-traffic Duane Reade drugstores, as well as 200 ATMs in Walgreen's in Arizona,<sup>280</sup> an innovative partnership for a bank at the time.

Dimon's focus on cost discipline reflected his personal values. At home, he was very frugal, to the point that spotting an almost empty bottle of ketchup in the trash would trigger him. He even continued to wear Citigroup-branded T-shirts after being fired by the company, much to the surprise of his family and friends.<sup>281</sup>

While cutting costs (or waste), Dimon also reinvested for growth by prioritizing staffing. After merging with Bank One at the end of 2004, JPMorgan had 5,324 personal bankers across 2,508 branches, an average of 2.12 per branch.<sup>282</sup> By 2015, that number had grown to 18,041 personal bankers across 5,413 branches, or 3.33 per branch, representing a CAGR of 4.6%.<sup>283</sup> These changes underscored Dimon's push to build a more aggressive, product-oriented retail banking operation. However, the company stopped disclosing comparable branch-level staffing figures after 2016, limiting the ability to make consistent year-over-year comparisons beyond that point.

Ultimately, Dimon's strategy produced results. JPMorgan's efficiency ratio, calculated as non-interest expenses divided by total revenue, improved steadily from 62% in 2003, prior to Dimon's arrival, to 52% in 2024, with an average just below 62%. In contrast, its major competitors have become less efficient – Bank of America's ratio expanded from 52% to 63%, averaging nearly 65%; Citigroup's ratio grew from 51% to 65%, with a similar average of around 65%; and Wells Fargo's ratio increased from 61% to nearly 67%, averaging over 65%.

**Figure 37: JPMorgan Chase vs. Comps Efficiency Ratio<sup>284</sup>**



Note:

1. Citigroup's efficiency ratio spiked in 2008 largely due to a 33% drop in revenue, driven by write-downs tied to subprime CDOs, leveraged loans, and other fixed income exposures. At the same time, operating expenses rose 19% year-over-year, mainly due to a goodwill impairment charge of over \$9 billion.<sup>285</sup>

In terms of ROCE, JPMorgan's performance also showed positive growth, improving steadily from 16% in 2003 to 18% in 2024. Meanwhile, the three major competitors experienced a decline trend: Bank of America's ROCE dropped from 22%

<sup>279</sup> The Toughest Guy on Wall Street. Fortune. 4/3/2006. <https://fortune.com/article/the-toughest-guy-on-wall-street-fortune-2006/>

<sup>280</sup> Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>281</sup> The Toughest Guy on Wall Street. Fortune. 4/3/2006. <https://fortune.com/article/the-toughest-guy-on-wall-street-fortune-2006/>

<sup>282</sup> JPMorgan Chase Annual Report 2004.

<sup>283</sup> JPMorgan Chase Annual Report 2015.

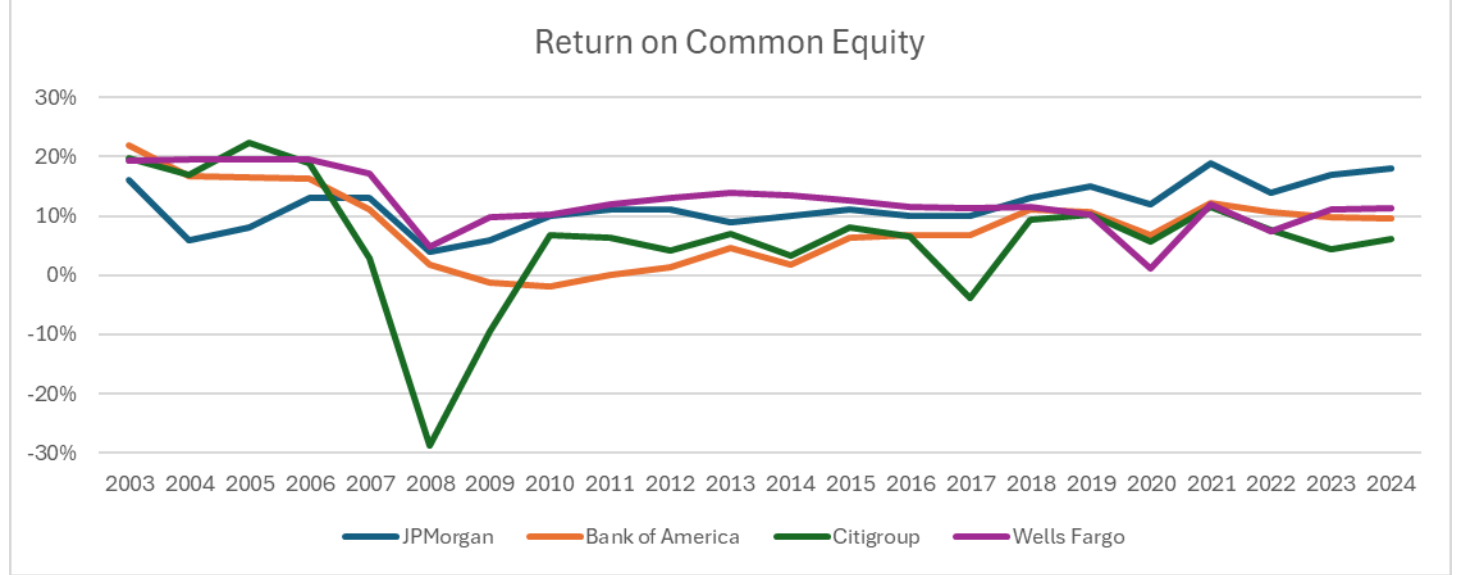
<sup>284</sup> Company Annual Reports.

<sup>285</sup> Citigroup Annual Report 2008.



in 2003 to around 10% in 2024; Citigroup's ROCE fell from 20% to 6%; and Wells Fargo's ROCE decreased from 19% to 11%.

Figure 38: JPMorgan Chase vs. Comps Return on Common Equity<sup>286</sup>



Note:

1. Citigroup's experienced a net loss in 2008 largely due to a 33% drop in revenue, driven by write-downs tied to subprime CDOs, leveraged loans, and other fixed income exposures. At the same time, operating expenses rose 19% year-over-year, mainly due to a goodwill impairment charge of over \$9 billion.<sup>287</sup>

<sup>286</sup> Company Annual Reports.

<sup>287</sup> Citigroup Annual Report 2008.

## Detail-Oriented and Performance-Driven Culture

According to publicly available information, Jamie Dimon has expressed a preference for building teams based on professional merit and performance, emphasizing qualities such as critical thinking, composure under pressure, and openness to candid discussions. Team members should be able to withstand intense debates, defend their ideas with conviction, and embrace a culture that values open, sometimes combative, conversations. Dimon is informal in his management approach, often bypassing the traditional chain of commands to call employees directly in order to gather information he needs.<sup>288</sup> At times, he will even ask multiple people for the same information at the same time, whatever it takes to get it quickly.<sup>289</sup>

His leadership team is made up of a group of longtime associates, JPMorgan veterans, and outside hires. Dimon is a straight shooter. In meetings, he dives deep into the details of the business and enjoys disagreement. While he often challenges his team's assumptions, he is known to ultimately respect well-defended decisions, allowing leaders to proceed with their chosen course if they can justify it persuasively.<sup>290</sup> Jamie Dimon stated:

“I don’t care if we do the trade or don’t do the trade...I care that we do it right. If you work in a company where you can’t walk in the room and say what you think, you create an atmosphere where you don’t do the best you can and where people don’t disclose things.”<sup>291</sup>

This openness can help employees feel encouraged to speak their minds. As one executive put it, “when you’re yelling and screaming and sticking your fingers in each other’s eyes, you’re treating Jamie as one of your partners, not as the CEO.”

A cornerstone of Dimon’s management system is the Executive Management Report (EMR), a detailed, data-heavy document prepared monthly for each business unit.<sup>292</sup> Following the merger, Dimon reorganized JPMorgan into six major business segments, including investment banking, retail financial services, cards, and commercial banking, as well as other smaller units that report as if they were separate companies. Rather than rely on high-level summaries, Dimon insists on seeing the raw data.<sup>293</sup> Division heads would send Dimon detailed 50-page reports each month, covering everything from overhead-to-sales ratios to even phone bills per employee. Dimon personally reviews these reports. The management team meets together to analyze financial performance, revenue growth, risk management, competitive threats, productivity, innovation, strategic initiatives, and talent development.<sup>294</sup> Dimon expects his managers to dig deep into the numbers and be very honest about why certain initiatives are falling short. He wants to understand every layer of the business. For instance, rather than simply accepting his traders’ assessments, Dimon gave himself a tutorial in complex trades to better grasp the risks JPMorgan was exposed to.<sup>295</sup> When Dimon joined JPMorgan, Bill Winters, then co-head of the investment bank, had heard that Dimon was skeptical of derivatives trading. Winters confronted him, and Dimon admitted he did not know enough to have a strong view. Winters took him through an in-depth tutorial. “It got quite detailed – long-dated currency options and so on... He was the only CEO I ever worked for who did that,” Winter later commented.

**In 2006, Dimon remarked in an interview that large operations “can get arrogant and full of hubris and lose focus, like the Roman Empire.”**<sup>296</sup> To prevent this, he implemented pay-for-performance metrics and required exhaustive monthly reviews from managers. These reviews are scrutinized during lengthy meetings, often lasting several hours or even an entire day. Dimon also talks to employees or calls suppliers randomly to get firsthand information, which he later uses to challenge executives. A key goal is to ensure that every product is independently profitable, with all overhead

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<sup>288</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/)

<sup>289</sup> Chapter 11. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase

<sup>290</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. Part II. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/index2.htm](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/index2.htm)

<sup>291</sup> Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase.

<sup>292</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. Part II. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/index2.htm](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/index2.htm)

<sup>293</sup> Jamie Dimon - America’s Least-Hated Banker. The New York Times. <https://www.nytimes.com/2010/12/05/magazine/05Dimon-t.html>

<sup>294</sup> JPMorgan Chase Annual Report 2004.

<sup>295</sup> Jamie Dimon - America’s Least-Hated Banker. The New York Times. <https://www.nytimes.com/2010/12/05/magazine/05Dimon-t.html>

<sup>296</sup> The Toughest Guy on Wall Street. Fortune. 4/3/2006. <https://fortune.com/article/the-toughest-guy-on-wall-street-fortune-2006/>

costs, legal, compliance, marketing, technology, allocated proportionately across divisions.<sup>297</sup> This structure prevents any business unit from being cross-subsidized, ensuring that profits truly reflect performance.

Dimon also transformed JPMorgan's retail-branch system to encourage cross-selling of mortgages, credit cards, and other products. When he first joined the bank, branch employees earned the same pay whether they were actively pushing products or just sitting at their desks. About half of the branch managers were given bonuses ranging from \$8,000 to \$18,000.<sup>298</sup> However, under retail banking head Charlie Scharf, who implemented similar changes for Jamie Dimon at Bank One, top performers were incentivized with much larger bonuses, up to \$65,000, while underperformers would earn nothing or even lose their jobs. Salespeople could earn even larger bonuses, with the highest point-gatherer receiving \$145,000. However, failure to meet sales quotas meant out as well.

**Dimon's leadership philosophy appears to be rooted in two principles: 1) a relentless focus on data, especially early warning signs of risk, and rapid internal information sharing across business lines; and 2) an unwavering willingness to exit businesses that show signs of elevated risk, even if they are currently attractive, profitable, or in high demand. Jamie Dimon once said, "In the crisis, everyone was trying to grow in products we didn't want to grow in...So we let them have it."**<sup>299</sup>

Behind the scenes, Dimon's reputation for relentless discipline and accountability shaped the firm's culture. "Jamie was demanding. He was relentless," said Theresa Sweeney, his assistant from 1993 to 2000. "He always wanted the one thing I hadn't done...By the third time he asked for something, you better have been at a funeral, because that was the only acceptable excuse for not having it finished."<sup>300</sup>

To better align employee interests with those of shareholders, JPMorgan's compensation practices emphasize long-term performance rather than short-term revenue gains. As Dimon stated in 2010, "We have always paid our employees based on risk-adjusted, multi-year performance that considers whether they have helped to build a company with long-term, sustainable performance." A significant portion of incentive pay is awarded in stock that vests over several years. Senior executives are required to hold roughly 75% of all stock they've received from the company until retirement.<sup>301</sup> As of 2024, this compensation philosophy remains largely similar.<sup>302</sup> For example, of Jamie Dimon's \$36 million compensation in 2023, \$1.5 million and \$5 million were salary and cash incentive, respectively, while the remaining \$29.5 million, or over 80%, was performance share units (PSUs). The compensation structure for other top executives follows a similar pattern that their salary represents a small portion, while most of their pay comes from performance-linked variable pay such as cash incentives, performance share units, and restricted share units.

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<sup>297</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. Part III. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/index3.htm](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/index3.htm)

<sup>298</sup> The Toughest Guy on Wall Street. Fortune. 4/3/2006. <https://fortune.com/article/the-toughest-guy-on-wall-street-fortune-2006/>; Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase.

<sup>299</sup> How Jamie Dimon at J.P. Morgan Avoided the Credit Crunch. Part III. CNN.

[https://money.cnn.com/2008/08/29/news/companies/tully\\_dimon.fortune/index3.htm](https://money.cnn.com/2008/08/29/news/companies/tully_dimon.fortune/index3.htm); Chapter 11. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase.

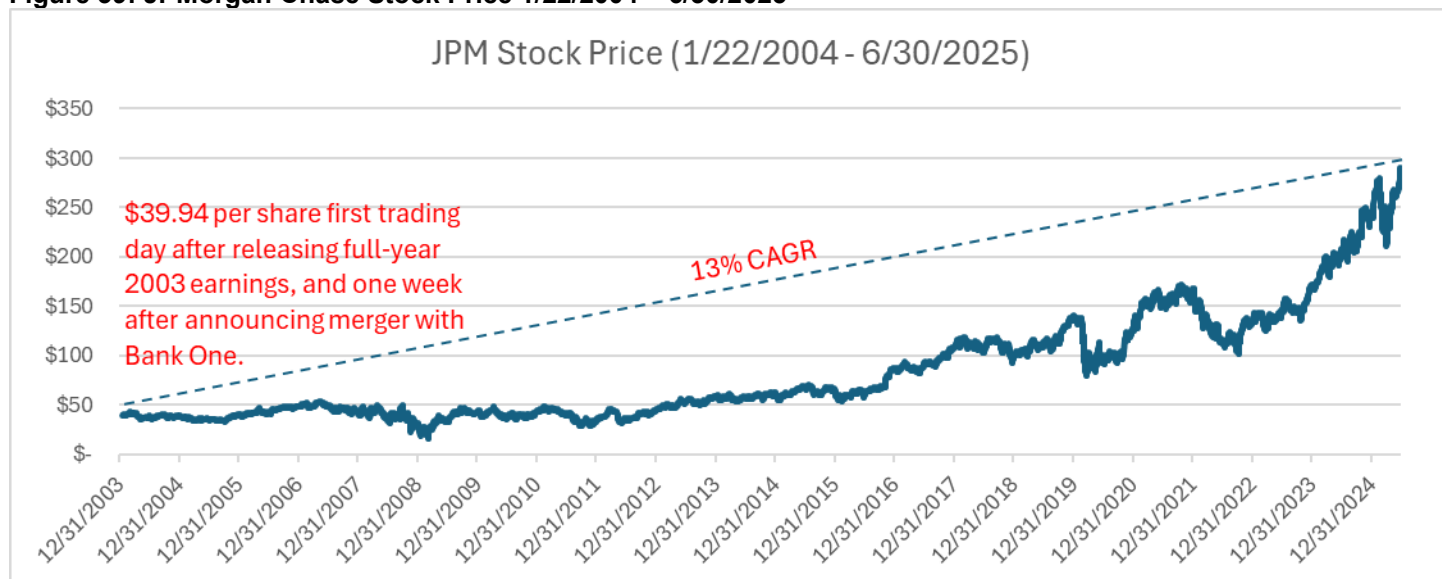
<sup>300</sup> The Career Timeline of Jamie Dimon, CEO of JPMorgan Chase. Business Insider. <https://www.businessinsider.com/jamie-dimon-career>

<sup>301</sup> Testimony of Jamie Dimon. Chairman and CEO, JPMorgan Chase & Co. Before the Financial Crisis Inquiry Commission. 1/13/2010; Chapter 10. Last Man Standing: The Ascent of Jamie Dimon and JPMorgan Chase.

<sup>302</sup> JPMorgan Annual Meeting of Shareholders Proxy Statement 2024.

## Valuation

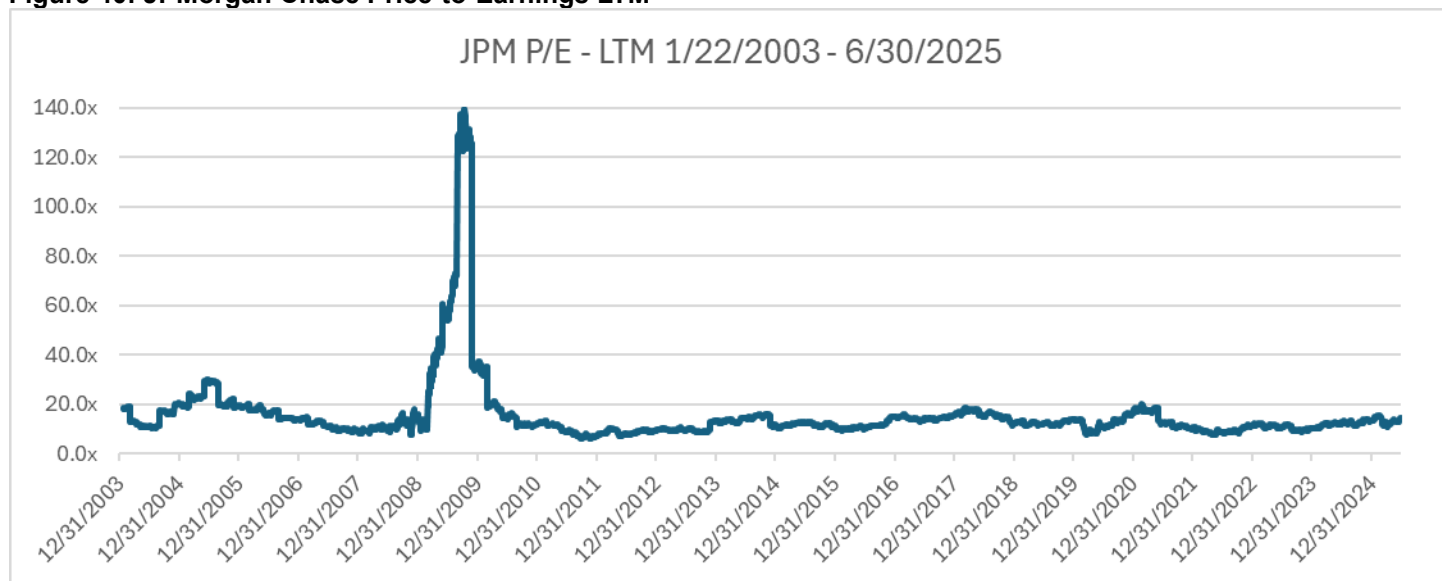
**Figure 39: JPMorgan Chase Stock Price 1/22/2004 – 6/30/2025**



### Notes:

1. Return data from FactSet, in USD.
2. Total returns include dividends reinvested.
3. The start date for the return data above is 1/22/2004, the first trading day following JPMorgan Chase & Co.'s release of its fourth-quarter and full-year 2003 earnings on January 21.<sup>303</sup> Just a week earlier, on January 14, JPMorgan Chase announced a planned merger with Bank One Corporation, with the transaction expected to close in mid-2004. Under the terms of the agreement, the combined company would be led by William B. Harrison, then 60, as Chairman and Chief Executive Officer, and James Dimon, then 47, as President and Chief Operating Officer.<sup>304</sup> Dimon was stated to succeed Harrison as CEO in 2006.
4. Lifetime end date is as of 6/30/2025.

**Figure 40: JPMorgan Chase Price-to-Earnings LTM**



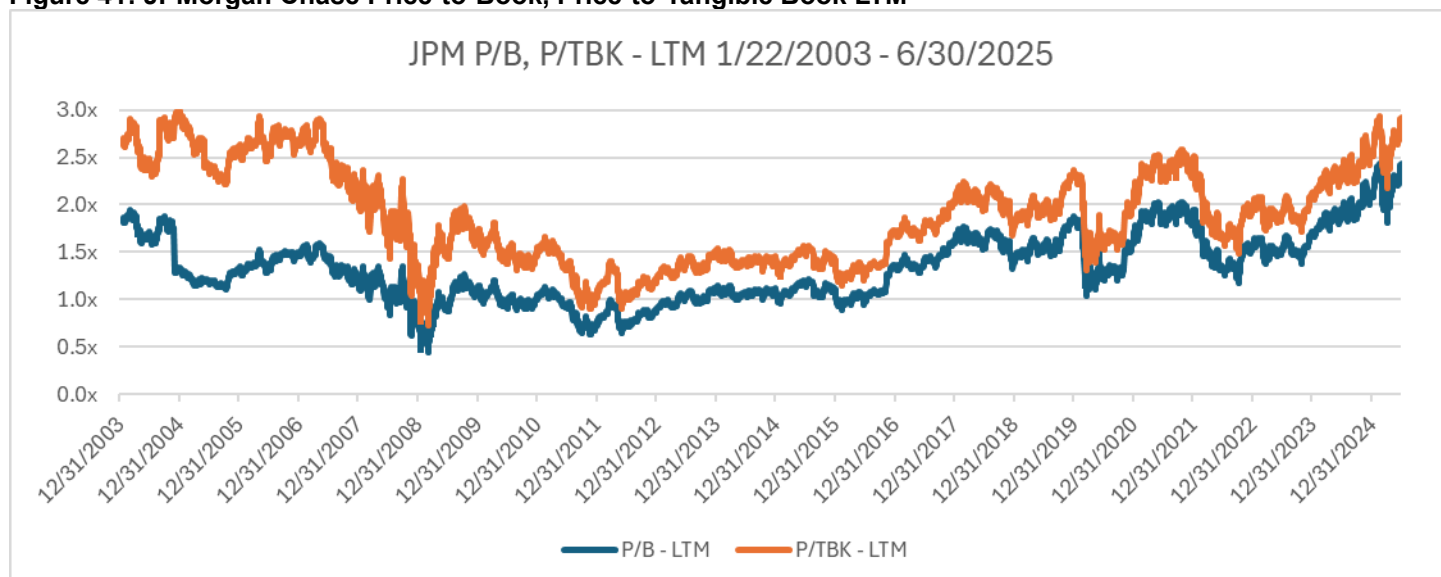
### Notes:

1. The above data is from FactSet, in USD.
2. P/E: daily average 15.3x; daily median 12.2x.

<sup>303</sup> JPMorgan Chase Reports 2003 Fourth Quarter and Full Year Results. JPMorgan Chase. 01/21/2004.

<sup>304</sup> JPMorgan Chase & Co. and Bank One Corporation to Merge. 01/14/2004.

**Figure 41: JPMorgan Chase Price-to-Book, Price-to-Tangible Book LTM**



Notes:

1. The above data is from FactSet, in USD.
2. P/B: daily average 1.3x; daily median 1.3x.
3. P/TBK: daily average 1.9x; daily median 1.9x.

**Figure 42: JPMorgan Chase Income Statement<sup>305</sup>**

| \$ Billion                                        | 2003    | 2004    | 2005    | 2006    | 2007    | 2008     | 2009     | 2010     | 2011    | 2012    | 2013    |
|---------------------------------------------------|---------|---------|---------|---------|---------|----------|----------|----------|---------|---------|---------|
| Total noninterest revenue                         | \$ 20.9 | \$ 26.3 | \$ 34.7 | \$ 40.2 | \$ 45.0 | \$ 28.5  | \$ 49.3  | \$ 51.7  | \$ 49.5 | \$ 52.1 | \$ 53.3 |
| YoY growth                                        | 15.7%   | 25.9%   | 31.8%   | 15.8%   | 11.9%   | -36.7%   | 73.1%    | 4.9%     | -4.2%   | 5.2%    | 2.2%    |
| Net interest income                               | \$ 12.3 | \$ 16.8 | \$ 19.8 | \$ 21.2 | \$ 26.4 | \$ 38.8  | \$ 51.2  | \$ 51.0  | \$ 47.7 | \$ 44.9 | \$ 43.3 |
| YoY growth                                        | 7.0%    | 35.9%   | 18.3%   | 7.1%    | 24.3%   | 46.9%    | 31.9%    | -0.3%    | -6.5%   | -5.8%   | -3.5%   |
| Total net revenue                                 | \$ 33.3 | \$ 43.1 | \$ 54.5 | \$ 61.4 | \$ 71.4 | \$ 67.3  | \$ 100.4 | \$ 102.7 | \$ 97.2 | \$ 97.0 | \$ 96.6 |
| Provision for loan losses                         | \$ 1.5  | \$ 2.5  | \$ 3.5  | \$ 3.3  | \$ 6.9  | \$ 21.0  | \$ 32.0  | \$ 16.6  | \$ 7.6  | \$ 3.4  | \$ 0.2  |
| Compensation expense                              | \$ 11.7 | \$ 14.5 | \$ 18.3 | \$ 21.2 | \$ 22.7 | \$ 22.7  | \$ 26.9  | \$ 28.1  | \$ 29.0 | \$ 30.6 | \$ 30.8 |
| Occupancy expense                                 | \$ 1.9  | \$ 2.1  | \$ 2.3  | \$ 2.3  | \$ 2.6  | \$ 3.0   | \$ 3.7   | \$ 3.7   | \$ 3.9  | \$ 3.9  | \$ 3.7  |
| Technology, communications, and equipment expense | \$ 2.8  | \$ 3.7  | \$ 3.6  | \$ 3.7  | \$ 3.8  | \$ 4.3   | \$ 4.6   | \$ 4.7   | \$ 4.9  | \$ 5.2  | \$ 5.4  |
| Professional and outside services                 | \$ -    | \$ 3.9  | \$ 4.2  | \$ 3.9  | \$ 5.1  | \$ 6.1   | \$ 6.2   | \$ 6.8   | \$ 7.5  | \$ 7.4  | \$ 7.6  |
| Marketing                                         | \$ -    | \$ 1.3  | \$ 1.9  | \$ 2.2  | \$ 2.1  | \$ 1.9   | \$ 1.8   | \$ 2.4   | \$ 3.1  | \$ 2.6  | \$ 2.5  |
| Other expense                                     | \$ 5.2  | \$ 6.6  | \$ 6.3  | \$ 3.3  | \$ 3.8  | \$ 3.7   | \$ 7.6   | \$ 14.6  | \$ 13.6 | \$ 14.0 | \$ 19.8 |
| Amortization of intangibles                       | \$ -    | \$ 0.9  | \$ 1.5  | \$ 1.4  | \$ 1.4  | \$ 1.3   | \$ 1.1   | \$ 0.9   | \$ 0.8  | \$ 1.0  | \$ 0.6  |
| Merger and restructuring costs                    | \$ -    | \$ 1.4  | \$ 0.7  | \$ 0.3  | \$ 0.2  | \$ 0.4   | \$ 0.5   | \$ -     | \$ -    | \$ -    | \$ -    |
| Total noninterest expense                         | \$ 21.7 | \$ 34.4 | \$ 38.8 | \$ 38.3 | \$ 41.7 | \$ 43.5  | \$ 52.4  | \$ 61.2  | \$ 62.9 | \$ 64.7 | \$ 70.5 |
| Efficiency rate                                   | 65.2%   | 79.7%   | 71.2%   | 62.3%   | 58.4%   | 64.7%    | 52.1%    | 59.6%    | 64.7%   | 66.7%   | 72.9%   |
| Pre-tax income                                    | \$ 10.0 | \$ 6.2  | \$ 12.2 | \$ 19.9 | \$ 22.8 | \$ 2.8   | \$ 16.1  | \$ 24.9  | \$ 26.7 | \$ 28.9 | \$ 25.9 |
| EBT margin                                        | 30.2%   | 14.4%   | 22.4%   | 32.4%   | 32.0%   | 4.1%     | 16.0%    | 24.2%    | 27.5%   | 29.8%   | 26.8%   |
| YoY growth                                        | 298.1%  | -38.2%  | 97.2%   | 62.8%   | 14.7%   | -87.8%   | 479.4%   | 54.7%    | 7.6%    | 8.1%    | -10.4%  |
| Tax expense (benefit)                             | \$ 3.3  | \$ 1.7  | \$ 3.7  | \$ 6.2  | \$ 7.4  | \$ (0.9) | \$ 4.4   | \$ 7.5   | \$ 7.8  | \$ 7.6  | \$ 8.0  |
| Net income available to common stock              | \$ 6.7  | \$ 4.4  | \$ 8.5  | \$ 14.4 | \$ 15.4 | \$ 4.9   | \$ 8.8   | \$ 15.8  | \$ 17.6 | \$ 19.9 | \$ 16.6 |
| Net margin                                        | 20.1%   | 10.2%   | 15.5%   | 23.5%   | 21.5%   | 7.3%     | 8.7%     | 15.4%    | 18.1%   | 20.5%   | 17.2%   |
| YoY growth                                        | 311.6%  | -33.8%  | 91.9%   | 70.5%   | 6.4%    | -67.9%   | 77.9%    | 79.7%    | 11.4%   | 13.1%   | -16.5%  |
| Forward Split Adjusted P/E                        | 12.3x   | 25.8x   | 16.8x   | 9.9x    | 9.1x    | 29.2x    | 17.7x    | 10.1x    | 8.9x    | 7.7x    | 9.2x    |
| Price at 1/22/2004                                |         | \$ 39.9 |         |         |         |          |          |          |         |         |         |

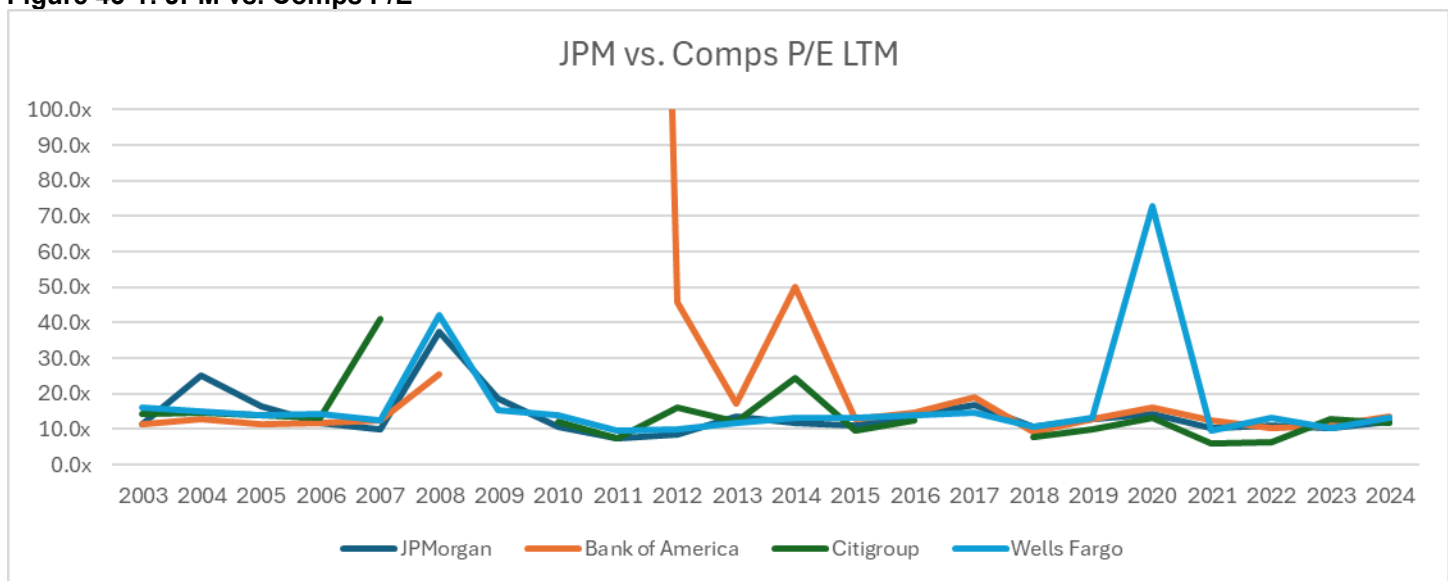
<sup>305</sup> JPMorgan Chase Annual Report 2003 – 2024.

| \$ Billion                                        | 2014    | 2015    | 2016    | 2017    | 2018     | 2019     | 2020     | 2021     | 2022     | 2023     | 2024     |
|---------------------------------------------------|---------|---------|---------|---------|----------|----------|----------|----------|----------|----------|----------|
| Total noninterest revenue                         | \$ 50.5 | \$ 50.0 | \$ 49.6 | \$ 49.5 | \$ 54.0  | \$ 58.4  | \$ 65.0  | \$ 69.3  | \$ 62.0  | \$ 68.8  | \$ 85.0  |
| YoY growth                                        | -5.2%   | -1.0%   | -0.9%   | -0.1%   | 9.0%     | 8.2%     | 11.3%    | 6.7%     | -10.6%   | 11.1%    | 23.4%    |
| Net interest income                               | \$ 43.6 | \$ 43.5 | \$ 46.1 | \$ 50.1 | \$ 55.1  | \$ 57.2  | \$ 54.6  | \$ 52.3  | \$ 66.7  | \$ 89.3  | \$ 92.6  |
| YoY growth                                        | 0.7%    | -0.3%   | 5.9%    | 8.7%    | 9.9%     | 4.0%     | -4.7%    | -4.1%    | 27.5%    | 33.8%    | 3.7%     |
| Total net revenue                                 | \$ 94.2 | \$ 93.5 | \$ 95.7 | \$ 99.6 | \$ 109.0 | \$ 115.6 | \$ 119.5 | \$ 121.6 | \$ 128.7 | \$ 158.1 | \$ 177.6 |
| Provision for loan losses                         | \$ 3.1  | \$ 3.8  | \$ 5.4  | \$ 5.3  | \$ 4.9   | \$ 5.6   | \$ 17.5  | \$ (9.3) | \$ 6.4   | \$ 9.3   | \$ 10.7  |
| Compensation expense                              | \$ 30.2 | \$ 29.8 | \$ 30.0 | \$ 31.0 | \$ 33.1  | \$ 34.2  | \$ 35.0  | \$ 38.6  | \$ 41.6  | \$ 46.5  | \$ 51.4  |
| Occupancy expense                                 | \$ 3.9  | \$ 3.8  | \$ 3.6  | \$ 3.7  | \$ 1.0   | \$ 4.3   | \$ 4.4   | \$ 4.5   | \$ 4.7   | \$ 4.6   | \$ 5.0   |
| Technology, communications, and equipment expense | \$ 5.8  | \$ 6.2  | \$ 6.8  | \$ 7.7  | \$ 8.8   | \$ 9.8   | \$ 10.3  | \$ 9.9   | \$ 9.4   | \$ 9.2   | \$ 9.8   |
| Professional and outside services                 | \$ 7.7  | \$ 7.0  | \$ 6.7  | \$ 6.8  | \$ 8.5   | \$ 8.5   | \$ 8.5   | \$ 9.8   | \$ 10.2  | \$ 10.2  | \$ 11.1  |
| Marketing                                         | \$ 2.6  | \$ 2.7  | \$ 2.9  | \$ 2.9  | \$ 3.3   | \$ 3.6   | \$ 2.5   | \$ 3.0   | \$ 3.9   | \$ 4.6   | \$ 5.0   |
| Other expense                                     | \$ 11.1 | \$ 9.6  | \$ 5.8  | \$ 6.3  | \$ 5.7   | \$ 5.1   | \$ 5.9   | \$ 5.5   | \$ 6.4   | \$ 12.0  | \$ 9.6   |
| Amortization of intangibles                       | \$ -    | \$ -    | \$ -    | \$ -    | \$ -     | \$ -     | \$ -     | \$ -     | \$ -     | \$ -     | \$ -     |
| Merger and restructuring costs                    | \$ -    | \$ -    | \$ -    | \$ -    | \$ -     | \$ -     | \$ -     | \$ -     | \$ -     | \$ -     | \$ -     |
| Total noninterest expense                         | \$ 61.3 | \$ 59.0 | \$ 55.8 | \$ 58.4 | \$ 60.4  | \$ 65.5  | \$ 66.7  | \$ 71.3  | \$ 76.1  | \$ 87.2  | \$ 91.8  |
| Efficiency rate                                   | 65.1%   | 63.1%   | 58.3%   | 58.7%   | 55.4%    | 56.6%    | 55.8%    | 58.6%    | 59.2%    | 55.1%    | 51.7%    |
| Pre-tax income                                    | \$ 29.8 | \$ 30.7 | \$ 34.5 | \$ 35.9 | \$ 43.8  | \$ 44.5  | \$ 35.4  | \$ 59.6  | \$ 46.2  | \$ 61.6  | \$ 75.1  |
| EBT margin                                        | 31.6%   | 32.8%   | 36.1%   | 36.0%   | 40.1%    | 38.5%    | 29.6%    | 49.0%    | 35.9%    | 39.0%    | 42.3%    |
| YoY growth                                        | 14.8%   | 3.2%    | 12.5%   | 3.9%    | 21.9%    | 1.8%     | -20.5%   | 68.2%    | -22.5%   | 33.5%    | 21.9%    |
| Tax expense (benefit)                             | \$ 8.0  | \$ 6.3  | \$ 9.8  | \$ 11.5 | \$ 8.3   | \$ 8.1   | \$ 6.3   | \$ 11.2  | \$ 8.5   | \$ 12.1  | \$ 16.6  |
| Net income available to common stock              | \$ 20.1 | \$ 22.4 | \$ 22.6 | \$ 22.6 | \$ 30.7  | \$ 34.6  | \$ 27.4  | \$ 46.5  | \$ 35.9  | \$ 47.8  | \$ 56.9  |
| Net margin                                        | 21.3%   | 24.0%   | 23.6%   | 22.7%   | 28.2%    | 30.0%    | 22.9%    | 38.2%    | 27.9%    | 30.2%    | 32.0%    |
| YoY growth                                        | 21.1%   | 11.5%   | 0.8%    | -0.1%   | 36.1%    | 12.8%    | -20.9%   | 69.7%    | -22.8%   | 33.1%    | 19.1%    |
| Forward Split Adjusted P/E                        | 7.6x    | 6.7x    | 6.5x    | 6.3x    | 4.4x     | 3.7x     | 4.5x     | 2.6x     | 3.3x     | 2.5x     | 2.0x     |

Notes:

1. JPMorgan Chase has not had stock splits since 2000.<sup>306</sup>
2. The company's stock price was sourced from FactSet, as of January 22, 2004, the first trading day following JPMorgan Chase & Co.'s release of its fourth-quarter and full-year 2003 earnings on January 21.<sup>307</sup> Just a week earlier, on January 14, JPMorgan Chase announced a planned merger with Bank One Corporation, with the transaction expected to close in mid-2004. Under the terms of the agreement, the combined company would be led by William B. Harrison, then 60, as Chairman and Chief Executive Officer, and James Dimon, then 47, as President and Chief Operating Officer.<sup>308</sup> Dimon was stated to succeed Harrison as CEO in 2006.

Figure 43-1: JPM vs. Comps P/E



<sup>306</sup> Stock Split History. JPMorgan Chase & Co. <https://jpmorganchaseco.gcs-web.com/ir/shareholder-information/stock-split-history>

<sup>307</sup> JPMorgan Chase Reports 2003 Fourth Quarter and Full Year Results. JPMorgan Chase. 01/21/2004.

<sup>308</sup> JPMorgan Chase & Co. and Bank One Corporation to Merge. 01/14/2004.

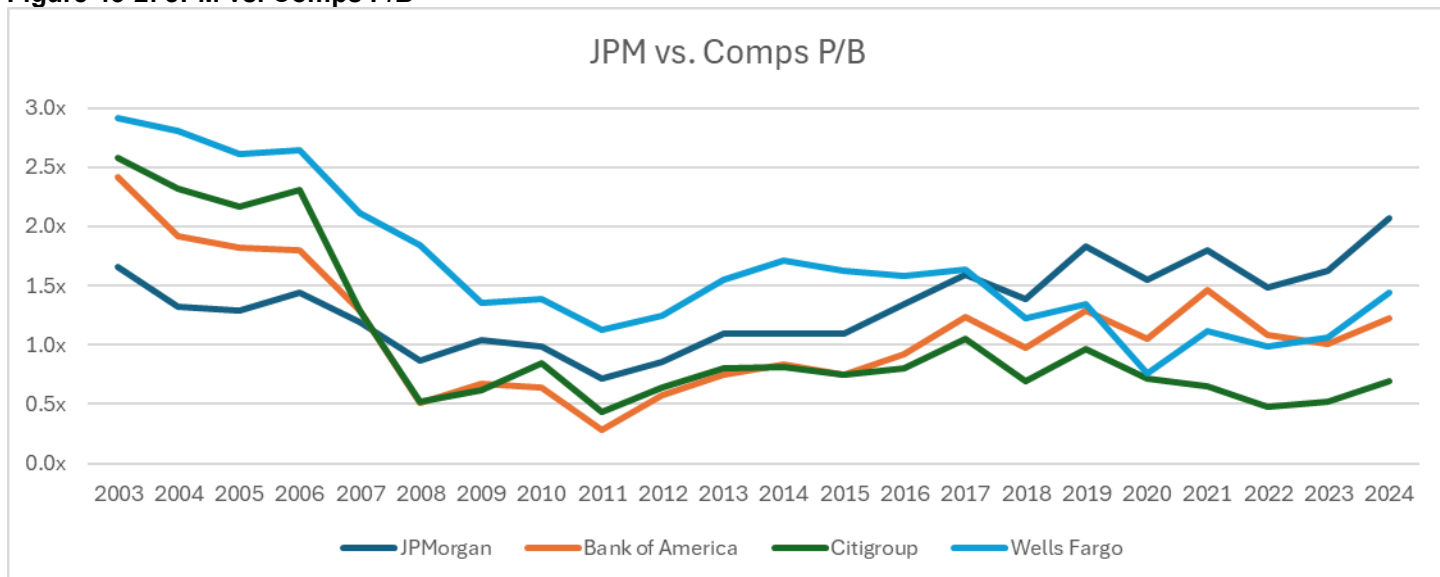


| P/E             | 2003  | 2004  | 2005  | 2006  | 2007  | 2008  | 2009  | 2010  | 2011   | 2012  | 2013  | 2014  | 2015  | 2016  | 2017  | 2018  | 2019  | 2020  | 2021  | 2022  | 2023  | 2024  | Average | Median |
|-----------------|-------|-------|-------|-------|-------|-------|-------|-------|--------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|---------|--------|
| JPMorgan        | 11.3x | 25.2x | 16.7x | 12.0x | 10.0x | 37.6x | 18.6x | 10.7x | 7.4x   | 8.5x  | 13.4x | 11.8x | 11.0x | 13.9x | 16.9x | 10.9x | 13.0x | 14.3x | 10.3x | 11.1x | 10.5x | 12.1x | 14.0x   | 11.9x  |
| Bank of America | 11.3x | 12.7x | 11.4x | 11.6x | 12.5x | 25.4x |       |       | 678.0x | 45.6x | 17.2x | 50.0x | 12.8x | 14.8x | 18.9x | 9.4x  | 12.8x | 16.2x | 12.5x | 10.4x | 10.9x | 13.7x | 50.4x   | 12.8x  |
| Citigroup       | 14.2x | 14.8x | 14.1x | 13.1x | 40.9x |       |       | 12.1x | 7.4x   | 16.2x | 12.2x | 24.6x | 9.6x  | 12.6x |       | 7.8x  | 10.0x | 13.1x | 6.0x  | 6.5x  | 12.7x | 11.8x | 13.7x   | 12.6x  |
| Wells Fargo     | 16.1x | 15.2x | 14.0x | 14.3x | 12.7x | 42.1x | 15.4x | 14.0x | 9.8x   | 10.2x | 11.7x | 13.4x | 13.2x | 13.8x | 14.8x | 10.8x | 13.3x | 73.0x | 9.7x  | 13.1x | 10.2x | 13.1x | 17.0x   | 13.3x  |

Notes:

1. Data are sourced from FactSet.
2. Empty cells indicate negative values.

Figure 43-2: JPM vs. Comps P/B

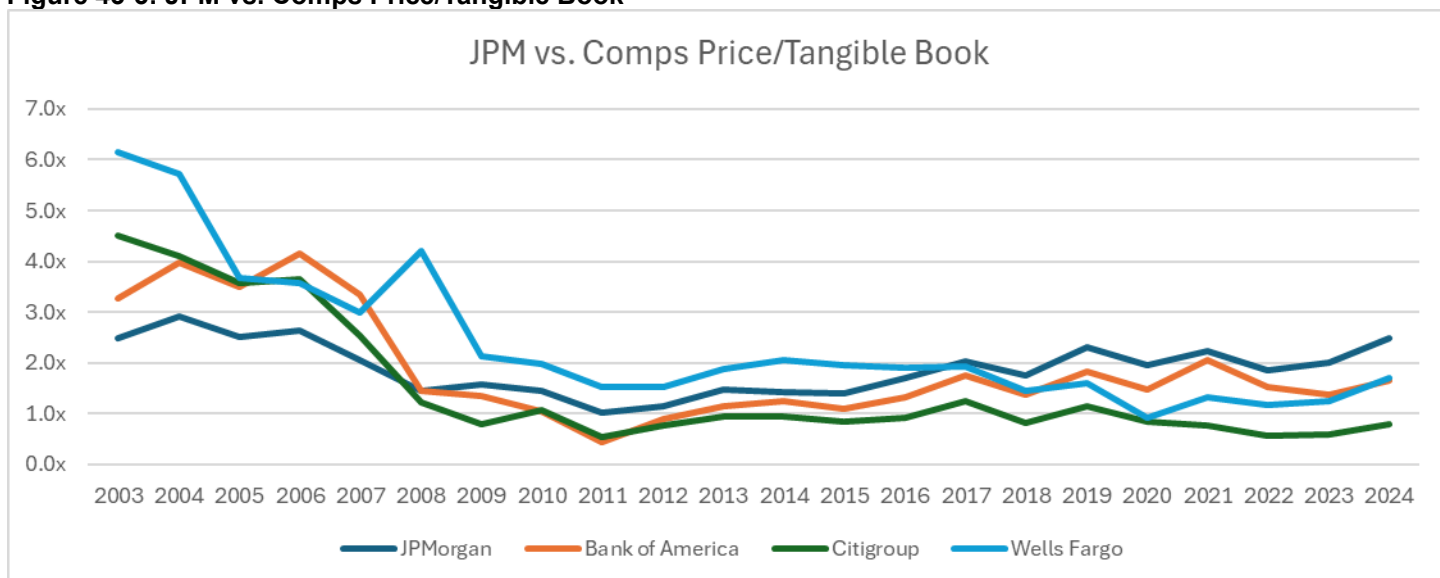


| P/B             | 2003 | 2004 | 2005 | 2006 | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Average | Median |
|-----------------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|---------|--------|
| JPMorgan        | 1.7x | 1.3x | 1.3x | 1.4x | 1.2x | 0.9x | 1.0x | 1.0x | 0.7x | 0.9x | 1.1x | 1.1x | 1.1x | 1.3x | 1.6x | 1.4x | 1.8x | 1.6x | 1.8x | 1.5x | 1.6x | 2.1x | 1.3x    | 1.3x   |
| Bank of America | 2.4x | 1.9x | 1.8x | 1.8x | 1.3x | 0.5x | 0.7x | 0.6x | 0.3x | 0.6x | 0.8x | 0.8x | 0.7x | 0.9x | 1.2x | 1.0x | 1.3x | 1.1x | 1.5x | 1.1x | 1.0x | 1.2x | 1.1x    | 1.0x   |
| Citigroup       | 2.6x | 2.3x | 2.2x | 2.3x | 1.3x | 0.5x | 0.6x | 0.8x | 0.4x | 0.6x | 0.8x | 0.8x | 0.7x | 0.8x | 1.1x | 0.7x | 1.0x | 0.7x | 0.7x | 0.5x | 0.5x | 0.7x | 1.0x    | 0.8x   |
| Wells Fargo     | 2.9x | 2.8x | 2.6x | 2.6x | 2.1x | 1.8x | 1.4x | 1.4x | 1.1x | 1.2x | 1.6x | 1.7x | 1.6x | 1.6x | 1.6x | 1.2x | 1.3x | 0.8x | 1.1x | 1.0x | 1.1x | 1.4x | 1.6x    | 1.5x   |

Note:

1. Data are sourced from FactSet.

Figure 43-3: JPM vs. Comps Price/Tangible Book

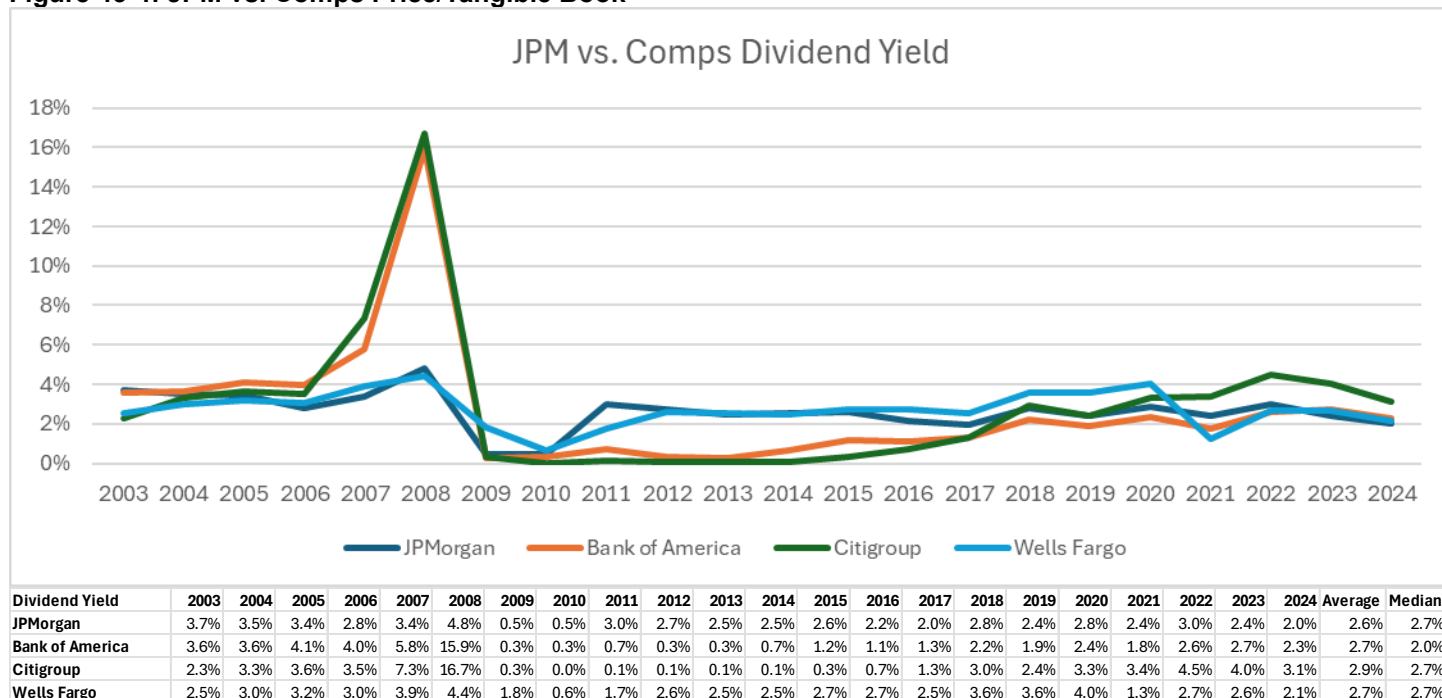


| P/TBK           | 2003 | 2004 | 2005 | 2006 | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Average | Median |
|-----------------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|---------|--------|
| JPMorgan        | 2.5x | 2.9x | 2.5x | 2.6x | 2.0x | 1.4x | 1.6x | 1.4x | 1.0x | 1.2x | 1.5x | 1.4x | 1.4x | 1.7x | 2.0x | 1.8x | 2.3x | 1.9x | 2.2x | 1.9x | 2.0x | 2.5x | 1.9x    | 1.9x   |
| Bank of America | 3.3x | 4.0x | 3.5x | 4.2x | 3.4x | 1.4x | 1.4x | 1.1x | 0.4x | 0.9x | 1.1x | 1.3x | 1.1x | 1.3x | 1.7x | 1.4x | 1.8x | 1.5x | 2.1x | 1.5x | 1.4x | 1.6x | 1.9x    | 1.5x   |
| Citigroup       | 4.5x | 4.1x | 3.6x | 3.7x | 2.5x | 1.2x | 0.8x | 1.1x | 0.5x | 0.8x | 0.9x | 1.0x | 0.9x | 0.9x | 1.2x | 0.8x | 1.1x | 0.8x | 0.8x | 0.6x | 0.6x | 0.8x | 1.5x    | 0.9x   |
| Wells Fargo     | 6.2x | 5.7x | 3.7x | 3.6x | 3.0x | 4.2x | 2.1x | 2.0x | 1.5x | 1.5x | 1.9x | 2.0x | 1.9x | 1.9x | 1.9x | 1.4x | 1.6x | 0.9x | 1.3x | 1.2x | 1.3x | 1.7x | 2.4x    | 1.9x   |

Note:

1. Data are sourced from FactSet.

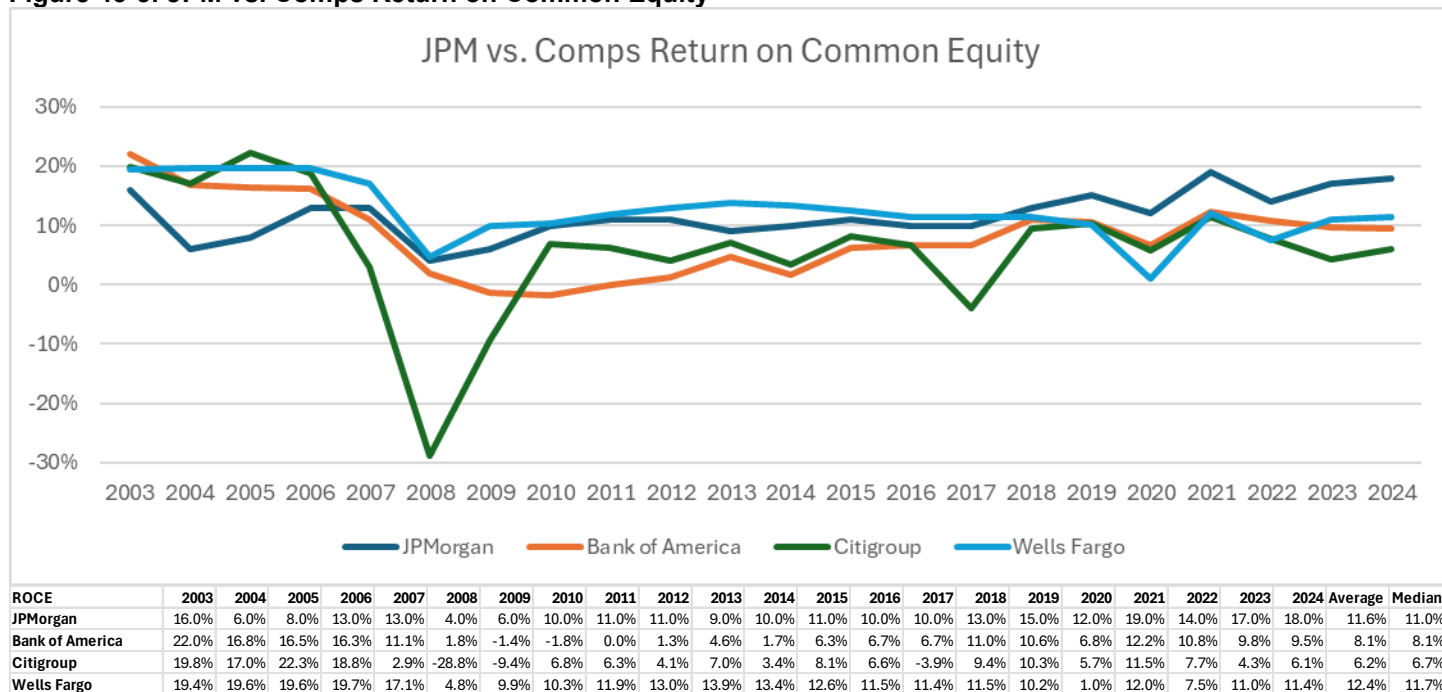
**Figure 43-4: JPM vs. Comps Price/Tangible Book**



Note:

1. Data are sourced from FactSet.

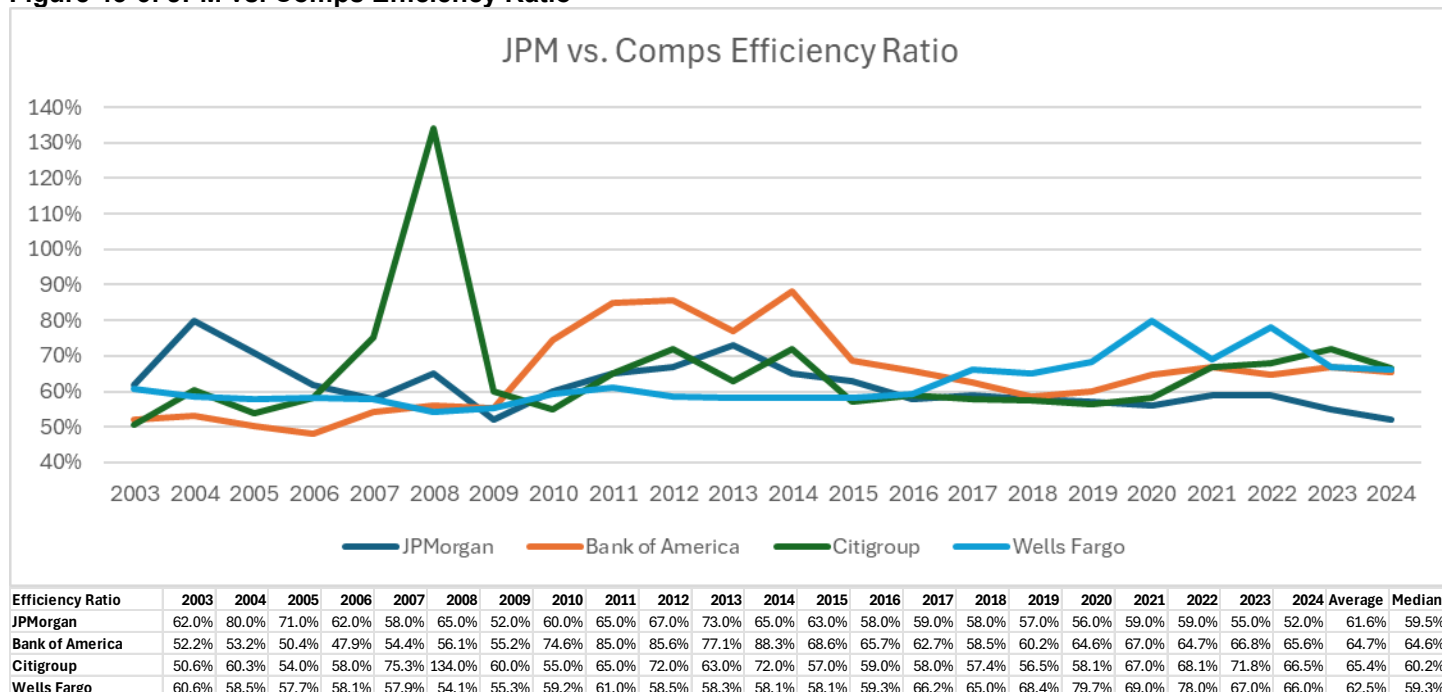
**Figure 43-5: JPM vs. Comps Return on Common Equity**



Note:

1. Data are sourced from company documents.

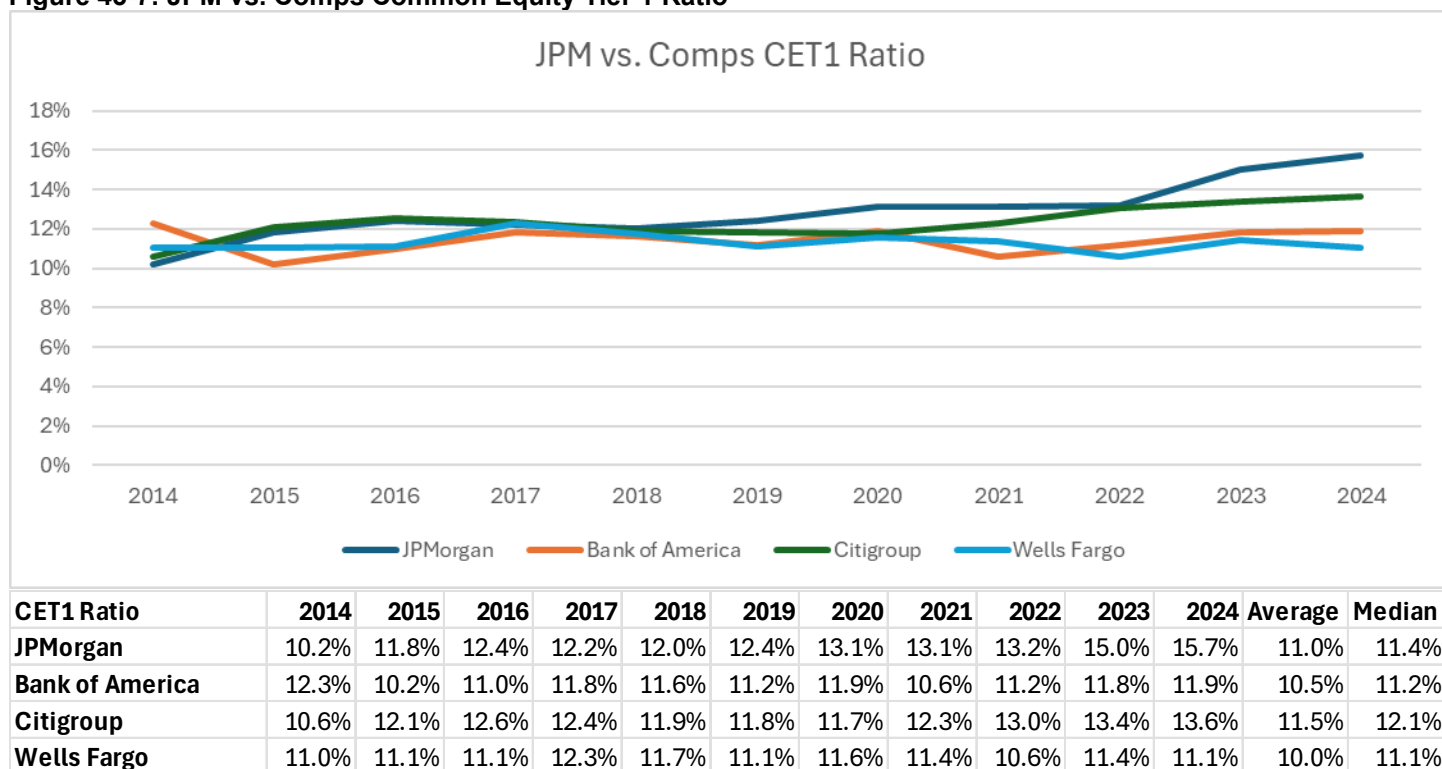
**Figure 43-6: JPM vs. Comps Efficiency Ratio**



Note:

1. Data are sourced from company documents.

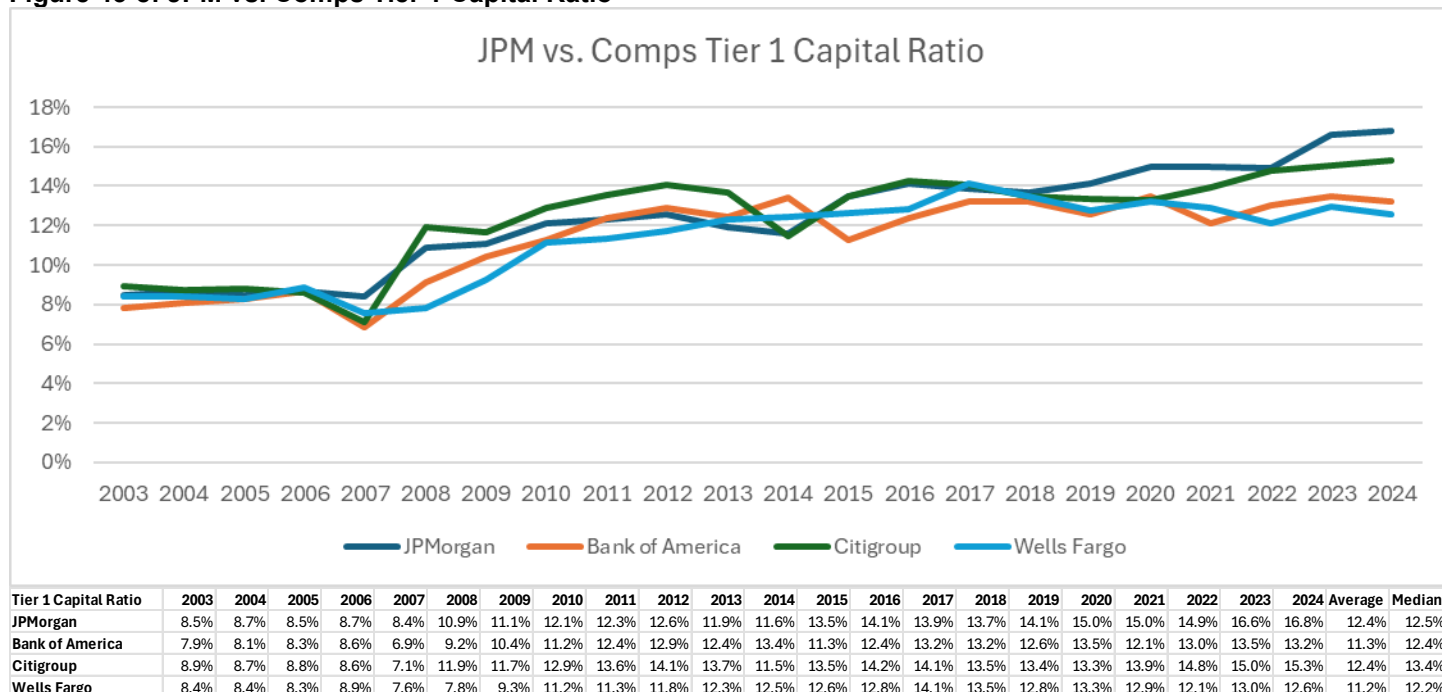
**Figure 43-7: JPM vs. Comps Common Equity Tier 1 Ratio**



Note:

1. Data are sourced from company documents.

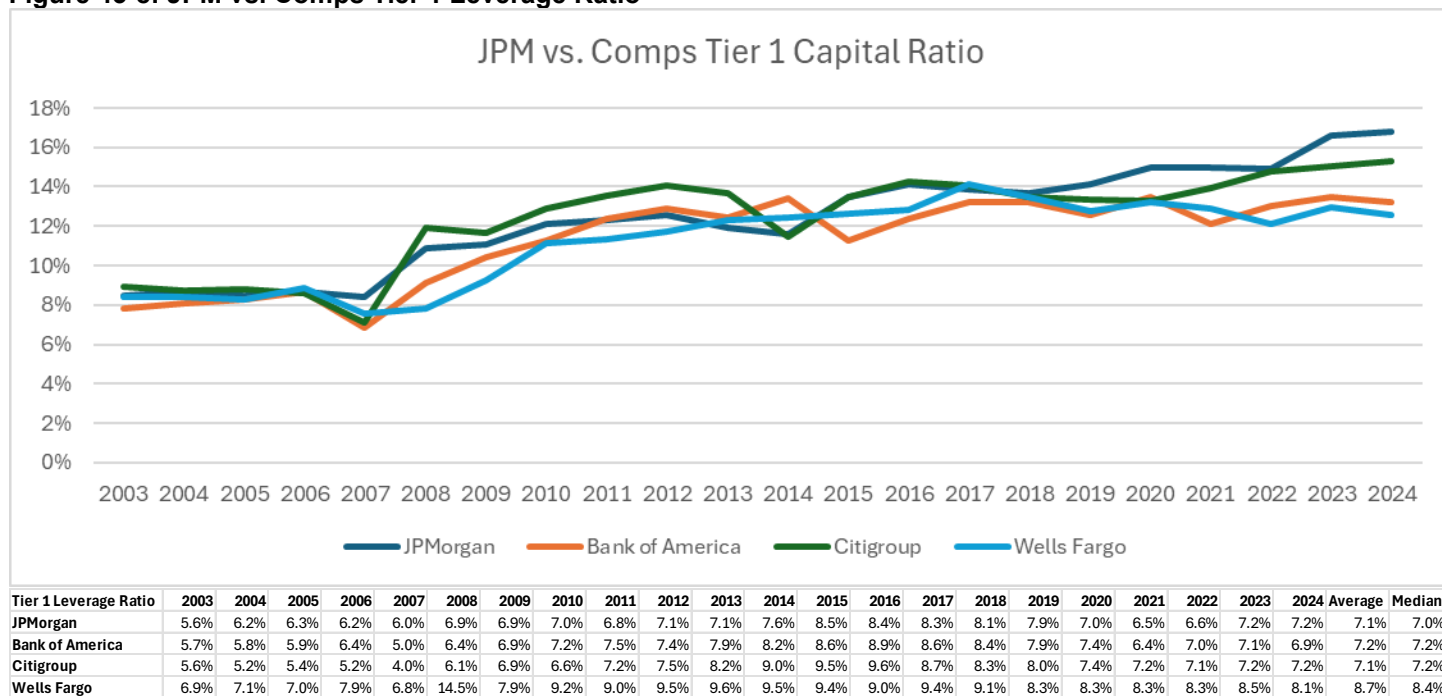
**Figure 43-8: JPM vs. Comps Tier 1 Capital Ratio**



Note:

1. Data are sourced from company documents.

**Figure 43-8: JPM vs. Comps Tier 1 Leverage Ratio**



Note:

1. Data are sourced from company documents.

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